Blue Jet Health (BLUEJET)

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November 18 , 2023
To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400051
Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarter/ half year ended September 30, 2023

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter/ half year ended September 30, 2023 held on November 15, 2023.
The same is also available at: https://bluejethealthcare.com/investor -presentation/
You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Ms. Sweta Poddar
Company Secretary & Compliance Officer

“Blue Jet Healthcare Limited
Q2 & H1 FY24 Earnings Conference Call ”

November 15, 202 3

MANAGEMENT : MR. SHIVEN ARORA – MANAGING DIRECTOR – BLUE JET HEALTHCARE LIMITED

MR. V. K. SINGH – CHIEF OPERATING OFFICER – BLUE JET HEALTHCARE LIMITED

MR. GANESH KARUPPANNAN – CHIEF FINANCIAL OFFICER – BLUE JET HEALTHCARE LIMITED

MR. SANJAY SINHA – DEPUTY CHIEF FINANCIAL OFFICER – BLUE JET HEALTHCARE LIMITED

MODERATOR : MR. DIWAKAR PINGLE – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of

Blue Jet Healthcare Limited. As a reminder, all participant lines will be in the listen -only
mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by
pressing star, then zero on your touchtone phone. Please note that the conference is being recorded.
I now hand the conference over to Mr. Diwakar Pingle from Ernst & Young. Thank you and over to you.

Diwakar Pingle: Thank you so much, Michelle. A warm welcome to everyone who logged on to this Q2 FY24 Earnings Call of Blue Jet Healthcare Limited, which also happens to be the first earnings call post-listing. Please note that the investor presentation and the financial results are available on the company website and on the stock exchanges.

Anything said on this call which reflects our outlook for the future, which can be construed as a forward -looking statement, must be viewed in conjunction with the rest of the company faces. Blue Jet does also undertake no obligation to update any forward-looking statement to reflect developments that occur after the statement is made. The conference call is being recorded and the transcript along with audio of the same will be made available on the website of the company as well as the exchanges.

Please also note that the audio of the conference call is a copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed to press and media without specific and written consent of the company. To take you through the results and give you a brief highlight of the company's business model and the performance for this quarter, we have with us the management, represented by Mr. Shiven Arora, the Managing Director, Mr. V. K. Singh, the Chief Operating Officer, Mr. Ganesh Karuppannan, the Chief Financial Officer, and Mr. Sanjay Sinha, Deputy Chief Financial Officer.

I will now handover the floor to Mr. Shiven Arora , Managing Director of Blue Jet Healthcare Limite d to provide you with updates on the quarter. Over to you, Shiven.

Shiven Arora: Good afternoon, everyone. Thank you for joining us on our maiden early call to discuss the operational and financial performance of Q1 FY24 and H1FY 24. To begin with, on behalf of Blue Jet team, I thank and congratulate all the stakeholders, investors, BRLMs, stock exchanges, and business partners for helping us to achieve the milestone of getting listed on Indian stock exchanges.

Since this is our maiden call, I would like to take you through our business vertical strategy going forward, followed by this and operational financial highlights for the quarter and half - yearly results, post which we can open the floor for Q&A.

We are a CDMO player in the specialty pharma and healthcare ingredients space, in operations for more than 50 years. We have three verticals : Contrast media intermediates, which is

servicing the MedTech industry, artificial sweeteners, and the third vertical being pharma intermediates and APIs.

Our business is built on long-term relations with marquee customers in the respective product categories. Our business is export -led with CAGR of 20% during the last three years. Speaking more about contrast media, contrast agents are dyes that are injected in the body to enhance the visibility of organs, tissues, and blood vessels.

Contrast media segment is estimated at around 5.9 billion USD as on June 2023. 75% of the market is controlled by top four players in the world. The market is expected to grow at 6% - 8% volume terms between 2023 and 2025.

We operate in the intermediate space of this specific vertical. We are a supplie

r of building blocks for iodinated set of molecules, which are used for x-ray CD scans. From 1997, we have developed a range of advanced intermediates catering to the needs of these global innovators, these four customers who are dominant shareholders of the market.

Recently, we commercialized advanced intermediates for gadolinium set of molecules in the contrast media space, which are used for MRI scans. W e are tracking some credible opportunities over here, generic and also NCE. Currently, we have 19 products in different life cycles, such as development, sampling, validation, and commercialization.

I would request Mr. VK to take us t hrough the other verticals.

V K Singh: Thank you, Shiven. So firstly, season's greetings to all of you. I just want to felicitate you all in this time of the year. We are having festivals and thank you for joining the call. As Shiven said, this is a maiden call and therefore it's imperative on our part to just give you a glimpse of the various business verticals, what we do and how we do. I will take up the high intensity sweeten ers segment and also the pharma intermediate segment and talk a little bit about the pivots that these two business verticals need.

So HIS has been a legacy segment for the company. Historically, this constitutes about 20% of our top line. O ver the last three to four years, we have had a top line CAGR north of 25 % to 30%. So we have been growing very well in this HIS part of the business. We have been making sweeteners for more than three decades now. In HIS, the high intensity sweetener addressable market is about 3 billion.

And of this saccharine that we make, that's our major product, that constitutes about 13% to 14%. Globally, you know, the capacity present worldwide for this saccharine sweetener is about 35,000 to 40,000 metric tons. And of this, we have about 10% of the world capacity.

The capacity at Blue Jet is about 3,500 to 4,000 metric tons, which makes us one of the leading players worldwide in this molecule. As a molecule, this has been around for 150 years. It's completely non -nutritional, which means that it has a zero glycemic index and it is the cheapest alternative to sugar.

Hence, we don't foresee any life cycle risks to the product. Just like contrast media, where iodine has been working as a contrast agent for more than a hundred years, there also we don't foresee any life cycle risk on a disruption happening. Here again, in the high intensity sweetener, also we don't see any life cycle risk for saccharine.

Being a performance chemical, this has a multi -industry end use, but we cater more to the non - commodity or the sticky part of the business. W e supply to the who's who of the beverage industry, we supply to the who's who of the oral healthcare industry, and we also supply to a lot of the big pharma. We make this in a US FDA approved environment, which gives us a unique positioning as most of the companies treat this as a fine chemical.

Our product is known for its taste and consistency of taste, both of which are very critical parameters for onboarding a vendor. Habit and customer preference work as huge entry barriers to any new vendor who's trying to pitch his product to the FMCG clients. With some hoovering, perhaps I could say that the high amount of backward integration that we have, the scale that we have built, our dedicated production block, they all contribute to our cost competitiveness. Because of this, we have been able to create a small moat for ourselves in this segment.

Having said that, I will now take you through our third product vertical that we call internally the PI, the Pharma Intermediate Vertical. This vertical is built on our CDMO and CRAM S capabilities, where we partner right from bench to the bulk stage.

Our focus is chronic therapeutic segments. We are working with several M

NC and innovator companies for late stage NCEs and recently launched and commercialized opportunities. A lot of incubation was done in this segment three years or four years back, and some of those opportunities are now getting to industrial scale.

One such opportunity was in the cardiac space where commercialization has happened in the last quarter, which has led to a quantum jump in the revenues of this segment. And when my colleague Ganesh will dive deeper into the numbers, you would see that this segment is getting a lot of traction and is scaling. For a CDMO model, which we are in, I would say we are a pure play boutique CDMO company. Both R&D capability and production capacity are critical growth levers.

At R&D, we have constructed a new R&D center and we have doubled our hardware at R&D and have also added some very competent and capable scientists. As far as capacity is concerned, over the last four years, we have quadrupled our capacity. In 2018, we had about 230 KL. Today, we have a little more than 1,000 KL capacity. To keep in step with envisaged customer demand and the lock -ins that we have, we are adding another 50% to our capacity in the next 18 months as a part of our ongoing capex cycles on which my colleague Ganesh, the CFO, will shed more light when he speaks.

With this, our capacity will go up to 1,500 KL in the course of the next 18 months. This capacity will be spread over four units. Three of them have currently got some capacity. Unit 1

is our legacy unit. Unit 2 is our flagship unit, which has the USFD approval. And Unit 3 is a brownfield unit, which we had acquired in the past.

So, these have been very qualitative inputs from my side. And with this, I will hand over to my colleague Ganesh, who will take you through the numbers for the quarter and also the first half of the year. Thank you.

Ganesh Karuppanan: Good morning, everybody. Thanks for joining our first maiden call. I'll quickly give you the snapshot of the financials.
Revenues from operation for H1FY 24 grew by 7.8% year -over -year to 3,609 million, compared to 3,347 million in H1FY23. Mainly, this is driven by higher sale in contrast media and the pharma intermediate API category. EBITDA for H1FY24 stands at INR1,216 million, up 25.3% year -over -year compared to INR970 million in H1FY23. EBITDA margin for H1FY24 was 33.7% as compared to 29.0% in H1FY23 due to rationalization of RM cost and suffering of ocean freight and utility cost. Profit after tax for H1FY24 was at INR920 million, up 28.1% year -over -year as compared to H1FY23. PAT margin was 25.5% as compared to 21.5% in H1FY23.
Q2FY24 revenue was down by 4.7% owing to de -growth in artificial sweetener. EBITDA for the quarter came at INR6 26 million, up 6.7% year -over -year compared to INR587 million in Q2FY23. EBITDA margin for the quarter was at 34.5% as compared to 30.9% in Q2FY23. PAT for the quarter was INR479 million, up 8.9% year -over -year as compared to Q2FY23. And the PAT margin for the quarter was 26.4% as compared to 23.1% in Q2FY23. You could see the overall company's improvement in the profitability margin in H1 and we can actually take it on in the Q&A section.
I request Shiven to give the operational update for Q2. Shiven, you can take it on.
Shiven Arora: I want to update an incident that occurred in Unit 3, Mahad. A s VK mentioned, this was a brownfield acquisition that we had done in FY20. We had retained a production block and we are in the process of constructing two new blocks. Fire broke out in this particular production block on 3, November. Our team, with the help of fire brigade, brought the fire under control in a few hours. There were casualties and injuries reported. It is indeed a heart -wrenching that we have suffered these casualties, given that we have an unblemished record for safe and reliable manufact

uring for the past five decades.
We are fully cooperating with the concerned authorities related to the investigations associated with this fire and have put in a mechanism so that we can avoid such incidents to the extent possible. We are in the process of evaluating direct damages to the property. However, I can confirm that we have adequate insurance coverage to take care of that particular block, which has been affected.
The near -term impact is the existing block impacted by the fire has to be reconstructed and no manufacturing activities would be carried out in that particular block. Our plan was to use this

block to scale up certain intermediates. We are in the process of de-risking operations through other alternatives and will present the same in the subsequent quarter.
Our ongoing capex that has been carried out in this particular site is not affected by the fire. As a company, we are taking all the necessary steps and measures to support the families that have been affected in the form of compensation and also offering employment to their family members.
On this note, we can open the floor for Q&A.
Moderator: Thank you very much, sir. We will now begin the question-and -answer session. The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS.
Sudarshan Padmanabhan: On the Mahad unfortunate accident, I just wanted a little bit more color. Because if I understand, this facility currently contributes negligible or this facility is prospectively going to contribute over a period of time. So, one is on the current phase, it shouldn't have much of an impact, is that right?
Second is, from the client side, given that we had impeccable records in the past, as you mentioned, has there been any kind of communication with respect to, because a lot of our clients are MNCs, and they focus a lot on ESG. So, has there been any kind of actions that you will have to put in other facilities?
Management: So, customers have been intimated. And even though this particular site, Unit 3, we were in the stage of establishing certain molecules. This particular site is not under the quality management system of our customers at this point in time. However, it was our responsibility to inform. We are taking all the necessary measures to firstly control the situation at this point in time. And also, as I mentioned earlier, the capex that was ongoing in this particular site is not affected by the fire. It was in one production block.
Sudarshan Padmanabhan: If I look at primarily in the Saccharin business as well as the contract medium, it's my understanding that we have a long-term arrangement. So, we basically would have visibility in terms of volumes across the year. But is that a fair understanding that one is the drop that we saw in the sweetener, it would primarily mean that the business is not necessarily linear on a quarterly basis, but on a full year

basis, the volumes more or less would be achieved.
And secondly, specifically to the CMI, if the slower growth or the fall in the top line, it is more to do with the fact that we operate on a gross contribution per kg. And if the raw material falls, we basically pass on at least partially or fully. Therefore, the gross contribution per kg on a lower realization is higher, which results in better gross margin. Is that a right understanding?
Ganesh Karuppannan: I'll just pick up on the artificial sweetener. In the first half, we had impact on artificial sweetener on two counts. The imported material pricing is cheaper. We are not interested in dropping the prices. We don't want to compromise on the gross margin at this stage. So, the spot market opportunity that is something we lost in Q2.

We will be actually catching up in the artificial sweetener in Q4, as

most of the order cycles
are between January to September. So, there is a little bit of seasonality. So, that we will be addressing as far as the artificial sweetener is concerned.
The second question is on gross contribution per kg. We have products where the realizations differ from product segment. The realization within the product segment is also very different. It is not appropriate to actually go based on contribution per kg. Because this is something where you have certain low -value products as well as very high -value products. Y ou cannot actually uniformly assume a particular gross margin per kg. That would actually give a wrong assessment.
Sudarshan Padmanabhan: Sure, sir. On the question on the CMI (Contrast Media) side, where the sales were a little weaker, was it because the raw material price is corrected, and we had to pass on the benefit? Please give some color on that.
Ganesh Karuppannan: Contrast media, in the first half, we have grown. If you really look at the number, we have grown by quantity and as well as on a better price realization. Both contributed to a higher turnover.
Sudarshan Padmanabhan: And we should see a little bit more momentum in the second half, given that capacities have come in?
Ganesh Karuppannan: On the existing contract, being a CDMO business, we have a step-up growth. We don't actually see a linear growth. O n the existing contract, you have a moderate growth, mostly on quantity terms. And whenever you have a new product, new customer launch, you see a step-up growth. W e do expect, based on the pipeline, we should be actually seeing a positive growth in this financial year.
Moderator: Thank you. The next question is from the line of Darshan Shah from Multi -Act Equity Consultancy, Pvt.
Rahul Picha: My first question is on the contrast media segment. T he largest customer accounts for a substantial portion of our revenues. We do about INR450 crores with GE Healthcare. So, just wanted to understand how much penetration have we achieved with that customer and what is the scope for incremental growth with the same customer?
Ganesh Karuppannan: While our top customer will continue to be the single largest customer, we have certain launches in the next couple of quarters which actually would bring in the concentration risk which will be addressed. Currently, we have a couple of opportunities in contrast media as well as pharmaceutical intermediate space. T hat would actually de -risk our concentration risk in the near term. In terms of the customer lock -in with our major customer, we have long -term contracts in place that would sustain whatever businesses we are currently doing with these customers.

Rahul Picha: Incrementally from our understanding point of view, so incremental growth in the contrast media business will be more driven by new customers or is there potential for, more penetration with the larger customer as well?
Ganesh Karuppannan: With the existing contract, there will always be a nominal growth based on the customer requirement and a step -up jump will always happen as and when we have a new customer or a new product.
Rahul Picha: That’s exactly what I wanted to understand. Is there scope for newer products with the same customer or we are almost fully penetrated?
Ganesh Karuppannan: We are working on a number of projects and as we speak, we plan to have a few launches in this financial year, which is expected in Q4 to Q1 of FY25.

Rahul Picha: On the pharma intermediate business. Can you give the rough split between the revenues that come from patented and generic products?
Ganesh Karuppannan: We don't actually share this particular information. VK, you want to take it on?
V K Singh: Yes. No, Ganesh, you are right. I agree. We don't categorize it and share the numbers in that fashion. But today, whatever revenue we a

re getting, we are getting from products which are protected and there is no generalization. In fact, our strategy is to follow leads which are still either under patent protection or some sort of marketing exclusivity. Even if they are not, we try and track those opportunities where the generic competition has not hit in. Till date, we have been successful. We have to see how it pans out going forward.
Rahul Picha: Over the next couple of years, what kind of scale -up are you expecting in this division?
V K Singh: We have four or five very interesting opportunities. A couple of them have already kicked in the previous quarter. And because of those opportunities which have kicked in, for example, the couple of opportunities which have now entered the commercial phase, you will see a ramp -up happening and very good traction in this third vertical gaining. W e are tracking some more opportunities in this space, and I think there is a lot of headroom for growth in this vertical.
Moderator: Thank you. We will take the next question from the line of Nikhil Mathur from HDFC Mutual Fund.
Nikhil Mathur: On the contrast media business. You talked about nominal growth in the existing business and step up only when the new products will come on stream in 4Q and 1Q of next year. Can you give some color on the addressable market of these launches that are planned in the next six months -nine months in terms of how big is the addressable opportunity, what can be the volume market share that Blue Jet is looking to target in these products, so that we can get some understanding as to what can that step up be once the business growth gets exhausted?
Ganesh Karuppannan: Actually, in the intermediate space, there is no available data on the market size, specifically on contrast media. Today, what's happening is the key customers, they are fully backward

integrated, and they control everything from intermediate to formulation. There is no available data on what that market opportunity is.
Given our relationship with the customers, we were one of the preferred suppliers for the top four players whenever it comes to outsourcing. A s and when the customer decides to outsource, we are one of the preferred suppliers in getting these opportunities. If you are looking for market data on the intermediate space, this is not available actually.
But the opportunity size, if you really look at a 5.9 billion market, even if you could make a best estimate, the intermediate would be quite a sizable opportunity which is currently controlled by the top four players. 75% of the market is covered by the top four players. And the opportunity for outsourcing for intermediate, we believe, would be quite interesting.
Nikhil Mathur: The launches that are planned in contrast media, all of them are NCEs?
Ganesh Karuppannan: No. Shiven , you want to take on the profile of the product because mostly it's all off -patent.
Shiven Arora: Yes. These molecules have been off patent for 30 decades now. But these opportunities that we are tracking, we will invoice one important validation that we are doing in Q3 this year. This is an advanced intermediate from what we are doing at this point in time. We are also tracking some credible opportunities on the MRI side. These are new products launched in the market and we are a key supplier to one of the big four players in this.
Nikhil Mathur: If the molecules are already quite generalized, like you're mentioning that they have been in the market for decades, why is it difficult to gauge the market potential of these molecules?
Ganesh Karuppannan: Today, what's available is the sales of the formulation, the contrast media, the dice part. Today, the entire supply is controlled by the formulator. Today, if you look at the top four players, there is no information available on what is actually getting ou

tsourced. There is no reliable database on the intermediate side.
Nikhil Mathur: Sir, on the formulation end, the molecules that you are likely to launch, what is the market size of the formulation of these two or three molecules that you are launching?
Shiven Arora: Just take a step back. We will still be an intermediate manufacturer for these innovators. There are a few molecules that have an established market space. Today, since the overall market is growing, the propensity to outsourcing intermediates is increasing because in this particular way, our customers can make more of API outsourcing certain intermediates.
Over the past few years, we've seen this trend increasing. Today, since we are fully backward integrated, it gives us a good advantage from a cost and quality standpoint. T his is one of the

major reasons net realizations per kg is increasing as we launch some key products.
Nikhil Mathur: My second question is on the margin front. When I look at gross margins in the past, the data that we have from your DRHP of the last three years, gross margin has been above 60% as well in FY ‘20, FY ‘21. I think raw material prices were kind of under control at that point in time. Then they shot up in FY ‘22 and FY ‘23 and your margins came down to 58%, 53%.

Now you are tracking 56%, 57% in the first half. Is there a possibility of a gross margin turning back to above 60% levels in the next two years -three years?
Ganesh Karuppannan: If you look at the high margin period, I think that was because of the COVID impact. I think when COVID started, most of the chemical prices crashed. Especially some of the key raw materials we were importing, the prices literally crashed. So, you have to take it as one outlier. Normally, I would actually expect levels of around 60% gross margin, 58% to 60%. FY ‘23 was again an issue with raw material prices. You might be aware most of the chemical prices significantly went up. T hat impact you could see in FY ‘23. FY ‘24, we are back to the 58% levels. We believe at the current chemical prices, we should be in a position to sustain this particular margin level.
Nikhil Mathur : So, 57%, 58% is where the company can go to, perhaps not beyond that on a sustainable basis?
Ganesh Karuppannan: On the existing portfolio.
Nikhil Mathur : The incremental business in FY'25, '26, will it be at a higher gross margin or at a similar level?
Ganesh Karuppannan: It depends on the portfolio. Like our assessment, it will be in excess of 50% to 55%.
Nikhil Mathur : One final question on the employee cost side. The numbers at 7% of sales and some employee costs how do you see this trending in the next two, three years? A mongst the companies that are a bit similar to yours, employee cost doesn't usually trend this low. A t 6%, 7% is what you have been trending in the last two, three years. Will this continue or do you need to step up the employee cost expenditure in the coming two, three years? So any color on the employee cost, please?
Ganesh Karuppannan: It won't be significantly different. There could be a marginal increase of a percent or so. Our senior management is in place and for any new capacity addition, we will be actually hiring people at an operator level. So, it cannot be a significant jump in the salaries and wages cost.
Nikhil Mathur : So, it won't go beyond 7%, 8%?
Ganesh Karuppannan: Yes, it will be around in the similar range actually.
Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla.
Naushad Chaudhary: Hi, thanks for the opportunity. Firstly, on the value addition piece in your Contrast Media business, so if you can help us understand, where exactly do we add value in term? Do we participate anything in terms of the product development piece or on the process side? What exactly do we add value to the custom

ers here in this business to get the contract from the client?
Shiven Arora: Over the years, we've developed a good level of understanding with our key customers because the relations are of more than a decade in some cases. So, there could be some problems that we could help them when it comes to intermediates in terms of the quality profile. What we

have recognized over the years is that since we are fully backward integrated and the unit operations that we are conducting in a semi -continuous manner offers better quality and yield. So, this in turn creates advantage from a customer standpoint, from a sourcing view because this value addition is important. These molecules have been off patent for many, many years. But with the kind of manufacturing and the automation that we are offering, there is still innovation happening on the engineering side.
So, customer engagement on two fronts. One is helping them on the existing molecules and also participating in some of their newer developments which are in the early phases at the intermediate stage.
Naushad Chaudhary: In your existing portfolio, with some examples , if you can, share what exactly we have done to get the contract from the client? Is it the more the process innovation you have made which is helping you to make it cost -effective versus peer ? Is there anything else which you have added and which has led you to win this contract? At least in your key products. With some example, that would be helpful.
Shiven Arora: I think the biggest win for us as a company is pure consistency and concentration in this particular segment. Today, we have been recognized as a credible intermediate supplier in the contrast media space with these global innovators. Over time, we have proven our capabilities

from a scale-up standpoint. And it's a very heavily guarded industry. I mean, they don't prefer opening their specifications also at this intermediate stage because it's very unique. Even though the molecules have been off patent , this particular therapeutic area has not seen generalization. Multiple factors to it would be the drug- device coupling. The scale at which the existing customers are operating. L ike I mentioned before, as we start from the basics, when we move up the chain into advanced intermediates, there's a positive impact on the quality and yield which is much appreciated buyer and customers.

Naushad Chaudhary: That we understand, sir. Just from a product qualification point of view or for any new product which comes into your basket, there would be some checks, something which clients would do from his end to go ahead with you or with XYZ other suppliers. So what are the key things they check before giving a contract to their bidder?

Shiven Arora: I think the most important factor that they look closely is the quality parameters that we are offering. We'll have to, let me just take a step back and explain that this particular segment is addressing the Medtec industry. It's a high- dosage injectable. Injectables, as you are aware, have a very strict regulatory control. So even at the intermediate stage, product validation takes years.

Naushad Chaudhary: Typically, how many suppliers do they keep for one product?

Shiven Arora: So these are specific opportunities that we track closely with our customers. T his has been discussed for many, many years after we effectively start manufacturing it because of the

regulatory burden. I would refrain from making any statements from a customer sourcing strategy. But just like many other MNCs, they would have alternate sources.

Naushad Chaudhary: So there could be two reasons, geographical diversification or supplier diversification. Is there a possibility that clients can have two suppliers from the same region, from s

ame geography?

Shiven Arora: That is true. That's quite possible.

Naushad Chaudhary: On the pricing policy side, how often do you change your product prices in your Contrast Media business?

Shiven Arora: So bulk of the contrast media revenues are backed by multi -year supply agreements that have a pricing formula, which factors in some key raw materials and major price fluctuations. So the pricing is fairly stable. T he customers don't like working with many suppliers because that's one of the major reasons they've controlled the specification requirements and avoided competition.

Naushad Chaudhary: What all are the key raw materials, if we can share, you use in your business? Two, three key raw materials?

Shiven Arora: It's safe to confirm that we are fully backward integrated.

Naushad Chaudhary: I would like to understand from a pricing point of view, to have some sense on the business, if you can share the name of your key raw materials.

Shiven Arora: It would be currently under confidentiality IT agreements, but we will make that available in the subsequent quarters after the approval.

Moderator: Thank you, sir. We'll take the next question from the line of Rohan Advant from Prad Capital.

Rohan Advant: In the presentation, you stated that we have completed plant validation batches for one advanced intermediate. So is this from our top customer? Is this from a new customer? And how big is the opportunity and some timelines on when this would actually be commercialized?

Shiven Arora: This was a very important milestone and a key validation that has been completed. It is with one of the big four contrast media players. W e see positive momentum on this particular front because the N -Formulation is also growing by low mid-teens. And it's a credible opportunity.

Rohan Advant: Is this pertaining to the step- up that you talked about that could happen in Q4 and Q1 or this is a separate opportunity?

Shiven Arora: This forms a part of what has been discussed. Yes.

Rohan Advant: Okay. So then secondly, with respect to the Mahad unit, we are on our capex program and we plan to increase our capacities. And also we are expecting a step -up in the last quarter of this year and first half of next year. How critical was the Mahad unit to this capex plan? G iven that

maybe we lost some part of that unit for some time, what implications does it have on our

growth, if at all?
Shiven Arora: So the short and medium -term plans are intact. The capex, which is ongoing, is in the non-affected area.
Rohan Advant: For FY'24, '25 and '26, what are our capex plans in terms of rupees crores?
Ganesh Karuppannan: In the last 18 months, we have spent close to INR150 crores. We plan to spend another INR200 -odd crore in the next 6 to 9 months. This expenditure is Unit II Ambernath, where we are coming out with an additional block. W e are coming out with two new blocks in Mahad. We have also completed our investment in solar. And this, we should be in a position to integrate with the grid shortly. The only expenditure which is slated for FY26 will be for our Unit IV, where we are awaiting environment clearance once we have this. Our capex plan for the new greenfield site should start somewhere in the middle of FY25.
Rohan Advant: Okay. And sir, you said the capex you've done in Mahad is unaffected by the fire. So that capex will be usable for our capacities going forward or it would be stalled for some time? And is the work going on right now?
Ganesh Karuppannan: As far as Mahad is concerned, the capex what we are planning is more for a backward integrated product. So we are actually taking out one of the imported raw material. We will be making it in -house out of this facility. So , while it's not a revenue generating investment, it is going to be more from de -risking our raw material sources. So,

while it is critical, it won't have an impact in terms of the top line.
Rohan Advant: If there's any delay in Mahad . It's largely to, largely might delay the backward integration but not our revenues and the scale -up. Is that the right understanding?
Ganesh Karuppannan: So in terms of delay, we need to actually make an assessment because of this particular incident whether any short -term delay is expected in terms of our timelines. That's number one. We are also planning to have one additional block which is for multipurpose product. So that is something which was expected middle of FY25. So we need to make an assessment if there would be any delay in executing these products.
Moderator: The next question is from the line of Ritika from Value Quest.
Ritika: Hi, sir. Thank you for taking my question. My first question is on continuation of capex discussion. So in H1 FY24, we did INR80 crores of capex. What is the guidance for FY24 and '25?
Ganesh Karuppannan: FY24, we plan to spend another INR200 crores. FY25, we should have an investment of another INR150 crores. That's more on the green field in the site. Which is our Unit IV.

Ritika: My second question is on the cardiac esperon drug in the pharma intermediates. Wanted to understand how has the scale -up been? I believe there was some delay that was happening in the scale-up. So in terms of maybe per month, where are we in terms of this drug scaling up?
V K Singh: Yes. So the scale-up has happened. Commercialization, we've entered the commercialization phase. That's the reason that you see that the quarter numbers are showing ramp up and very good traction as compared to the same period of last year. H ereafter, I think there will be slight increase on monthly offtake as the product stabilizes. I think there should be a steady revenue stream month on month.
Ritika: So also we were expanding our capacities for this particular drug. With a Mahad incident or something, do we expect that to get impacted in any which way? Or do we expect scale-up in our capacities to happen as planned?
V K Singh: So how we structure the business is that we always have bridging capacities. So currently, this is being made in a particular facility. And going forward, by the time the volumes ramp up, our new capacity, which is at Unit II for this particular drug, will be on stream. Then when that happens, we don't foresee any delays. Whatever timelines have been indicated, we will be keeping in step with those timelines. The moment that happens, this will transition from the current plant that we are producing to this new facility. T hat facility being in Unit II, we don't foresee any impact or any delays from what we have indicated in the past.
Ritika: On the guidance. So earlier, we were guiding for a PAT, '24 PAT guidance of INR240 crores. Does that still stand?
Ganesh Karuppannan: We don't share any forward-looking numbers.
Ritika: What we've said is this new validation that we've done in the Contrast Media, we expect that to start commercializing from FY24. Would that be a correct understanding?
Ganesh Karuppannan: Yes. We are working on that, actually.
Ritika: Any idea on the metric ton that we expect to supply for this new drug for FY24?
Ganesh Karuppannan: No, we will not be giving guidance on those numbers now.
Moderator: Next question is from the line of Naitik Mohata from Sequent Investments.
Naitik Mohata: Yes, sir. Thank you for the opportunity. Sir, starting with what are our utilization levels as of

now?
Ganesh Karuppannan: Capacity utilization is around 70%.
Naitik Mohata: Considering the incremental capacity that we are planning in the next 15 to 18 months, what our peak revenue could look like if the incremental capacity is running the same at 70%, 80%?

Ganesh Karuppannan: Number one, the incremental capacity, what we are proposing in Mahad is more for backward integration. So we will actually take out one of our raw materials and make it in -house. So that won't have any implication on the top line. It's more to do with our sourcing. And we don't give guidance on the future projected sales numbers.
Naitik Mohata: What would our peak revenue potential be like for our existing capacity or increased capacity per se? Just a ballpark figure?
Ganesh Karuppannan: When you talk about capacity, in our nature of business, it may not be appropriate to extrapolate the capacity utilization. The incremental capacity, the revenues generated by incremental capacity could be very different. The per kg realization, whatever we are discussing at this stage, could be significantly higher than what we are currently earning on a per kg basis. So, the incremental revenue from the incremental capacity is going to be very different.
Naitik Mohata: Among the three verticals that we operate in, according to you, which would be the vertical that we are more opportunistic in the upcoming years?
Ganesh Karuppannan: We go based on customer. So, it's basically like it could be either a Contrast Media, Artificial Sweetener, or PI. We have marquee customers and based on the customer needs, we look at it. It may not be specific to a particular product segment. I would actually say it's more specific to a customer.
Shiven Arora: I think we are very positive across the three verticals. We are hopeful and there are some credible opportunities that we are tracking. There is solid traction in all the three verticals at this point.
Moderator: Ladies and gentlemen, as that was the last question, I would now like to hand the conference over to the management for closing comments.
Ganesh Karuppannan: We thank your participation. Being our maiden call, to the extent possible, we have tried explaining our business model. The transcript will be uploaded within the timelines. We look forward to your support. Thank you.
Moderator: Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Blue Jet Healthcare Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

(This document was edited for readability purpose.)

Call: Feb 2024

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■ BLUE JET HEALTHCARE LIMITED
REGISTERED & CORPORATE : 701 & 702, BHUMIRAJ COSTARICA,
PLOT 1 & 2, SECTOR -18, SANPADA, NAVI MUMBAI -400705
BLUEJET T:022-41840550/40037603 IF: +912227814204
E: sales@bluejethealthcare.com CIN NO.: L99999MH1968PLC014154
Unit I HEALTHCARE
February 14, 2024
To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai -400 001
Scrip Code (BSE): 544009 National Stock Exchange of India Limited
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East)
Mumbai -400051
Symbol: BLUEJET
Sub: Transcript of the Earnings Call with Analysts/Investors
Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the third quarter and nine months ended 3pt December, 2023 held on February 9, 2024.
The same is also available at: https://bluejethealthcare.com/investor-presentation/
You are requested to take the same on record.
Thanking you,
Yours faithfully,
For Blue Jet Healthcare Limited
SWET A Digitally signed by
SWETA PODDAR
Po D DAR Date: 2024.02.14
16:52:13 +05'30'
Ms. Sweta Poddar
Company Secretary & Compliance Officer
3/2, Milestone, Kalyan Murbad Road, Village Varap, P.O. Box No. 5, Shahad-421103, Tel.: 91 251 2280283 Fax: +91 251 2280567
Unit II
Plot No. 8-12, C-4, E-2, MIOC, Industrial Area, Chemical Zone, Ambernath (W) 421501. Tel.: +918956363877/8956363878
Unit Ill
K-4/1, Additional MIDC Road, Mah ad Industrial Area, Mah ad-402309, Tel.: + 91 22 2207 5307 / 6192 / 1691 Fax : + 91 22 2207 0294
Email : info@blue;ethealthcare.com / Website : www.blue;ethearthcare .com
BLUE JET HEALTHCARE
“Blue Jet Healthcare Limited
Q3 & 9M FY '24 Earnings Conference Call”
February 09, 2024
MANAGEMENT: MR. SHIVEN ARORA — MANAGING DIRECTOR
MR. V. K. SINGH — CHIEF OPERATING OFFICER
MR. GANESH KARUPPANNAN — CHIEF FINANCIAL
OFFICER
MR. SANJAY SINHA — DEPUTY CHIEF FINANCIAL
OFFICER
MODERATOR: MR. ADVAIT BHADEKAR — ERNST & YOUNG

Moderator:
Advait Bhadekar:
Ganesh Karuppannan:
Shiven Arora: February 09, 2024
Ladies and gentlemen, good day and welcome to Blue Jet Healthcare Limited Q3 FY ‘24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Advait Bhadekar from EY. Thank you and over to you sir,

Thank you Yusuf. Good morming and a warm welcome everyone to Q3 and 9M FY ‘24 earnings call of Blue Jet Healthcare Limited. Please note, investor presentation and the financial results are available on the company website and the stock exchanges.

Also, anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company as well as on the exchanges.

Please also note that the audio of the conference call is a copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

From the management, we have with us today Mr. Shiven Arora, Managing Director, Mr. V.K. Singh, Chief Operating Officer, Mr. Ganesh Karuppannan, Chief Financial Officer and Mr. Sanjay Sinha, Deputy Chief Financial Officer.

Now I request Mr. Ganesh Karuppannan, Chief Financial Officer of Blue Jet Healthcare Limited to provide you with updates on the quarter. Over t

o you sir.

Good morning everybody. Before we start with the performance of Q3, I would now request Mr. Shiven to give you a brief about the Mahad incident and then we will actually get into the performance review.

Good morning and a warm welcome to all. We had informed about this incident that took place in Mahad on the investor call dated 12, November 2023. The incident took place in Unit 3 in Mahad and the incident was localized in a particular block. Our foremost concern was the loss of life due to the accident which can never be compensated. Our responsibility is towards the families who had lost a member in their family and the compensation was paid to them. Injured persons have been treated and are now discharged.

We had received an order to stop production in the impacted site that is Unit 3 from MPCB. The suspensioning process of the affected area is started and will take another six weeks. As on today, we have received the approval to initiate the capex activities in Unit 3.

Our original plan was to move the production of raw material that we are currently importing to in-house which remains intact in Unit 3. We expect this block to be validated by Q3 FY ‘25. We will also add another block for multi-production as per plan.

We do expect this block to be validated by QI FY ‘26. We are in continuous communication with all the regulatory agencies and cooperating with them in the inquiry process. Consequent to this incident, we are re-validating the safety system to identify the gaps in all locations wherever required.

Certain additional equipment and systems were installed to ensure the highest level of safety standards. We are also undertaking a complete systemic review of all safety systems and renowned consultants are engaged to conduct the risk assessment and suggest best-in-class practices including safety training. We have made a change in the organization by bringing ina safety senior resource with responsibility of safety of all our units.

We have ensured properties of the unit. Loss assessment is being carried out and a final report is expected. As a prudence measure, we have taken property damage as a loss in the P&L and will reverse it on the admissibility of the claim by the insurer.

As an important business update, I would like to highlight two opportunities that we were closely tracking and have touched an important milestone at a customer's end in December. Such as a label expansion for the cardiovascular drug which is an NCE molecule and an NCE intermediate in the MRI space.

These were two important credible opportunities for Blue Jet Healthcare as well. And we were doing capex in Unit 2 in the past 12 months. So this capacity build-up would be ready for validation in QI FY ‘25 to meet up with the growing requirements of our customers in these two specific areas such as the pharma intermediate space in the CDMO business and the contrast media.

On this note, I would like to pass on to Mr. Ganesh to explain more about the financial performance.

Hi, we have uploaded our performance in our website for you to have a detailed understanding. We will be sharing certain key highlights in this business call for your assessment. We will start with sales.

The nine months of current year sales is higher by 5%, compared to the previous year. During this nine month, contrast media grew by 8%. Artificial sweetener category de-grew by 33%. This is on account of dumping of products by Chinese manufacturers at a very low price which has impacted our sales. We are still maintaining our prices. So we are actually not getting into

this price war at this stage.
The pharmaceutical intermediate business grew by 194% with commercialization of a high-value intermediate for API under patent till 2031 for cardiovascular therapeutic category.

Company hopes to see increase in sales volume in coming quarters. This could offset the de-growth in artificial sweetener business.
During the current quarter Q3 of FY ‘24, the total turnover dropped by 1%. Contrast media and artificial sweetener de-grew by 8% and 35% respectively while PI grew by 250%. We would like to highlight few key events in Q3 which had an impact on our operation.
We revalidated our safety systems in all the units with the support of external agencies after Mahad incident. This had an impact on the production during Q3 FY ‘24. In addition, during Q3, the Red Sea situation contributed to longer delivery timelines for our door delivery customers with marginal increase in shipping cost. Normally what takes 35 days to 40 days for delivery now is around 60 days to 70 days. So this is actually having an impact on our revenue recognition for door delivery customers.
We will talk about few key products in terms of performance as well as how we outlook for the next couple of quarters. Our contrast media customer for intermediate for NCE increased their uptake in the first nine months for their supplies to the US territory. You may recall we supply intermediates to one of the NCE. The innovator got the approval in the beginning of '23, calendar '23 and the supplies we were able to show significant jump compared to previous year.
They got the approval for marketing the same in Europe in December '23. We expect the traction in the uptake from Q2, Q3 of FY ‘25 once the marketing effort stabilizes both in US and Europe.
We have one more new product launch in the contrast media. We have actually shipped the validation quantity in Q3 and the product is expected to be validated in this quarter. On completion of the regulatory process at the customer end, we expect the commercial volume to start from Q2, Q3 of FY ‘25.
Now we will also talk about the situation with our intermediate supplies to the innovator cardiovascular space. Our innovator customer has demonstrated a sustainable growth. While we have started supplies in Q2 in this financial year, we hope to see increase in sales quarter-on-quarter. An increased uptake in FY ‘25 is planned out in our unit at Ambernath.
We would have completed the investment plan in a new block by March, April of this calendar year and the facility will be ready for validation in QI, '25. The commercialization of the increased quantity is expected from Q2, ‘25. So this is a critical event we are actually looking out for.
We would also like to give a quick update on our existing products in the contrast media space. We believe the potential for contrast media is on the race and expect few of our customers to strategize capacity planning for the future, which may result in planned slowdown in production to debottlenecking of capacities in the short to medium term. Once the capacity planning at the customer end is addressed, we believe our customer's need for contrast media intermediate will increase in the long run.
Now moving to artificial sweetener, we decided not to drop prices in the current scenario and will be opportunistic. We will continue to stay where we are now in this category. Considering

the market situation, to maintain few customers which having a consistent consumption company may soften the price to some extent in order to regain market share. Company is also in the process of targeting new customers in Europe and US as well as developing other sorts of saccharin such as calcium saccharin.
Now moving on to profitability, if you look at the gross margin, thanks to the softening of raw material prices, for the nine months we are around 57.5% of gross margin. We could actually see the overall trend in raw material price easing off.
As far as the operating costs are concerned, our focus on non-renewa

ble energy sources helped
us to reduce the power cost by 1% and the favorable ocean freight for most part of the year also reduced our operating cost. Marginal increase in salaries and wages was offset by the savings. So, we are able to sustain our overall operating cost at a consistent basis.
During the quarter, we took an extraordinary item. The compensation paid to the families of the casualties of in excess of INR3 crores has been taken as a charge to the P&L. This would be a one-time impact. The balance is on account of loss of property at Mahad. While the survey is going on, we have taken a hit in the P&L and it will be reversed once the insurer admits this claim, which we expect somewhere in Q4 FY24 to QI of FY ‘25.

In terms of liquidity, as of 31, December, we have a cash-in investment of INR237 crores. On the Capex, our solar project got completed by December and we were able to integrate it with the grid by January '24. We have invested close to INR30 crores in this and we do expect more than 60% of our total power requirement should come from our renewable energy source and this could be a good amount of savings way forward.
We expect our capex in Amarnath to be completed by March-April with an outlay of close to INR90 crores to INRLO0 crores. As I mentioned earlier, we should be validating this facility by QI FY '25. We are also in the process of making our EC application for a greenfield site.
We actually will be fast-tracking our investment in this new greenfield site and we do expect traction in FY '25 and we should expect this facility by FY '26. We have talked separately about Mahad investment and currently the total outlay for this is going to be around INR250 crores. But the split between FY '24 and FY *25 will be largely dependent on when the site is ready for investment. I think today, the site is yet to be dismantled and once we get that requisite approval, it will be dependent on that.
In terms of Profit After Tax, Q3 we dropped to 19%. This is predominantly because of the extraordinary item and if you look at nine-month ended, including the extraordinary item, our PAT is around 23% compared to 21% of the previous year.
We are now ready for the Q&A.
We will now begin the question-and-answer session. First question is from the line of Sanjesh Jain from ICICI Securities. Please proceed.

Sanjesh Jain:
VK Singh:
Sanjesh Jain:
VK Singh:
Sanjesh Jain:
Shiven Arora: February 09, 2024
Good morning sir. Thanks for taking my question. I have a few of them. First on the new launch of PI API, which has been highlighted in the presentation, can you give more detail on what is this product? When is this expected to be shipped and booking of revenue will start?
Sanjesh, as you are aware, this intermediate goes for a cardiovascular end-use product to the innovator. The product is protected by a patent till 2030 and another year of marketing exclusivity.
Supplies had commenced for this product in the last quarter of the previous year and you would have seen an uptick in the performance of this third business vertical, that is the PI vertical. As we speak, the supplies are ongoing, but there is going to be a significant uptick in the volumes, and for which the new capacity that we were adding in our Unit 2, that is USFDA approved at Ambernath, that new capacity would be on stream in quarter | of FY '25. That's a time when there will be a significant uptick in the revenue from the product as well.
I think there are good tidings on the market as far as the molecule is concerned. The Esperion, the innovator, has been granted a label updation and with this label updation happening, the addressable market for the molecule increases manifold. We are, however, sticking to the original projections that we had discussed about and not factoring in any of this uptick that could come from the label updation tha

t's happened.
You would have also seen that there has been an amicable settlement with Daiichi Sankyo. So I think as far as the innovator and the molecule are concerned, there is alot of positive news.
Fair enough. So we were in the process of expanding that and that expanded capacity will come in QI '25 and hence we expect an uptick from Q1 '25, that's the broad assumption?
Yes.
Fair enough. Second on the MRI thing and one which we have sent for the validation, I think MRI thing has also received European Union approval. When should that materially start contributing to the contrast media? And second question related to contrast media is on the validation quantities we have sent. When should we hear a response from the customer and when should we actually look at the commercial supplies on a regular basis?
Yes. Starting off with the first update on the NCE intermediate for the MRI space. So as a company we have been supplying the advanced intermediate from Phase 3 to the customer and been a very strong partner in the overall success. We've been adding up capacities into for this particular candidate and in QI FY '25 this plant will be validated. However, the commercial offtake should perhaps increase from Q2 FY '25 for this particular NCE intermediate. On the generic intermediate for the iodinated space, this was an important milestone for us as a company to supply this validation quantities.
Depending on the stability studies and the time required by them, I think our best estimate would be Q2, Q3 FY '25 for a significant ramp-up when it comes to this particular candidate. It can happen earlier as well but we are being conservative when it comes to this particular outlook.

Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
VK Singh:
Sanjesh Jain:
VK Singh:
Sanjesh Jain: February 09, 2024
Will we be dependent on the Mahad side to come up for these product ramp-ups or we have enough capacities in Ambernath to support all this expansion?
It is safe to confirm that these two NCE opportunities, both CDMO linked for contrast media and the cardiovascular space are purely coming from Unit 2 Ambernath and not linked to the Mahad site.
So all the three products which is NCE for MRI and the generic iodine and the cardiovascular, all the three will be serviced from the existing capacity or an expanded capacity from the Unit 2, Ambernath?
Correct.
Got it. What is your plan for Mahad in that case because we are incurring a large capex of INR250 crores. So what are the plans for Mahad and what is the utility or utilisation we are looking for in Mahad?
So Mahad, the immediate action plan was a block for backward integration and contrast media. Fortunately, the pricing of the raw material has favoured us for the company so backward integration will happen by Q3 FY '25, that is block number 1. And the other block would be a multipurpose intermediate block for the CDMOs, the opportunities that we are tracking both in contrast media and the pharma intermediate space for different therapeutic categories such as cardiovascular, CNS and oncology. So these are two large multipurpose blocks that we are developing in this particular site in Unit 3.
Thanks. Can you talk about the pipeline as well because I think the capex plan looks quite large. So in that contrast, can you help us understand what is the pipeline we are looking at or having in our R&D which gives us the confidence and the visibility for the large capex in Mahad?
Sanjesh, as you know we had expanded our R&D. We had expanded, we had doubled the hardware and we had also doubled the number of people. There is a pipeline for contrast media as we have spoken in the past, four or five new opportunities are building up in contrast media. On artificial sweeteners also, we are developing a couple of new artificial sweetener

s. The most
interesting piece isin the PI segment where something that was incubated about three years, four years back has now fructified and we see the uptake in the PI vertical business. But besides that also we are working on four to five very significant and credible opportunities in the PI segment with client visibility. So the capex and capacity that we are putting up, I would say, already has good visibility and would very quickly get to a very decent scale of utilization.
Got it, sir. One last question from my side.
Just to add, as you know that the company has been built on chemistry platforms. We have added two or three new chemistry platforms as well which will help make our pipeline more robust.
And which are these chemistries? One we were into the isophthalic and nitration. Which are these chemistries?

VK Singh:
Sanjesh Jain:
VK Singh:
Moderator:
Bansi Desai:
Shiven Arora:
Bansi Desai:
Ganesh Karuppannan:
Bansi Desai:
Shiven Arora:
Bansi Desai: February 09, 2024
For example, we have added a pyrophoric chemistry, we have added an enzymatic chemistry and we have also commenced some work on the starting elements for proteins.
Okay. Proteins in the sense which goes into the supplements and all?

No, not that. The amino acids. But this is all in very inception phase but work is on.
Next question is from the line of Bansi Desai from JPMorgan. Please go ahead.
My first question is on contrast media. We have seen a sequential decline here. Is this in part due to the planned shutdown which you mentioned? How long do we expect this impact to be seen in the business?
So, I think as a segment overall, this contrast media is quite significant. And what we learn from our customers is that there is a strong capacity expansion plan for manufacturing API at their respective geographies. Which has led to an immediate softening in terms of the offtake. But when it comes to the overall growth outlook, it seems very positive in this particular segment because the overall segment is expanding quite significantly. The impact for us could be limited to Q4 of FY '24. But with the new ramp-up of the NCE intermediates, we could see a strong recovery starting QI FY '25.
Okay. But despite this shutdown, there was no need for the innovator to stock the inventory or that has been managed with our past supply?
It is actually managed more with our past supplies. So, there are a couple of points. I think one is on the Red Sea impact. Our dispatchers are also now getting impacted. Like what used to take 35 days, 40 days, now it is taking 70 days. So, you would actually see a revenue recognition challenge in Q4 because this is a door delivery consignment.
So, unless it reaches the destination, we cannot take it as an income. So, we already saw a good amount of impact in Q3. And given the Red Sea situation, I believe you would see this trend continuing in Q4. And looking at the production plans of our customers, you would actually see a softening for Q4. Probably, it can extend to a part of Q1 also of next financial year.
Okay. But then, the improved growth, when should one start seeing that? I would believe that we should be then kind of tracking more than what we did probably in the last two years to three in this particular segment?
Yes, I think when we hear about the aggressive capacity expansion plans by our customers, the ramp-up is quite significant. And Q1, Q2, you will see a good recovery in this particular space.
Okay. Noted. And my second question is on PI API. Shiven, you guys have ambitious targets, upgrading this segment. It is a small business as of today. I mean, last year, it contributed to INR30 crores, INR34 crores of revenues. We had ambitions of taking this to 10x, 15x in two years to three years' time. A large part of that was set to be driven by this promising intermediate, for Espirion. So, do we still stand by

that? Does that still remain a material contributor in our target?

Shiven Arora:
Bansi Desai:
Shiven Arora:
Bansi Desai:
Shiven Arora:
Moderator:
Purva Jhaveri:
Ganesh Karuppannan:
Purva Jhaveri:
Shiven Arora:
Purva Jhaveri:

Yes, absolutely. I think with the recent approvals by the regulatory agencies and the label expansion claims that are quite evident right now, I think there is a good amount of traction in this particular molecule. But we are also tracking a few other late-stage NCEs that could be a growth driver in this particular category. I mean, we saw 250% growth in this particular vertical, and it's quite healthy. It has a low base effect, but at the same time, there's a good traction in the opportunities that we are tracking.
But sequentially, when I see, the uptick is probably not to the extent that one would have anticipated, because last quarter, I guess, we had issues on the customer side, which led to delays in validation. So, is that resolved? And if that's the case, then why the ramp-up has not been material?
I think the delay in the last quarter was, of course, attributed to Part 1 would be the validation, but also for us as a company to re-look at the safety systems, not only in Mahad, but the other sites as well. So, it was a conscious decision made by the company to maybe slow down the productions, but at the same time, re-looking at the safety was our utmost concern.
Okay. And when you mentioned about the label expansion opportunity not factored in your numbers, so when we think about these opportunities, you mean to say, once the label expansion approval comes through this particular year, we see upsides to our forecast?

I mean, I think all I can confirm right now is that the capacity built-up that we were undertaking in Unit 2 for these few NCE intermediates, I think that with these positive news by the regulatory agencies, we will be able to fulfill the capacity that were being built for FY ‘25 and FY *26.
Thank you. Next question is from the line of Purva Jhaveri from Girik Capital. Please go ahead.
So, I was asking you about the sharp moderation in revenue and sweetener business. So, can you just give an outlook over here?
Today, in the sweetener business that is actually a dumping of product by China. We actually like have two categories of customers. One is the typical CDMO with FMCG clients and the spot market. Today we are actually not focusing more on the spot market. Because we don't want to actually, like, get into this prices. So, as long as we have this Chinese import, the spot market is going to be a challenge. Our strategy is to focus more on the long-term CDMO customers and reserve our capacity for this. You would actually see this trend maybe for another two quarters to three quarters. Till then, we come and replace it with another FMCG client. I think that's our long-term goal.
Okay. And I wanted to ask you another thing. Can you just give a guidance on what will be the capex cycle going ahead?
Capex, I think we had indicated unit-wise in our opening remarks.
Okay.
Thank you. Next question is from the line of Ritika from Value Quest. Please go ahead.

Ritika:
Ganesh Karuppannan:
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Shiven Arora:
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Moderator:
Darshan:
Ganesh Karuppannan:
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Darshan:
Thank you for taking my question. First question is on Pharma Intermediate. We talked about this new intermediate for Espiron. Capacity ramp up on that. Could you broadly highlight what was the capacity or peak capacity earlier? What was there with us and how much are we increasing the capacity on this Espiron drug?
See, our capacities are fungible. So, we actually will not be sharing those information prod

uct-
wise.
Sure. Second question is on capex plan. I know it was highlighted earlier on the Greenfield as well. But broadly, up till now, Q3, what kind of capex have we done? What's our guidance for ‘24 and ‘25 as well, including this Greenfield site?
See, for FY ‘24, it will be around INR160 crores because our investments in Mahad is getting pushed to FY ‘25. And for the next financial year, we should be targeting approximately INR200 crores to INR220 crores.
Okay. So, could you give us a number on what we've spent for Ambernath Unit 2 for this new capacity for NCE MRI plus this Espiron?
Close to INRL00 crores. That we mentioned it in the initial conversation. INR90 crores to INR1O0 crores is the number we are looking at.
Sure, sir. And lastly, on the new iodinated contrast media intermediate that we are talking about to be validated by this quarter. Broadly, what would be the sense on ramp-up? How big this drug could be for us? Anything that you could share with us?
So, it is an established market for a very old contrast media API in the iodinated space. And the quantity and volume and price have been signed off with the customer and we have stability on that front. So, the ramp-up could be quite aggressive from us as a company.
Sure. Thanks a lot.
Thank you. Next question is from the line of Darshan from Multi Act. Please go ahead.
My question is on end market size of new advanced pharma intermediate that we have talked about. The validation batch that we sent in the Q3. If you could broadly highlight that.
You are talking of the pharma intermediate, right?
No, not pharma intermediate, contrast media. Iodine-based contrast media formulation market

size.
This is the generic contrast media you are talking about?
Yes.

Ganesh Karuppannan:
Darshan:
Moderator:
Ganesh Nagarsekar:
Shiven Arora:
Ganesh Nagarsekar:
Moderator:
Nitesh Dutt:
Shiven Arora: February 09, 2024
In my assessment, this should be probably around 10% of the iodinated space. 10% to 12% of the iodinated space.
Okay, thanks. That's it from my side.
Thank you. Next question is from the line of Ganesh Nagarsekar from Bharat Bet Research. Please go ahead.
Two questions from my side. The first is on the contrast media intermediate. Our clients there are fairly concentrated. So I just wanted to check if there is any intent and ability from the client to backward integrate and if you kind of see that as a potential risk for the business?
And the second is on the sweetener side of things. Just wanted to check with respect to the Chinese competition coming in. Do these guys have any kind of major cost advantage over us or are they basically selling below cost? And could we change anything in our cost structure to make the product more competitive?
So I think you are absolutely nght when it comes to contrast media space, the customers are fairly concentrated to three or four global names. And some of these names rely on our abilities of backward integration. Today in some of the select intermediates in contrast media, we have a world leadership position. To an extent, if there is a requirement and spare capacity, we will export to China. So I think the long term plan would be to further expand their API capacities to meet with the customers and rely on CDMO partners like us for the intermediate requirements.
When it comes to artificial sweeteners, I think there are various benefits offered to the Chinese exporters. So I think in the short term, they would have a cost advantage. But in the long term, the quality that we offer and the price for a few select large consumers of artificial sweeteners in the oral healthcare space and beverages rely on us. So I feel that we should be seeing a good recovery when it comes to the saccharin supplies going forward.
Understood. Thanks a lot, sir. That's it from my side.
Thank you. Next question is from the line of N

itesh Dutt from Burman Capital. Please proceed.
Hi, thanks for taking my question. First question is on our key contrast media molecule 5-ABHPL. So I want to understand what percentage of the total requirement is coming from India? And if this is a significant number, what does India and also Blue Jet have to offer over China and other places that makes us more competitive in this space?
I think it's very difficult to comment on the supplier base for this particular intermediate or others as well. But at the same time, Blue Jet as a company is well-positioned to supply this intermediate in the long term with this base of backward integration and also adding up another critical raw material that will be useful, that will come up from Unit 3 Mahad. It only strengthens our position as a supplier to these innovators.

Nitesh Dutt:
Shiven Arora:
Nitesh Dutt:
Ganesh Karuppannan:
Nitesh Dutt:
Ganesh Karuppannan: February 09, 2024
Understood. Also, I was looking at your historical numbers and I saw that in FY '20, there's been a large jump in our profitability. So, if you would explain what this because of the ramp-up in 5-ABHPL and what exactly changed in that year in terms of pricing, cost structure, etcetera?
I think this particular jump was not only attributed by this particular intermediate that you referred to. I think as a company, we scaled up the manufacturing operations, bought in some automation with the help of our customers. And this was a well-designed plant in which we could get best-in-class recoveries, which we were not getting in FY ‘19. And FY ‘20 was the execution of a large continuous plant, semi-continuous plant for these contrast media intermediates, which resulted in a good bottom line.

Got it. Lastly, for the three molecules that you highlighted, cardio and cardio-intermediate, MRI NCE-intermediate, and iodine-space generic intermediate, and you mentioned that you are spending roughly INR100 crores in Ambernath. Is it fair to assume that the peak revenue potential just from this INR100 crores is roughly INR300 crores, assuming the gross asset turn remains the same as on today?

And also, do we have customer guarantees for offtake of these molecules? I mean, some negotiated amount of X crores supplies, etcetera?

I think first, if you really look at our sales realization, we have the pricing is from 1X to it can even go up to 80X. So it's sometimes very difficult to actually make an asset turnover. If you're actually making a very high-value product, the asset turnover for that particular block could be significantly higher. So I would not like to standardize a turnover ratio because of this mix of low-value as well as high-value products, what we have in our basket. I think it will be difficult to generalize. I think to me, that's number one.

Second, we get into a long-term supply agreement. I don't think we have a guarantee from the manufacturer. I think if you appreciate the pharma business, I think once a particular product is in the final output, it becomes difficult for somebody to change the source. Indirectly, I would actually put that as a sort of a comfort or a guarantee. But in the industry, I don't think there is any sort of a guarantee which is given by the customer.

Fair enough. Lastly, just one question. For the Mahad INR250 crores capex, can you split it in the backward integration block and the new CDMO block, just a rough guidance?

A significant portion actually goes in the utilities, as you will appreciate in the pharmaceutical sector. Your effluent, your boiler, your substations, stores. We are actually redoing the entire infrastructure. And there will be two additional blocks, one for a backward integration of our raw material and one is a multiproduct block. Normally, a production block should be in the range of INR80 crores to INRLO0 crores. The remaining actually goes into the ut

ilities. You
cannot actually ignore the utility, especially when you are actually upgrading it to a larger capacity.

Moderator:
Bansi Desai:
Ganesh Karuppannan:
Bansi Desai:
Ganesh Karuppannan:
Bansi Desai:
VK Singh:
Bansi Desai:
VK Singh:
Moderator:
Ritika:
Shiven Arora:
Ritika:

Thank you. We have our next follow-up question from the line of Bansi Desai from JPMorgan. Please go ahead.

Just one question on gross margins. How should we think about these trending? Because sweetener business has declined for us, but then API should pick-up from here. At the same time, the backward integration plans for some of the key molecules could get delayed because of Mahad. Given these pushes and pulls, how should we think about the margin trend going forward?

With the reduction in one of our key raw material, we should be in a position to sustain the 57%, 58% margin, at least for a couple of quarters. I think to me that is number one. Based on the offtake of the innovative product in the PI API segment, there could be a marginal impact. Maybe in the long run, there could be a couple of percent reduction in the gross margin.

Okay. Sustainable levels should be closer to 55% and the 57% could continue to grow?

In the medium term, it should be around in that category.

Okay. One question on Espiron on earlier in the year, they did mention, or they did allude that in order to improve their profitability, they could look to completely shift the manufacturing responsibility to Daichi. Have you guys had any sort of conversations around this or have you received any communication on these lines from them?

I think we are not privy to any information on that and we may not be able to share much. But what is in public domain, what they are talking about is the manufacturing of the licensed product. And by licensed product, if you will see the definition, it means the pharmaceutical product. So, I would say, it is reasonable to assume that they are talking about the formulation.

Okay. And for this particular intermediate, we are the primary supplier, nght?

Yes, we are.
Thank you. Next follow-up question is from the line of Ritika from Value Quest. Please proceed.
So, an extension of the earlier participant's question. As we are the primary supplier of this pharma intermediate, do we have enough capacity or plans in place? If the formulation offtakes with the updated label expansion, do we have enough capacity to cater to increase in sales or increase in supplies that would be required?
In the immediate ramp-up, what the customer is expecting, I think that should be an immediate milestone for us to achieve and cater to that in a timely manner. But going forward, we are in close contact with the customer needs and requirements and our capacities will evolve as the capacities are fungible in nature and expandable.
Right. And by primary supplier, we should be thinking that 70% around or 70%, 80% of the demand for this intermediate should be coming to Blue Jet? Is that how we should be thinking?

Shiven Arora:
Moderator:
Sanjesh Jain:
Shiven Arora:
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Shiven Arora:
Sanjesh Jain:
Shiven Arora:
Moderator:
Nitesh Dutt: February 09, 2024
Would not like to paint a picture on a particular number, but as a primary and majority supplier, that should qualify as being very credible and important to the customer.
Thank you. Next follow-up question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
I got one on the backward integration for the contrast media. Now that the prices of APD itself has fallen very sharply, going into a backward integration, do you assume the benefit, which we would have assumed earlier, will be significantly lower due to the backward integration? How should we see it? Be

cause I think gross margins have scaled up to 57%, 58%?
Absolutely right. I think it's a very good question you've raised. I think the current pricing levels are similar to the FY ‘22 levels. And in FY ‘23, there was a significant increase in the raw material prices. However, our plan to backward integrate dates back to FY ‘21. So, the plan that has been designed will definitely beat the existing supplier. And it just gives us further stability and predictability in terms of the overall supplies to our advanced intermediates.
Got it. One last bit on the artificial sweetener. When do you think these revenues will stabilize? And China competition, I don't think it's going very soon. So, what's our plan exactly to see that we scale back our artificial sweetener business in the next 12 months to 18 months?
I think our efforts towards increasing the contractual revenues are ongoing. And that can happen by increasing the wallet share with the existing suppliers, but also by adding up new customers. And we have received some positive updates from a few FMCG players. So, our intent and we aspire to grow this category by not just seeing a strong recovery in the saccharine space, but by also adding up a few other sweeteners, which would be another CDMO opportunity with a large player. So, we are developing some other sweeteners as well.
Is it in the saccharine itself or will it be a different sweetener altogether?
At this point in time, it would be another sweetener altogether. But an established name.
Okay. So, we are expanding this in terms of your portfolio.
Yes, because similar customer profile and this helps us to expand into adjacencies. And this has been brought up by them only. So, we are just working on the bench to further optimize the process and be more competitive before we initiate the capex.
Thank you. Next follow-up question is from the line of Nitesh Dutt from Burman Capital. Please proceed.
Just one question. You mentioned that gross margins over a longer term should see a couple of points reduction, like 55% of the sustainable level. At the same time, we are doing backward integration as well. So, I just want to understand why you feel that gross margins will come down in the longer term?

Shiven Arora:
Nitesh Dutt:
Moderator:

Ganesh Karuppannan:
Shiven Arora:
Moderator: February 09, 2024
I think the prediction right now is fairly conservative. I think we want, firstly, the capex that we are doing for backward integration to stabilize. The catch-up could be aggressive as well. But at the same time, the estimates given by Mr. Ganesh would be true and correct at this point in time.
All right.
Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for the closing comments.
Thank you very much for your participation. We will see you in the next investor call for Q4.
Thank you.
Thank you all.
Thank you. On behalf of Blue Jet Healthcare Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
(This document was edited for readability purpose.)

Call: May 2024

@) BLUE JET HEALTHCARE
“Blue Jet Healthcare Limited
Q4 & FY '24 Earnings Conference Call”
May 27, 2024
MANAGEMENT: MR. SHIVEN ARORA — MANAGING DIRECTOR
Mr. VK SINGH — CHIEF OPERATING OFFICER
MR. GANESH KARUPPANNAN — CHIEF FINANCIAL
OFFICER
MR. SANJAY SINHA — DEPUTY CHIEF FINANCIAL
OFFICER
MODERATOR: MR. ADVAIT BHADEKAR-— ERNST & YOUNG

Moderator:
Advait Bhadekar:
Shiven Arora: May 27, 2024
Ladies and gentlemen, good day and welcome to Blue Jet Healthcare Limited Q4 FY '24 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Advait Bhadekar from EY Investor Relations. Thank you and over to you, sir.
Thank you, Sagar. Good evening and a warm welcome everyone to Q4 and FY '24 Earnings Call of Blue Jet Healthcare Limited. Please note, investor presentation and the financial results are available on the company website and the stock exchanges.
Also, anything said on this call which reflects our outlook for the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company as well as on the exchanges. Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.
From the management side, we have with us Mr. Shiven Arora, Managing Director, Mr. VK Singh, Chief Operating Officer, Mr. Ganesh Karuppannan, Chief Financial Officer and Mr. Sanjay Sinha, Deputy Chief Financial Officer. Now, I would request Mr. Shiven Arora, Managing Director of Blue Jet Healthcare Limited to provide you with the updates for the quarter and the year ended 31st March 2024. Thank you and over to you, sir.
Good morning and a warm welcome to all. I would like to start off by saying that as a company, we were able to restructure the business successfully despite the incident which had a short-term impact on the business. With our sustained efforts and strong business continuity plan, we were able to grow our business in Q4 compared to Q3 FY '24 by 10%.
We believe to have strong abilities in capital management with the key ratios of ROCE at 26%, EBITDA at 32% and fixed asset turnover north of 5x. As a company, we are also evaluating to acquire strategic talent for R&D and business development activities in Europe, which is our key market. On the manufacturing side, while Mr. VK will take you through the mid-term capex plan but seeing the overall outsourcing trends in the CDMO business, we are also evaluating a much larger capex plan. Once formulized, we will update in the coming quarters.
To share some business highlights, we will continue our strategic intent of serving innovator customers in the pharma space and marquee customers in the artificial sweetener space.
Listing of the company has increased the brand awareness, and we are also able to see more inquiries and positive feedback from our existing customers. We have seen positive developments across our business segments.

VK Singh: May 27, 2024
To start with contrast media, which is about 68% of our revenues as on FY '24, our dominant segment, as you are aware, we are closely working with the industry leaders in the medtech industry and are able to sustainably increase our wallet share with our key

customers, both in
the iodinated space for our CT products and gadolinium space for MRI applications.
Important update, our validation quantities for advanced intermediates in the iodinated side has received a customer approval and the NCE intermediate on the gadolinium side is gaining solid traction in the market. The second vertical, pharma intermediates, the CRAM segment,

about 14% of our business which grew about 156% year-on-year.
We started commercial production of pharmaceutical intermediate for our mnovator customer in FY ‘24. Our innovator customer presence in the market has been further strengthened by the label expansions and approvals in both regulated and less regulated markets. Confirming our order book for the next 18 months.
We also see a surge in RFPs with our other innovators across, in our focus areas of ecology, CNS and cardiovascular health. The third vertical, artificial sweetener segment, we continue our development activities in this segment since we are already supplying to market names in the FMCG space and pharmaceutical segment and have demonstrated a great track record with them. There is a high likelihood to expand this portfolio in the segment and grow with our existing customers.
On this note, I will pass it on to Mr. V K to give more light on our capex and R&D initiatives. Thank you.
Thank you Shiven and good evening all of you attending the call. I will quickly take you through the capex that we are incurring. The capex cycle is mostly in step with what we had indicated in the previous call. If you recall, we were building a block at Unit 2 Ambernath, which will cater to the uptick in the volumes of our intermediate for the CDMO cardiovascular opportunity with the mnovator in the PI segment. This block will also cater to the NCE opportunity that we were tracking in a contrast media segment, which will be going on stream shortly.
As indicated in our previous call, this block will be ready for validation in the quarter 1 of FY '25. With regard to Unit 3 Mahad, we foresee a delay of a quarter. The plant will now be ready for validation batches in quarter 1 of FY '26.
As we speak, we are in the process of commissioning the flue treatment plant at Unit 3. But as you know that this site is not deployed for making any product that we currently sell but was more for import substitution of a particular product that we import. Hence, we don't foresee any material sales revenue impact from this delay of a quarter.
The multipurpose block in Mahad Unit 3 will get validated by quarter 2 of FY '26. With regard to Unit 4 that is the Greenfield site our expansion site in Borivali here also the site master plan is ready and submitted and all the required approvals for the commencement of work at the site

have been submitted. We expect this unit to be on stream in the second half of FY27.
Additionally, we had invested in a solar plant which went live in quarter 3 of FY24.
With regard to R&D to be able to keep in step with the additional capacity of about 50% that we are adding, we have increased our R&D as well. We have augmented our scientific talent pool and significantly increased the number of labs that we had. Several patents have been filed in FY24, and some new chemistry platforms have been added on which work has commenced like the pyrophoric platform, the iodination platform, enzymatic platform and a platform on which we are working for amino acids.
To assist our increased focus in R&D and improve the speed of industrialization a world-class pilot plant with versatile capability is under construction. This will help R&D improve in proof of concept and act as a bridge between bulk and bench production. Quickly touching upon sustainability as a responsible company our endeavour always is on reducing our carbon footprint and GHG emissions.
With

our solar plant going on stream in the previous financial year almost 60% to 70% of our power requirement should be met from renewable energy sources. We are also consciously working on several green initiatives as far as our chemistry is concerned. We continuously strive to achieve high level of atom efficiency in our process chemistry and strive to make our industrial process and plant designs more efficient and environmentally friendly.
And I'm happy to say that we have achieved good success in this regard. With this, I will hand it over to my colleague Ganesh who will take you through the financial numbers.
Good evening. I'll first start with Q4 to talk about key highlights of Q4 and then go to the full year of FY24. When you look at Q4 sales we had a growth of 10% compared to the previous quarter Q3 and as you are aware Q3 there was an impact in the performance due to the accident incident at Mahad and we are able to come out of this impact and Q4 we are able to demonstrate a sales growth of 10%.
In terms of EBITDA Q4 it dropped approximately by 3.9%. This is primarily because of change in WIP and finished goods. If you see our P&L for Q4 the change in WIP and finished goods is almost close to INR27 crores, 274 million and there is an overhead impact which normally gets inventorized in the previous quarter, gets released to the P&L in the subsequent quarter.
So because of this we had an impact close to 4.3% which was offset by reduction in operating expense marginally because of ocean freight and the power cost. As V.K. Singh mentioned, we

are dependent more on renewable energy and this has certain positive impact on our overall power consumption. Our profit after tax is at 21.6% an improvement of 2.3% compared to Q3. If you go to the full year FY24 our turnover is more or less flattish.

It actually degrew by 1.3%. Our sales from operations of product segment are around INR708 crores against the last year number of INR718 crores. The sale of artificial sweetner and PI grew, and this was actually offset partially by degrowth in contrast media. The key factor on

degrowth in contrast media is certain actions by the customers in terms of destocking and their plan to take a longer maintenance which is actually disturbing the overall shipment.

So today you see a variability on quarter-to-quarter dispatch which in our opinion should get eased out after Q2. EBITDA for the full year is 32.2% an improvement of 1.8% compared to FY23. This is predominantly driven by reduction in raw material price, and we are also able to control our operating expense and there is more or less a flattish trend in the operating expense. This EBITDA is before extraordinary item. We had actually classified INR 97 million on account of the Mahad incident as extraordinary expense.

This is a conservative approach wherein we have actually taken the entire loss of plant and machinery is taken as an extraordinary item. As and when we receive the claim from the insurance company this would be reversed and will be shown as a credit to the P&L. The profit after tax for the full year is at 23% compared to 22.2% for the last year remaining flattish, but we should be growing at a healthy PAT rate of 23%.

As far as the new product launch is concerned in FY24 we launched the intermediate for pharmaceutical — in the pharmaceutical intermediate segment. and you could actually see a significant growth in that particular segment, and we do expect with our new capacity what Shiven and V. K. mentioned about, we should be in a position to actually like optimize the capacity in this fmancial year.

Certain general observations: in terms of raw material, we could actually see an overall reduction in the price levels during this year. Almost all of our key raw materials, we could see a marginal decline in the prices, and we believe this particular

trend should sustain and which
should actually help us in sustaining our gross margin.

Coming to working capital, there is a reduction in receivable. This is due to the customer mix. We talked about contrast media sale declining due to customer offtake and pharmaceutical intermediate sale is going up because of this.

There is a different credit term between contrast media customers versus pharmaceutical intermediate customers and because of this customer mix credit term, the working capital has actually come down. Inventory remained at the similar level compared to last year and with the commercialization of the new products, we do expect the inventory level to marginally go up in the current financial year.

Payable also dropped predominantly because of product mix and the payment terms. Capex, already V. K. Singh has explained. We have spent close to INR200 crores in this financial year, the asset which is capitalized plus the capital work in progress, and we should be spending at least INR200 crores per annum for the next two years at least on the capex plan for our units, for our existing units.

I think with this, I just open the floor for Q&A.

Moderator:
Sanjesh:
Ganesh Karuppannan:
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Ganesh Karuppannan:
Sanjesh:
Ganesh Karuppannan:
Sanjesh:
Shiven Arora:
Sanjesh: May 27, 2024

Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

I got a few of the questions. First, Ganesh, actually you explained the reason for the lower gross margin in the quarter. I missed that. One of the reasons is that we have lower mix of contrast media. I get that, but there is a steeper drop than what we thought. So what is driving this decline in the margin?

This is predominantly because of change in WIP and finished goods. If you refer our P&L, you will see the change is close to INR27 crores. Now, this is accounting. Normally, the overhead

gets inventorized along with the fixed goods valuation. So you have a raw material plus overheads. So whatever overheads that got inventorized in the last quarter, this quarter, whenever this change happens, to that extent, it impacts your P&L. This has nothing to do with our actual gross margin. That is intact. But this aberration has occurred only because our finished goods stock end of the year is lower than the previous quarter.
I thought that should also capture in the other expenses, right? Because our other expenses are pretty much flattish. I know there is a slight bit of employee cost which has come down, but other expenses have remained flattish. What explains the decline in the EBITDA margin by 400 basis point?
If I look at byproduct, the margins are almost identical compared to Q3. There is no major change. Now the real impact is only on account of this closing inventory, closing inventory of finished goods. This may be offline. I can explain how this works.
What we are telling that there is no impact because of change in the mix, because the contrast media mix has come down from 68 to 62, while sweetener and pharma mix has gone up, which otherwise have a lower margin. That should have some impact, right?
So technically like this product mix, the impact is very less. Bigger impact is more on account of change in inventory.
Next question is on the iodinated product and the gadolinium and the cardiovascular. First on the iodinated, are we still in the validation stage? So when should we expect the commercial supplies to begin? And what is the risk in the validation stage? Can it go back and tell that this needs to be optimized further so that can increase the timeline? How should we think about it?
Yes. So specifically on this iodinated molecule, which is an advanced intermediate from our current base, we have supplied this material for validation in the mo

nth of January. And today
we have got a full approval from them. So, nothing could go wrong when it comes to the product quality. I think it has been established well. And the use test trials have come out fairly positive. So scale up will happen during this particular financial year.
That's clear. And what about the by-products to be produced from the iodine which will come up easily and all those things where are we in that process in terms of optimizing the operations?

Shiven Arora:
Sanjesh:
Shiven Arora:
Sanjesh:
VK Singh:
Sanjesh:
Management:
Moderator:
Sudarshan Padmanabhan: May 27, 2024
I think with these 8 to 9 metric tonne dispatches of these validation quantities we were able to fairly demonstrate well in terms of the overall recovery cycle of the iodine and we are very confident in terms of having a very sustainable margin on this particular product also going forward.
And the second you Shiven made a comment that gadolintum has seen a good pickup while innovator initially did not see so much of a success with that product. What is driving the success right now for them and how 1s it benefiting us?
So, I think in the past few months it got a European approval. With these regulated market approvals, they can further flood the market with the material, and they are also filing this NCE molecule in the other semi-regulated markets as well. I think this will drive the future growth. And that's one of the reasons we had expanded this capacity for this particular intermediate as well.
Lastly, on the cardiovascular drug which we are supplying to the mnovator, how has been the order book looking like for the next fiscal year considering that they had a big success with our regulator and also expected to get from the European Union as well that should establish them being the billion dollar plus kind of a product. So, what does it mean for us in terms of a pipeline for FY25?
The label updation and the label expansion were already approved in the US this year, this calendar year. I think it happened in the month of May. After that we expect something similar label expansion in the European market as well. There could be an uptick in volume, but the capacity that we have now created I think we have enough to be able to address should there be any uptick that's indicated by the customer.
I think we are in very good state as far as the traction that the molecule is getting and the capacity that we have now created in unit two plant 6 which is going to go on stream this quarter itself.

So, how much capacity are we expanding with this new capex?
This is a multi-product block and it's not only for the innovator, but we also have a couple of other products. So, it will not be appropriate to give or dedicate the whole capacity for one particular customer.
Thank you. The next question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.
Yes. So this is with respect to the cardiovascular intermediate taking cues from the earlier participant. I mean, our client has listed and if we look at the commentary post the label extension. So, in the US alone they talked about potentially additional 50 million and Europe would be incremental. So, in that context, I mean, FY25 definitely we see good growth, but if you're looking at peak sales in the US and also with Europe, how do we see say in the next 3

VK Singh:
Sudarshan Padmanabhan:
VK Singh:
Sudarshan Padmanabhan:
Ganesh Karuppanan:
Sudarshan Padmanabhan:
Shiven Arora: May 27, 2024
years to 4 years specifically with respect to this molecule both in terms of scale as well as in terms of profitability?
It's very difficult to predict how a molecule will behave, but all that we can say is that the data was presented to the FDA and the data was also presented to the American Cardiology Col

lege
and both institutes which are institutes of international repute there is very high acceptability of this data because of the acceptability of this data the molecule is now indicated not only for secondary use, but as a primary treatment product.
So now it is used to address the primary indication and that's the reason that like you mentioned that the addressable population goes up by 50 or 60 million in the US and maybe even higher in Europe and other markets. So, I think as far as the molecule is concerned there is today no other oral product which can act as an adjunct to the statins. So, there is great potential. And we reckon that this would be a blockbuster.
Sure, sir. And with respect to the profitability and second is given that this is the only non-statin used to reduce the cholesterol as you had mentioned, I mean with respect to vis-a-vis what the client earlier had requested in terms of capacity, had there been any kind of an upward revision in the kind of volumes that you're now talking about?
See there could be an uptick in volume. And as Blue Jet we are prepared to address that the capacity that we have created is not only for this product. The block that we have built has got a very large capacity. So, should that be an uptick in volume because of the primary indication that it is now valid for I think we are well positioned to address that upside, but beyond this I think it's not prudent to comment.
Shifting to the CMI segment if I'm correct one of our clients had taken a plant shutdown to expand capacity. So, it might have impacted our numbers say in the last couple of quarters. The expanded capacity, when is it expected to start and how do we see the benefits probably in the next couple of quarters?
See, we see a slowdown even for one more quarter. And maybe we should come back to our historical levels from Q3 onwards, actually. I think that is when we expect the volumes to pick up.
With respect to the overall business, we have seen some kind of lower-than-expected offtake primarily because of various issues or various hurdles across segments. With volume picking up big time, if you're looking at various tailwinds. What should be the kind of margin expansion that you would be looking at with the operating leverage?
Yes, I think you pointed out well, I think we are all aware of the short-term impact, but if you see the big picture and the several tailwinds for this particular segment, the outlook is fairly positive. And we are also further backward integrating in Unit 3 for a particular key intermediate. So, going forward, since this is already backed by multi-year supply agreement, by using our own intermediate, we will have good control on already a very profitable product.

Moderator:
Bansi:
Shiven Arora:
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Shiven Arora:
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Shiven Arora:
Bansi:
VK Singh:
Bansi:
Management:
Bansi:
Ganesh Karuppanan:
Bansi: Blue Jet Healthcare Limited
May 27, 2024
Thank you. The next question is from the line of Bansi from JP Morgan. Please go ahead.
My first question is on contrast media. Ganesh, you mentioned that probably this impact will continue for the next two quarters. So, fair to assume that our fiscal ‘25 run rate will be similar to our fiscal ‘24, because I'm assuming the newer product also probably will start contributing or probably will be in the phase of ramping up. So, any colour there?
Yes, I think as a segment overall, of course, there's a short-term impact, but the newer advanced intermediate will act as a very good buffer to see a potential growth in the segment for the next financial year.
Okay. And this is both for — so, you mean to say the advanced intermediate in iodinated space and in the gadolinium space, the NCE molecule, both will equally contribute? How should we think about product opportunities between them?
Both are highly credible candidates. One is an NCE, which is gaining traction in t

he regulated
and semi-regulated markets. And the other iodinated molecule is well-established, growing at a double-digit annually in the end market. So, most important milestone was this validation for the iodinated intermediate, which the company has done successfully.
Okay. So, that should basically drive growth in CM business in fiscal ‘25 over ‘24, despite the impact of planned shutdown on one of your products.
That's the end of it, yes.
And the second question is that on Unit 2, VK mentioned it is ready and on-stream. So, when should we start seeing commercialization of product here? Are our sales today constrained because of this plant not being validated and now that it's done, we should now see a spike? How should we think about the wrap-up here?
See, in quarter two, FY’25, we should see an uptick in the supplies that we are making, because the new capacity, the larger capacity is getting on-stream.
And this capacity will be multi-fold of what our current existing capacity or what quantities we could be selling right now?
Yes.
Between our segments, contrast media, artificial sweetener, and PI-API, is it fair to assume that gross margins are broadly similar?
Contrast media would be slightly higher. The PI-API and artificial sweetener will be similar.
Okay. So, next year, if you are expecting higher growth in, you know, say, for example, PI-API because of the ramp-up of the product, how should we think about gross margins?

Ganesh Karuppanan:
Bansi:
VK Singh:
Moderator:
Nikhil:
VK Singh:
Nikhil: May 27, 2024
It should be like whatever current level we are having, maybe it may go down by a percent or two.
Okay. And you also mentioned about augmenting your team in terms of, adding capabilities in R&D and elsewhere. Should that have any bearing on your employee cost?
Yes. If you see our numbers, FY’25, the employee cost is significantly higher. But then our sales are also increasing. Even in FY’25, we would be adding some people, both at the senior management level and at the execution level. We will be also increasing our R&D further. So, we are gearing up to keep in step with the growth that we envisage.
Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.
A few questions. One is, can you talk about our COMO? How is the pipeline looking like? In the initial commentary, you said that there are a lot more interactions which are happening. But any sense on how is the RFQs or how large is our pipeline currently? Some indication which is in talk.
See, you mentioned RFQs or RFPs, and that's a very valid point that you brought out. Given the environment that we have today and the tailwinds that we are, you know, experiencing, A,

as a country, and two, as a boutique CDMO, I think the RFPs that we have is 2x of what we used to have. Speaking of the pipeline, I think in all three segments, we have a deep pipeline. Contrast media, we are looking at new products as well as forward integration. So, that gives a lot of depth to the pipeline. In the high-intensity sweetener or artificial sweetener, there also we are working on two or three very credible opportunities, some large opportunities, which will add to the current commercialized product.

On the PI-API side, you can see traction already. I mean, the opportunities that got incubated two, three years back are now fructifying. Going forward, we have a strong pipeline as well. A couple of launches would happen in FY '25. As I mentioned, we have added a couple of chemistry platforms also, new chemistry platforms. Based upon those platforms also, there will be some new products that we will be developing.

How soon they will, you know, get to industrial or commercial scale, that we have to see. But as far as pipeline is concerned, I think we are in a very good place and the R&D pipeline is well poised to drive growth.

On cont

rast media, if you look at the global supplier base, we know one of the large players in India. But other than India, how do you see the competitive dynamics in this space? Are there more players coming in? Or is it like the level of competition is largely plus minus two, three players, but largely stable? How should we understand?

Because the profitability, what you enjoy, as you said, on the gross margins and all, it looks very favourable and a very large growing market. So, are there more players coming or how should we understand it?

Shiven Arora:

Nikhil:

Shiven Arora:

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Ganesh Karuppannan:

Nikhil:

Ganesh Karuppannan:

Moderator:

Ritika:

Ganesh Karuppannan:

Yes, so I think the industry is fairly consolidated. And in four key players have about more than 75% of global market share. And for the past 10 years or more.

I was more trying to understand from the suppliers of the API. On the formulation, we understand it's a largely consolidated player. But in terms of suppliers of intermediate API, how do you see the scenario?

So the ones who are formulating the four key large players are also manufacturing APIs today. And there is a strong sense of drug device coupling in this. And that's one of the major reasons. They have solid control on the API and also medical devices in some cases. So which has helped them to maintain this market share for the past more than 10 years. And in the balance 20% market share, yes, there are a few Indian players that have entered and there are multiple players in China for the ordinated set of molecules.

How we are working differently is, of course, working on established key customers and also innovating on the NCE side on the MRI space. So, we will always be marginally ahead of the curve, even if there's a strong generic competition kicking in.

Can you talk about our revenue from top customers, top five and top 10 customers for FY '24?

It's pretty much the same. Our business is concentrated with three major players in contrast media. And in addition to that list is the new imnovator in the PI segment. Apart from that, technically, there is no change in the customer mix. But for the PI customer in the innovator customer.

Can you provide the percentage revenue contribution from them, top customer, top five, top 10, which we presented in our DRHP?

No, we don't share that, actually.

Thank you. The next question is from the line of Ritika from Value Quest. Please go ahead.

Hi, sir. Good evening. My first question is on contrast media. When we see the export data, we saw much lower shipments of one of the large drugs. Of course, due to plant maintenance at innovator's end. But in terms of revenue booking on a Q-o-Q basis, we saw flat revenue. So could you please explain how did we book the revenues or how does the revenue booking happen?

See, in our case, the supplies to the key customer in contrast media is on a DAP term, which is Delivery at Place. Technically, unless the material reaches the site, we cannot actually recognize that sale. Okay. So generally, in accounting term, we call it a sales cutoff. What has happened this quarter is the sales cutoff of previous quarter got recognized in this quarter.

Okay, so that's why you will see like if you see the data, export data, there would be a, what we would have recognized will be more than what is dispatched. This is because whatever dispatched in the previous quarter actually gets into the recognized as sale in this quarter.

Ritika:

Ganesh Karuppannan:

Ritika:

Ganesh Karuppannan:

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Ritika:

Ganesh Karuppannan:

Moderator:

Pradeep Rawat:

Ganesh Karuppannan:

Pradeep Rawat:

Ganesh Karuppannan:

Moderator:

Kanishka Sorcar: Blue Jet Healthcare Limited

May 27, 2024

But that would be rolling on a quarter-on-quarter basis, even last quarter, some sale

s from the

previous quarter would have got recorded?

You are right. The challenge is, this quarter, what I mentioned, since the offtake is a bit lower, the cutoff is also coming down.

can you please explain?

See, this quarter, our dispatch is lower. Because of that, even our sales cutoff is very much on the lower side, which would actually have an impact in the next quarter. So, this quarter, we don't have an impact in the next quarter. So, this quarter, we don't have an impact. In terms of revenue recognized you will see some impact in the Q1 of FY '25.

Got it. But there is nothing to do with inventory at our warehouse?

No, nothing of that sort.

Last question is on capex. We have guided for a 200 capex for '25 and '26. Should we get a split of this INR400 crores between Mahad and the new Greenfield Unit 5?

It will be more or less equal; I would actually put it like that.

Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

We have spent over INR200 crores this year and we are guiding for INR200 crores for next year and INR200 crores for the next year. So what kind of fixed asset tumover should we see for these capex?

I would actually put it in the range of upwards of three.

So currently we have an asset turnover of four. So why we are estimating it to be in the range of three?

This is actually like today what you are seeing is a depreciated block. So like when you actually do the new capex, it will be around three actually upwards of three which according to me itself is an excellent ratio.

Thank you. Our next question is from the line of Kanishka Sorcar, who is a private investor. Please go ahead.

I just want to have one understanding. So of course, we went through a little difficult time after the accident and all and now we are kind of getting up to invest a lot of money. I have just one simple question that as a company, post IPO there is a great sense that we have changed the gear in terms of growth.

Shiven Arora:

Moderator:

Sanjesh:

Ganesh Karuppannan:

Sanjesh:

Ganesh Karuppannan:

Sanjesh:

Ganesh Karuppannan:

Shiven Arora:

Sanjesh:

Shiven Arora: Blue Jet Healthcare Limited

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So I just want to know from the management's perspective, with the investments we have done, doing currently and which is planned in the next one year when do you see the inflection point, which is that part or in terms of time maybe a year down the line, months down the line, where do you see the inflection point where we actually ramp up the growth and we move into the higher trajectory?
Yes, I think the capacities would be kicking in different phases in this financial year as well in the next year, but full extent would be seen in '26, '27.
Thank you. The next follow-up question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
So just touching upon this revenue recognition, which you mentioned on the DAP basis, I thought we are also managing the supply chain for our largest customers. That means we should have built certain inventory at our warehouse, and we deliver it on a just-on-time basis. How does that vary from this revenue recognition, what we are talking right now?
When this off-take goes down in a particular quarter, we do not actually produce and stock it. So, to that extent even our production goes down. So, there are two factors. First, during this quarter our total actual production is on the lower side. And whatever positive benefit you are actually seeing is because of the cut-off, which came from the previous quarter. This quarter our finished goods is very much on the lower side. And if impact, you would see only in Q1 of "25.
When should we see the normalization of supply to the largest customer? When should that happen?
In our estimate, it will be Q2.
And second is on the APD prices and its impact on the realizations. How have they behaved? There i

s actually a reduction in the APD prices, marginal reduction during the year and Shivan can take on the new contract.
So, I think with this backward integration play, I think we would be able to further improve the profitability of this major product. But overall market is in terms of the sourcing has been very favourable when it comes to APD prices. Interestingly, I would like to take this opportunity to explain further. From this particular backward integration block there is an opportunity to sell to other contrast media players as well. But the idea is to first use this quantity for our consumption and then perhaps pitch it to the other key players in this space.
Okay. So, we are still — I thought APD prices should be too low for us to make any large economical benefit out of that APD plant which we are trying to put. You still see the economics being favourable for being a backward integrated facility?
I mean, the kind of continuous manufacturing that we are trying to develop in this particular block will definitely drive better efficiencies for us as a company. Strategic independence is

BLUE JET HEALTHCARE
Sanjesh:
Shiven Arora:
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Shiven Arora:
Ganesh Karuppannan: Blue Jet Healthcare Limited

also important because in the year 2021, there was a big impact on the APD prices. So cycles like this in this current world do happen. And we will still continue to, of course, manufacture our own APD but also outsource some quantities to keep our existing suppliers in place.
Any plan for further backward integration in our new product for the PI API segment?
I think we are very much covered in terms of the supply chain when it comes to the PI product.
Okay. There we are not looking to further backward integrated product.
We start from the very basic chemicals, Sanjesh.
So you are telling we are fully backward integrated already. So there is no meaning in going into the commodities?
Yes.
We have slightly increased our capex outlay for three years. I thought we were at INR500-odd

crores. Right now, we are INR600 crores. What has changed? It's just the cost of putting capex has gone up or how 1s it?
Cost of capex has remained the same, but at the same time, I would request Mr. Ganesh to add on.
We are keeping a slightly larger outlay for unit four. That is we will be replicating quite a few capacities. One as a risk mitigation and also like taking care of the higher needs of the customer. So, the plan for unit four could be slightly larger than what we envisaged last year.
That should lead us to a much larger capacity. Are we confident of placing because I don't think our largest customer is looking to grow more than 5%, 6%, at least that's the ambition and the guidance they have provided?
I think these molecules are not only built for the next few years, but the next decade. Seeing that view and having a strong business continuity plan in place, I think this is well appreciated.
Because will this hurt the margins for us because we will be utilizing much lower capacity initially to start with and then probably ramp up over the years. Will it have any major implications on the margins?
We'll try to. I mean as a company; we've at least demonstrated good abilities in capital management. The endeavour would be to also have a multi-purpose nature in these blocks that we design in the short term but keeping the long-term strategy in place. So it's better to have an additional capacity is our understanding.
Just to add on, we also need to keep the capacity in place for certain proposed launches. If we succeed, maybe our capacity should be ready in place at that point of time.

Moderator:
Bansi:
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Thank you. Our next follow-up question is from the line of Bansi from JP Morgan. Please go ahead.
The sweetener business, we see sequentially this has picked up. Last quarter, you had mentioned about launching a new product in this segment. So where are we on that? And should we expect this to be now a new base for a sweetener business?
Firstly, I think, yes, the Saccharin business is progressing fairly okay. The other sweetener that we spoke about is currently at the pilot stage. We are trying to optimize a few things, but you will hear from us if there's any positive update. But the results so far are fairly encouraging.
Okay. So unlikely that adds to, your revenues in fiscal 25. I mean, the launch could potentially be in 26.
It could be, but it won't be a major needle mover.
For our PI-API, if you can talk about any other molecules that we are working with, mnovator, which could be an advantage?
There are a couple of opportunities that are at a very advanced stage in the CNS and the oncology side that we are tracking with the inovators. And as it moves ahead, we will definitely share some updates on that.
Okay. But you think there's some time for those to get commercialized?
Clinical data is fairly positive of our end-customers, and we believe that they could have a better solution to overall patient healthcare going forward.
Okay. And on your CVS product, as the volumes ramp up, and probably if at all the innovator also kind of increases the off take, what happens to the realization? Do they remain the same generally?
Some efficiencies will certainly kick-in. So, because if the volumes go up, then the plant will be, one line will be working as a dedicated line for the product. The batch size will be much larger than what we do today. So, certainly, some efficiencies will be there. So, which should go straight into the bottom line, into the margins.
Okay. So, those are your process savings. But from the innovator side, the realization, I mean,

that does not change?
The product is patented until 2032. So, that's the advantage of being in a patented space. Generics will not be hitting. So, if that's the thing that you are trying to indicate generic pressure coming to 2032 in the advanced markets.
Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Management: We thank all the participants and hope we have addressed all your queries. We will meet in Q1 results. Thank you.
Moderator: On behalf of Blue Jet Healthcare Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document was edited for readability purpose.)

Call: Aug 2024

"Blue Jet Healthcare Limited
Q1 FY '25 Earnings Conference Call"
August 07, 2024

M
ANAGEMENT : M R. SHIVEN ARORA – MANAGING DIRECTOR

MR. V K SINGH – CHIEF OPERATING OFFICER

MR. GANESH KARUPPANNAN – CHIEF FINANCIAL
OFFICER

MR. SANJAY SINHA – DEPUTY CHIEF FINANCIAL
OFFICER

MODERATOR : M R. ADVAIT BHADEKAR – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day and welcome to Blue Jet Healthcare Limited Q1 FY '25 Earnings Conference Call. As a reminder, all pa rticipant lines will be in the listen-only mode and there will be an opportunity fo r you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Advait Bhadekar from EY. Thank you and over to you, sir.
Advait Bhadekar: Thank you, Manav. Good evening and a warm welcome everyone to Q1 FY '25 Earnings Call of Blue Jet Healthcare Limited. Please note, investor presentation and the financial results are available on the company website and the Stock Exchanges. Also, anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjuncti on with the risks that the company faces.
The conference call is being recorded and the transc ript along with the audio of the same will be made available on the website of the company as well as on the stock exchanges. Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.
From the management side, we have with us today, Mr. Shiven Arora, Managing Director, Mr. V K Singh, Chief Operating Officer, Mr. Ganesh Karuppannan, Chief Financial Officer, and Mr. Sanjay Sinha, Deputy Chief Financial Officer. Now I would request Mr. Shiven Arora, Managing Director of Blue Jet Healthcare Limited to provide you with the updates for the quarter ended 30
th June 2024. Thank you and over to you, sir.
Shiven Arora: Thanks, Advait. Good afternoon and a warm welcome to all. We continue to be an export-led regulated market-focused company. Our customers are market leaders in the MedTech, FMCG space and innovators for new products in different therapeutic areas. We believe to have strong abilities in capital management with the key rati os of ROCE at 22% annualised basis, EBITDA at 27.2% and PAT at 23% as on Q1 FY '25. The fixed asset turnover is over 3x.
We continue to be a debt-free and cash treasury investments over INR380 crores. The other financial matrices remain steady. During this quarter, we did see an impact on our logistics cost and transit time due to the Red Sea situation. Ou r production and dispatches during this quarter exceeded the previous quarter. Due to longer transit time, we could not recognize sales during this quarter, resulting in a

degrowth of 11% compared to Q4 '24. Our CFO will explain more in detail on this.

Apart from this transit time, there are no other thre ats as of now. We continue to closely monitor the geopolitical situ ation that can impact inpu t material prices or revenue stream. I would like to share a few key highlights about the business.

During June 2024, we added 120KL capacity dedicated for intermediates for the cardiovascular drug for our innovator customer in Unit II Ambernath. Currently, we are in the validation phase.

Things are looking positive, and we hope to go commercial shortly. We believe that this capacity addition will result in meeting our customers' order backlog placed with us. In the same production block, we will be adding additional capacity, which is expected to go commercial by Q3 for Contrast Media Intermediate for the innovator in the MRI space. Enquiries for new products in all the three product segments are encouraging.

Our sites are being inspected by existing and new customers for new products. We believe we are well-placed to lock in certain new products whi

ch can sustain our growth in the medium to long term. We will keep you updated on our capex plan for the long term in the coming quarters.

On the pipeline, we have a strong pipeline in Contrast Media. Coming from the expansion we are doing in the MRI space, we are also forward integrating into more advanced intermediates in the iodinated segment. On the high-inten sity sweetener segment, we have recently commercialized another salt in the saccharine family.

We are also working on a couple of new candidates which are currently in the development phase. The third vertical, the PI segment or the CRAMS business, the company is actively seeking seven to eight CRAMS opportunities with innovators or global CDMOs for oncology and CNS, which are in advanced discussions. With a focus on expanding its portfolio in these therapeutic areas, the company is also focused on gaining expertise in amino acid-based derivatives.

On this note, I would like to pass it on to Mr. V K Singh for more highlights on the business.

Thank you.

VK Singh: Hi and good evening to all of you attending the call. I will just take you very quickly through the capacity expansions that we are doing. I will also touch upon R&D and talk a bit about our sustainability initiatives. Capac ity for our CDMO business is a key pivot and we are adding capacity to keep in step with the growth that we envision over the next few years. Our current capex cycle is mostly in step with what we had indicated in the past. We have added about 120 KL capacity in Unit II at Amarnath at a cost of about INR90 crores.

This capacity went on stream in July this year . While the capacity is versatile, it has been specifically deployed for making intermediates for the CDMO cardiovascular opportunity that we were pursuing with the innovator of the molecule. The molecule is showing great promise and the end product being the only non-statin oral drug approved for both primary and secondary cardiovascular indications.

The capacity that we have now established for this intermediate will be good to address the possible uptick in the volumes given the recent label updation and also the label expansion. The validation batches for this product from the new capacity were successfully executed last month and we expect an increase in offtake from Quarter 3 onward. In the same block, we are commissioning an incremental capaci ty of about 70 to 80 KL and this capacity will go live by September or October this year when the validation batches for an advanced intermediate orientated towards the NCE in the MRI space will be shipped out.

In Unit II, we have recommenced work on a small volume plant which we envisage will be ready for commissioning in Quarter 1 of FY '26. This plant will be primarily used for proof of concept,

regulatory filings if the product requires that, and supplies of small GMP validation quantities to innovators for the clinical de velopment and trial requirements. With this small volume plant, we complete our stated objective of building robust bench-to-bulk a nd milligram- to-multi-ton capability.

Moving to Unit III at Mahad, in Phase 1, the priority was to create common infrastructure for the site. The project work for the warehouse and effluent treatment plant is almost complete. At this site, we were creating a capacity for backward integration for the contrast media segment. We believe this new capacity will get commissioned as we had indicated in the past in quarter

1, FY '26. Suffice it to say that we are on schedule as far as that is concerned. I'll quickly touch upon R&D. As you have seen that in the next 12 to 18 months, we are adding about 40% to 50% more capacity. To keep in step with the growth that we envision and the surge in the CDMO RFPs that we are witnessing, the number of R&D labs and scientific talent pool both have been augmented. Some new chemistry

platforms like the pyrophoric chemistry, the iodination platform, enzymatic platform, and amino acid platform have been added.

On sustainability, as a responsible and forward-looking company, we are continuously focusing on reducing our carbon footprint and GHG emissions. Our solar plant was commissioned last year, and between our windmills and solar, we have built capability to generate about 70% of our energy from renewable sources. We also continuously strive to achieve a high level of atom efficiency in our chemistries and endeavor to make our industrial processes and plant designs environmentally friendly.

With this, I will hand it over to my colleague, Ganesh, to take you to the financials in more detail.

Ganesh Karuppannan: Good evening, everybody. Q1 FY25, we had a revenue of INR163 crores, which is a drop of 11% compared to the pr evious quarter. So I will quickly ex plain the reasons why the turnover actually came down. If you look at contrast media, on a quarter-on-quarter basis, our turnover came down by 42%. Maybe I will just give you the backdrop of the contracts we have with the customer. We need to recognize turnover once the material is received by the customer at their site.

So today, what happened in Q1, there were delays in transit, sea shipment, because of Red Sea issues. The consignments, which used to take 35 to 40 days for transit, now is taking upwards of 65 to 70 days. I think this has actually, while the production and dispatches were better than Q4, unfortunately, we couldn't recognize the entire dispatches as sale in this quarter, and this would be recognized in the next quarter.

In the beginning of this quarter, in Q1, because our sale for one of the major customers dipped in Q4 of FY24, we didn't get the same advantage in the beginning of the quarter. So to that extent, for us, Q1, while in te rms of production, we are better than Q4, but in terms of recognizing sale, we have to actually take a higher cut off, which will actually get into the subsequent quarter, which is Q2. Moving on to Pharmaceutical Intermediate, if you recall, we kick-started our commercial supplies to the cardiovascular customer way back in Q3, and this

product, we are actually like, you could actually see a growth happening, and in this particular quarter, you will see a 60% growth in PI segment.

With this new capacity addition, we believe we could actually like increa se our wallet share with this particular customer in the next coming qu arters. Artificial sweetener, while today, we are actually focusing more on the FMCG customers, and we are slowly getting out of the spot market. To that extent, there is a small impact, but way forward, we would actually have a consistent sale in this particular segment.

Coming to raw material cost, th ere is a little bit of easing. This I communicated in the last conversation, and one of our key raw material, there is a marginal dip in the price, so our margins improved. There is also a higher sale of one product with a higher gross margin. This product mix also helped us improve our gross margin by a percent. Employee benefit cost went up marginally. This is on account of headcounts that are added for new capacities and certain other corporate functions.

This trend you would actually see in the next 12 months in terms of employee cost. Other expense, barring sea freight, we could actually control the cost on every other aspect. Sea freight, there was an impact in Q1-25. With this, EBITDA stands at 27% compared to Q4, which is at 29%. Now, in terms of depreciation, I just wanted to highlight the change in the accounting policy, what we did. Earlier, we were following WDB method of depreciation.

We couldn't change the method to SLM for certain reasons. Today, we did a technical evaluation. Our reactors are actually operating at more or less at similar capacities. If I look at

the utilization of our facilities, it is uniformly distributed. We actually decided to shift to straight-line method in line with most of the corporates who are actu ally following straight-l ine method. This actually has a reduced impact of depreciation.

This quarter, we had a INR3.5 crores impact on depreciation, while Q4 had INR7.7 crores. So, there is actually a lower charge on depreciation because of straight-line method. Our profit after tax stood at 23%, which is marginally higher than Q4. Now, coming back to inventory, we talked about goods in transit, which are yet to be recognized as sale.

Because of this, our inventory days went up almo st by 60 days. Q4, we were at 136 days. Today, we are at 204 days, predominantly because of goods in transit. And the new product, the cardiovascular product, we will be actually using the new facility. So, that needs a little bit of more raw material. Now, in terms of capex, we have capitalized INR90 crores for this particular quarter.
And we do expect another INR200 crores which are committed, which would be spent between 12 to 18 months. So, now I open up the floor for question and answers, and we are happy to answer your queries.
Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: My first question is on the largest product, which is the contrast media, which has seen a dip. This is purely because of logistical issue. I believe they were also into the de-bottlenecking stage,

and they were expecting that to be completed by June. I hope that is completed. And how do you see the sales for the remaining nine months?
Do you think the contrast medi a for this particular product, will we grow on that product? Because last year also, two quarters was impacted because of the de-bottlenecking exercise. That means there should be some step up, which we were anticipating. And how has been the market share trend for that product for us within the India suppliers?
Ganesh Karuppannan: Okay, I will just take the question on contrast medi a. We actually had an impact in Q4, especially in the month of February and March. And that impact actually came in this particular quarter.
See, what happens is because of the sales cut off, whatever cut off we had in November, December got realized in January, February. But since there was an impact of lower sale in February, March, the impact in April, May was very little. So today, way forward, our order book is consistent, like whatever we have dispatched in this particular quarter, we expect similar number for the next three quarters.
So starting Q2, Q3, there will not be any, what do you call, the offtake from the customer would be at similar levels. Today, whatever we are dispatching, that will continue till December. We do expect the next year forecast, which will be hi gher than what the current year forecast is. That is our expectation. It could be a single digit number, but we do expect from next January, there would be a higher offtake as far as this particular product is concerned. If I look at the customer, the largest customer, recently they announced their results.
Their Q2 is, as far as this particular segment is concerned, they have shown a 14% growth and they have also talked a lot about capacity building for this particular product.
Sanjesh Jain: So in terms of market share?
Ganesh Karuppannan: For the global customer, I do not have the data maybe this is something we will have to actually like once we have it we will actually share it with you. At this point of time, we do not have the data.
Sanjesh Jain: Our contrast media contribution has fallen from 62% to 40% and that is higher margin business generally. Despite that, our gross profit margin has improved by 140 basis points

quarter-on-quarter. Our belief was that once this new product comes in whether is a cardiovascular or the forward integration for the iodine chemistry. These were slightly margin dilutive versus the existing product while margin continues to improve despite the contribution coming down. What is driving this improvement in the margin despit e the inferior mix in terms of margin profile?
Ganesh Karuppannan: Sanjesh there are four reasons. One the key raw mate rial used in the contrast media for the largest customer, there is a slight reduction in the price. That is number one. There is another contrast media where we were able to actually increase the volume. So that has actually contributed a higher margin and this product mix, this particul ar building block also has contributed positively to our margins.
The third reason is on the other segments due to efficiencies we are able to actually like one is there is a general reduction in some of the chemical prices and some of the recoveries we were able to actually achieve the targets and that is contributing a reduction in this gross margin. And

the fourth is a little bit technical like when you have a higher go ods in transit or WIP finished goods the cost gets inventorized and that has a marginal impact on the gross margin which will actually show up in the next quarter. I think the f ourth point is a bit technical, but the first three points I would say is more or less straightforward, why the gross margin has actually gone up.

Sanjesh Jain: But will it be a fair assumption that as the mix changes towards more new product versus the legacy product, margins should dive down, right?
Shiven Arora: I think both the product categories are for the innovators. And these are specialized products and as we gain more experience in these categories and the specific products our efficiencies are improving with time. So the aspiration would be around the same margin levels and be consistent in terms of suppliers.
Sanjesh Jain: Got it. My follow-up is on the new Ambernath facility which we just co mmissioned. We haven't shipped anything from that, right? All this increase in the revenue for the pharma intermediate space is largely coming from our legacy fixed asset and this new asset is yet to yield any revenue. Is that the right assumption?
Ganesh Karuppannan: We are yet to do any commercial invoice from this facility.
Sanjesh Jain: Okay. So we had that much of a capacity to drive say INR60 crores of revenue from pharma intermediate for a quarter?
Shiven Arora: We should. That's correct. Having said that, I think the validations for this new commercial plant has shown positive results and as far as the scale-up is concerned from Q3 we are on track.
Sanjesh Jain: Got it. Next on the new product within the contrast media where we were expecting some forward integration in Iodine and into the MRI space where are we in terms of commercial supply? Have we got the POs for this product now or we are in the validation stage?
Shiven Arora: No. So validation stage is complete and the results on the use test trials and stability data are positive. Maybe we'll have a more positive update in the next quarter on this .
Sanjesh Jain: Okay. We haven't received that's right understanding as of today right?
Shiven Arora: There is a supply agreement in place, but yes formal PO is a matter of time is what we believe.
Sanjesh Jain: Got it. One on the accounting side of it. Ganesh you said that DAS for the contrast media it's limited to the one product for one customer or it is as a policy we follow for all the product, all the customers?
Ganesh Karuppannan: So for two products we have this DAP terms.
Sanjesh Jain: For two products?
Ganesh Karuppannan: Products yes.
Sanjesh Jain: One for cardiovascular the other one for the…

Ganesh Karuppannan: This is within the contrast media with two customers we have this delivery in place.
Sanjesh Jain: But rest all is FOB, right?
Ganesh Karuppannan: Yes. CIF.
Sanjesh Jain: CIF. Got it. Any update on the AP D plant if I heard it right VK told that that should be ready by 1Q 26. Is that right?
VK Singh: That's right, Sanjesh. So we are on track for th at site. As I mentioned that a lot of work is happening on the common infrastructure and the APD plant is also the construction has recommenced and I think by quarter 1 of FY26 we should be up and about.
Sanjesh Jain: VK, we are targeting, this will be my last, I will come back on the queue. For APD, this is purely for captive we are looking right now or we also intend to sell it to the external clients?
VK Singh: The capacity that we are putting up for CPD a nd APD will exceed our consumption. And so that's where we will leave it. There are opportunities beyond captive consumption. The whole idea of putting up the capacity was for one strategic reason, strategic independence, cost control, support to captive, but then the capacity that we are putting up is more than what we will consume.
Sanjesh Jain: But at current price do you think it's feasib le for us to sell it in the external market?
VK Singh: You know these prices there's an element of cyclicality. That's one. I mean the moment people know that you are putting up capacity, the prices start coming down, but that will not stay. The second part is that our costs because of the process that we have, because of the technology that we have, we will be able to meet any type of there is headroom for us to compete with the most aggressive players and the type of scale that we have put in. So, we are going in with a continuous process on this product. I don't think anybody else has got a continuous process. So I think our costs will be pretty much in control. We'll be one of the industry leaders as far as cost is concerned and there'll be a lot of headroom to fight.
Sanjesh Jain: Fair enough. That's pretty much clear. Thanks everyone for answering my question and best of luck for the coming quarters.
Moderator: Thank you. We have our next question from the line of Sudarshan Padmanabhan from JM Financials. Please go ahead.
Sudarshan Padmanabhan: Thank you for taking my question and thanks for the elaborate explanation. Just looking forward from what Sanjesh was discussing about see today I mean I agree that probably the sales is not being booked on the contract media side and we are running at anywhere between 120 to 130 per quarter. But when I look at the build-up as far as this segment goes I think as you had alluded

earlier I mean GEH also talked about better growth on this segment and more capacity. Then you have the idea of Gadolinium opportunity that you have. And in this segment, one is from
the current run rate say if you are looking at the next year, what are the kind of volumes run rate
that we are talking about? And the second is in terms of capacity while we have been upgrading
capacities inconsistently.

I mean when I'm just looking at the opportunities ahead I mean we know about the label
extension product, the cardiovascular product. But interestingly there are also a couple of more
products, which is in the oncology and CNSA which is at the next stage. If we are lucky and we
are able to see the commercialization on this, would we have capacities to take the kind of growth
visibility if everyt hing goes well? I mean, what would be the capex that we'd be looking at?
VK Singh: So if you're talking of contrast media then for the two contrast media products, the new launches,
we have adequate capacity. I mean, that we have already provided for. And as far as the PI, API segment is concerned, y ou
are right that we have some oppo rtunities in oncolo gy space and some
in the CNS space and al

l that. To be able to trac k those opportunities also for the next couple of
years, we have adequate capacity.
Having said that, there's a greenfield site that we are going to initiate development at and maybe,
in a year, year and a half, there'll be one or two blocks on that greenfield site also that will further
augment the capacity. So, we understand that as a pure play boutique CDMO, capacity is one of
the pivots for business. And therefore, we are ensuri ng that it is in step wi th the growth that we
envision going forward in all three segments.
Sudarshan Padmanabhan: Sir, with respect to the scaleup, I mean, as we move from clinical trials to the absolute
profitability on a unitary basis might be less, which is compensated by economies of scale. But
when I'm looking at two things here, one is you are also backward integrating with the APD,
capacities coming in. And also the fact that when you move up the scale, I mean, currently, if I
look at the quarter, I'm happy to see that we are already running at INR60 odd crores.
As the scale goes up, you also have operating leverage on the pharma business. I mean, which
was subscale, I would say, even a year ago, which is actually coming into a fair amount of growth
space and maturity in the next two to three years. So, from that side, when you're looking at molecules transitioning from, say,
pre-commercial to commercial, I mean, I'm talking about
including the oncology products, the cardiovascular products.
So, the scale would basically be much higher. In the context of operating leverage and APD, I
mean, how do we see the margins? I'm just trying to understand whether the trajectory would be
more or less similar to what we are doing or is there going to be a negative obtuse, but something which is very gradual.
Because at one end, your operating leve rage will offset the kind of
absolute profitability in terms of unitary when you move from market to commercial.
Ganesh Karuppannan: That could be certain corrections in the gross margin level. But as you rightly pointed out, at an
EBITDA level, because of this operating leverage , we should be able to sustain this sort of
EBITDA margin or a PAT margin. I think we would even be better than what has been reported
currently.
There are two factors when I talk about a gross margin. As we actually introduce some of these
new products, the margin profile could be slightly different. But if you really look at our
operating expense, that is well under control, and we should be actually able to get this. In fact, one of our targets is to sustain
the existing level of EBITDA and PAT.

Sudarshan Padmanabhan: Sure. I mean, the final question before I join back the queue. Sir, we have good cash on books,
and we would continue to generate good cash with the growth that we will be seeing in the next
few years. We see a lot of opportunities as well. I mean, you talked about the greenfield.
I'm just trying to understand green field vs M&A, in the sense, th ere are also facilities that are
available, which you can probably use. I mean, get your sense on whether it also makes sense to
look at an M&A in case, we are lucky to see some of the molecules scale up much faster than
expected, or we would still believe to build and operate the facility.
Ganesh Karuppannan: It depends on the target. So, we are open for M&A or a green field, but at the end of the day, it
should meet our expectation in terms of technology, location, and the infrastructure. Because
when we look at it, we also look at for the next five years to 10 years.

And so, in our type of scenario s, the utilities are very critical because we handle large volumes. So, the question is, it's not about, we are not shying away from M&A, but the question is, it should meet all our expectation in terms of capacities and our ability to grow for the next three to five y

ears. And at this point of time, we are evaluating certain green field, probably either in Gujarat or in Maharashtra, or we are also open to M&A. But it may be in the next call, we will be in a better position to update you on our green field proposals.

Sudarshan Padmanabhan: So, one last question. I mean, how is your scenario on saccharin? I mean, we've seen a lot of issues on competition and dumping from China. Ha s that situation improved? I mean, it's still a smaller component of the business, but just wanted to get a sense on that.

Ganesh Karuppannan: With our FMCG customer, it's generally an annual contract, we have gotten a lock-in from all our FMCG customers. That should sustain our existing level of operations. We have also launched one new salt, calcium saccharin, and we need to see how this market will grow. While we work on a number of other opportunities, currently, we will be in a position to sustain the existing level of operations.

Sudarshan Padmanabhan: Thanks a lot. Thank you.

Moderator: We have our next question from the line of Gautam Rajesh from EverFlux Capital. Please go ahead.

Gautam Rajesh: Yes, good evening. I had a question regarding your pharma intermediary business. So, the first one was, what sort of asset turns do you typically expect in the Pharma Intermediate business? And how much investment do you have lined up, let's say, roughly for the pharma intermediary business?

Ganesh Karuppannan: The asset turn depends on our sale realization also. So, we may actually get something with a very high per kg value. So, today, for all our incremental investment, we would be looking at anywhere between three to four times.

Gautam Rajesh: Understood and how much investment do you have lined up for the Pharma Intermediate business?

Ganesh Karuppannan: We don't actually invest based on product category. The capacities are fungible. So, we look at the total investment and we don't actually specify for any specific product. For example, the current investment is actually a combination of for both PI, API as well as for Contrast Media.

Gautam Rajesh: Understood. And my final question is, what sort of growth do you expect in the pharma intermediary business fo r the next three years?

Ganesh Karuppannan: We don't give future guidance. But our order book is quite interesting. That's what I would actually put it across.

Gautam Rajesh: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Ritika from ValueQuest. Please go ahead.

Ritika: Hi, thank you for taking my question. First question is, if I got the opening remarks correct, you mentioned that this 120 KL plant, 90 crores, the capex which was spent, though this plant is fungible, but this will be majorly used for the cardiovascular intermediates. And you are creating a separate 70-80 KL plant for this MRI drug. Would that be a correct understanding?

VK Singh: Yes, that's right, Rithika.

Ritika: And on this 120 KL plant, as Ganesh sir was just mentioning, we should expect a 3-4x kind of asset turnover.

VK Singh: Possible. That's clearly one scenario . And we are targeting that yes.

Ritika: Right. And has a validation process for this new cardiovascular intermediate started? Can there be a delay from the customer point of view, since we are expecting the new supply to start from Q3?

VK Singh: Validations are complete, successfully conducted, the batches have been passed, and orders are in hand. So, we don't envisage any type of delay, hopefully.

Ritika: Okay. I thought you mentioned the capacity has been operationalized, but the validation is pending from the customer point of view, for this cardiovascular intermediate.

VK Singh: Validation batches have been taken.

Ritika: Okay. So, in our sense, we don't expect any delay and we expect a ramp up from Q3. And on this MC MRI Drug 70 80 KL expansion, what kind of c

apex are we expecting on this?

VK Singh: This number, we may not be able to, share.

Ganesh Karuppannan: This would be just an incremental. It won't be significant, because al l the infrastr ucture has already been built, and this is just not a significant investment.

Ritika: Could you please help us with the capex number for Q1 25?

Ganesh Karuppannan: Q1, it's close to INR90 crores.

Ritika: Okay. And last question on a contrast media se gment, with now validati ons being completed for this new contrast media drug, what is leading to delay in supplies or getting the PO in hand?
Shiven Arora: There's no specific delay, actually. I think this is a complex molecule and has gone through series of use test trials and validations and stability stud ies. Things like this typically can have a certain amount of delay, but overall outlook when it comes to this advanced intermediate and the necessity from a sourcing point of view by the customer is there. So I just believe it's a matter of time where we can scale up this molecule because the capacities are already live and are on warm standby.
Ritika: Again, what could be the risk of the company not getting PO in like next one to two quarters? How confident or what kind of risk do you envisage over here?
Shiven Arora: The conviction and the confidence levels are high, but we'll keep you updated if there is any course correction.
Ritika: So, that's it for me. Thank you so much.
Moderator: Thank you. The next question is from the line of Meghana Agarwal from Mount Intra Finance. Please go ahead.
Meghana Agarwal: Good evening, sir. Thank you for taking my question. I just want to know, I miss that what is the salt that we are bringing in the FMCG sector and what is the usage of that salt? Can you just brief me on that, please?
Shiven Arora: So, up till now, we were manufacturing saccharine in the form of sodium saccharine. The other salt is calcium saccharine, which has been scaled up. The application is more or less similar, but that was the need by the customer for a specific formulation and it's also high value.
Meghana Agarwal: So, basically, now the new salt that we have come up with is the calcium saccharine, right?
Shiven Arora: Correct.
Meghana Agarwal: Thank you so much.
Moderator: We have our next question from the line of Pradeep Rawat from Yogya Capital. Please go ahead.
Pradeep Rawat: So, what would be the capacity utilization as of now?
VK Singh: It's about between 70%, 75%.
Pradeep Rawat: Okay. And how much of the headcount have we increased year-over-year?
VK Singh: Numbers, we won't have ready, but then the manpower expense has gone up by about 14% in the quarter. So, distributed across segments, starting from production, we've added people in production because of new block. We've added people in the project team because we needed more execution bandwidth.

We've added people in EHS because that's the or ientation that we have going forward. And we've also strengthened the business development team . So, there's certain corporate functions. So, there's an all-round, but then this will not be as much as the growth that we have because there'll be some amount of operating leverage that'll kick in. But overall, I would say that the type of growth that we envision in anticipation of that growth, we have to create strong teams with quality, talent and caliber.
Pradeep Rawat: Yes, understood. And my last question was rega rding, I missed it earlier. So, when is the commissioning of th e unit third plant?
VK Singh: So, in unit three, we plan to have two blocks. Th e first block, that's th e vertical integration, backward integration block for contrast media should get commissioned in quarter one of FY '26.
Pradeep Rawat: Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.
Nikhil: Just two questions. In fact, in the previous question you talked about, you are creating a team bandwidth and all in the anticipation of a strong growth. Two parts to it. One is, if we have to understand what are the industry drivers which are giving you confidence of such a strong growth.
And secondly, on the CDMO, if you have to understand our pipeline trajectory or development, how do you see that pipeline trajectory evolving? So, if we compare ourselves six months back to today, how has the pipeline improved for us?
And in continuation there was one thing you said, we are also looking at greenfield capex. Now, I understand that CDMO business requires capaciti es to be in place initi ally before we get the business but we also carry the ri sk of underutilization of capacity if the busin ess doesn't turn up. So, how do you balance between these two? What gives you the confidence to put a new

capacity?
VK Singh: So, your question has three parts. The first one was that something about the industry and where we get the confidence of the growth. So, as that being a pure-play CDMO, we are in contact with a lot of innovator companies. And for whatever reason you attribute it to, China plus one or whatever you call it they are tailwinds for Indian companies.
And within Indian companies, we have certa in very specifi c capabilities based upon the chemistry platforms that we have and extremely lo ng-term relationships with most of our clients and therefore very high possibility of repeat busi ness. So, I think all this augurs pretty well for charting a sustainable growth for the business. The second part is about the capacity. So, normally, as you would have seen that we are one of the industry-leading companies as far as our asset terms are concerned. One of the reasons for that is... I mean, there are other reasons as well. One of the reasons for that is that our gestation period is low. Why is the gestation period low? Because normally, our businesses are contractual businesses and our customers being mostly innovators they give us a good visibility for the next several years.

And therefore, you would see that our capacity in Unit 2, which we call Plan 6 has been just established. And in two months of commission ing the commercialization or industrialization will start. When we talk of building future cap acity that is based upon the visibility that we already have and much of that visibility is fro m our existing customers. So, there is a decent amount of probability and positive correlation based upon which we are planning our future capacities. These capacities that we plan will be with the growth that we have to a very large extent contractually backed.
Nikhil: I get that point, sir. Just a continuation here. See, when you talked about the two capacities in Unit 2, one was for a product where the clinical trials and everything is already done and commercial launch is there. So, you have a cl ear visibility on the prod uct getting commercially launched commercially scale up of the product. And similarly, on the contrast media. But for the future molecule the success rate for molecules from Phase 2, Phase 3 keeps on reducing. So, if you have to understand, is it like we have a good pipeline of Phase 3 molecules, which gives us confidence that probably we can keep doing a capex of INR50 crores, INR100 crores every year to meet the demand? I'm trying to understand on the future products in the pipeline.
VK Singh: Okay. So, firstly if you look at our business and the three main product categories, we I think, have a reasonably good pipeline in all three product verticals. On contrast media, we are entering new segments as well as there is a forward integration. So, our pipeline caters to both these growth drivers. In saccharine, Shiven mention

e d about a product line extension. Besides that, we have a couple of very credible opportunities that we are working on, which would be significantly large.
And on the PI side also, we are focusing on Oncology, CNS and cardiovascular. So, the cardiovascular opportunity has kicked in. The Onco and CNS opportunities there are a couple of which are currently commercial and a couple that we are tracking. Now, coming to your question of the success rate of NCEs that's a very valid point that you bring out. And because we are a little selective in our product in the pr oducts that we choose or the customers that we partner with. But nevertheless having said that, I agree that if we are tracking 10 opportunities, 2 will materialize.
But then these opportunities th e eight that don't materialize, we are not planning capacities for those. I mean, that will till the time they get approved will be catered from li ke I said, we were building milligram to multi-ton capability. A nd that's specifically the purpose for that.
So, we have an R&D and we have a Kilolab and we are constructing a new Kilolab and a new small volume plant. So, for these, I mean the initial supplies will go from there. And it's only the opportunities that finally click or kick in that's where the capacities are going to get added. For this uncertain period, when the molecule is not approved, for that period the volumes will go from the small volume plant. You could call it a pilot plant.
Shiven Arora: Some of the opportunities that we are tracking are phase three and beyond. So, the uncertainty risk is much lower.
Nikhil: Okay. So, for those opportunities the capex would probably kick in from next year? Or like, how should we understand? Because you mentioned the two capex, which we have done this year for

these two molecules, which are largely commercial. But for the future molecules, which you are talking probably will get commercial. So, how should we track your capex?
So, because I think somewhere you mentioned that every year we would be doing a INR100 crores kind of capex for the next two, three years. So, I'm just trying to at tach that capex visibility with the pipeline visibility.
Ganesh Karuppannan: So, with our existing customers based on their forecast, we have to add capacities for them to take care of the future needs of the existing prod uct. So, partly the capital expenditure is going for that. And we also have cl ear visibility of at least three to four products, partly commercialized, partly in the validation. So, that also has a clear visibility how we should look at it.
So, like the next FY '26 capex, we more or less know the product and the requirement. For FY '27 already there are indications like based. So, it all depends how the dialogue with the customer picks up. And we have a visibility what the customers expect for FY '27. So, we need to be at least a year or year and a half in advance before the customer comes with the contract.
Nikhil: Okay. And just last question. So, as you said partly it would be for our existing pipeline and partly for newer molecules. So, would it be right to say it would be a two-third, one-third kind of a split between existing and new? And this greenfield is basically to diversify the plant risk or is it like a completely larger plant than what we have as of now? What's the idea behind this greenfield?
VK Singh: So, the greenfield will be required because now existing capacities are saturated. There's no further debottlenecking or addition of blocks in the existing capacities possible. So, therefore, we need a greenfield. And as Ganesh mentioned the capacities that we put up as a stated policy they're all fungible capacities. So, while they may be dedicated to a particular product it's not that nothing else can be made in those capacities. So, there is business visibility for which the
gree

nfield will be needed. And maybe we'll update you in the next call but then we are looking at a significantly large land parcel this time.
Moderator: Thank you. The next question is from the line of Keval our shareholder. Please go ahead.
Keval: Can you guide us as to what was the amount of the quantum of goods which were shipped out, but we could not recognize the sale in this quarter?
Ganesh Karuppannan: We are not allowed to actually di sclose it. Maybe just to give a like this would be almost equal to more than at least 50% of the turnover quarterly.
Keval: So, if it's 160, we can assume it's around INR80 crores.
Ganesh Karuppannan: Yes.
Keval: Okay. So, this will be a spillover for the next quarter.
Shiven Arora: It will not be a full spillover bu t will be a partial spillover.

Keval: Partial spillover. Okay. An d is the freight issue now getting resolved or it is still taking the same time?
Ganesh Karuppannan: It is still around 60-65 days. And also, the ocean fr eight has gone up in the last quarter. The last two, three months, we could see that because of the longer route the ocean freight has gone up.
So, we expect things to get resolved maybe in a quarter or so.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Ganesh Karuppannan: We would like to thank all the participants and we hope to see you in the next conference call. Thank you very much.
Moderator: Thank you. On behalf of Blue Jet Healthcare that concludes this conference.
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@ BLUE JET HEALTHCARE LIMITED
REGISTERED & CORPORATE : 701 & 702, BHUMIRAJ COSTARICA,
PLOT 1 & 2, SECTOR - 18, SANPADA, NAVI MUMBA! - 400705
T : 022- 41840550 / 40037603 F: +912227814204
BLNEL.JLE‘:{ET E : sales@bluejethealthcare.com | CIN NO. : L99999MH1968PLCO14154
November 08, 2024
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BSE Limited National Stock Exchange of India Limited
Phiroze Jeejebhoy Towers “Exchange Plaza™
Dalal Street Bandra-Kurla Complex, Bandra (East)
Mumbai - 400 001 Mumbai — 400051
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Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the
quarter/ half year ended September 30, 2024
Dear Sir / Ma'am,
Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter/ half year ended September 30, 2024 held on November 04, 2024.
The same is also available at: https://bluejethealthcare.com/investor-presentation/
You are requested to take the same on record.
Thanking you,
Yours faithfully,
For Blue Jet Healthcare Limited
Ms. Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)
Unit]
&/g."■lilestuw. Kalyan Murbad Road, Village Varap, PO. Box No. 5, Shahad-421 103, Tel.: 91 251 2280283 Fax : +91 251 2280567
ni
I'J’hlltl Illln. B-12, C-4, E-2, MIDC, Industrial Area, Chemical Zone, Ambernath (W) 421501. Tel. : +91 8956363877/8956363878
i
K-4/1, Additional MIDC Road, Mahad Industrial Area, Mahad- 402309, Tel.. + 9122 2207 5307/ 6192 / 1691 Fax : +91 22 2207 0294
info@bluejethealthcare.com / Website : www.bluejethearthcare.com
@ BLUE JET HEALTHCARE
“Blue Jet Healthcare Limited
Q2 & H1 FY25 Earnings Conference Call”
November 04, 2024
MANAGEMENT: MR. SHIVEN ARORA — MANAGING DIRECTOR
MR. VK SINGH — CHIEF OPERATING OFFICER
MR. GANESH KARUPPANNAN — CHIEF FINANCIAL
OFFICER
MODERATOR: MR. ADVAIT BHADEKAR — ERNST & YOUNG

Moderator:
Advait Bhadekar:
Shiven Ar November 04, 2024
Ladies and gentlemen, good day and welcome to Blue Jet Healtheare Limited Q2 FY 25 Eamings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions afier the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Advait Bhadekar from Emst & Young. Thank you, and over to you, sir.
Thank you, Del. Good evening and a warm welcome everyone to Q2 and H1 FY 25 Eamnings Call of Blue Jet Healtheare Limited. Please note, investor presentation and the financial results arc available on the company website and the stock exchanges.
Also anything said on this call which reflects our outlook for the future, or which could be construcd as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transeript along with the audio of the same will be made available on the website of the company as well as on the cxchanges.
Please also note that the audio of the conference call is the copyright material of Blue Jet

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From the management side, we have with us Mz. Shiven Arora, Managing Director, Mr. VK. Singh, Chicf Operating Officer and Mr. Ganesh Karuppanan, Chicf Financial Officer. Now I would request Mr. Shiven Arora, Managing Director of Blue Jet Healtheare Limited to provide you with updates for the quarter and half-year ended 30th September 2024, Thank you and ov to you, sir.

Good evening, festive grestings and thank you everyone for joinin

g us today. I am pleased to

share that we remain a leading CDMO company focusing on export regulated markets. Our esteamed customers include top players in the MedTech and FMCG sectors along with innovators in diverse therapeutic arcas.

For Q2 FY 125, we achicved a turnover of INR2,071 million, marking a sequential increase of 28% and an 18% growth year-on-year. Our EBITDA stood at INR695 million, and we reported aPAT of INR583 million, our highest ever net profit for a quarter, representing 28% of our total revenues. This quarter, we proudly completed our first ever dividend payout of INR1 per share, amounting to INR173.5 million. We continue to maintain a debt-free status with healthy liquidity reflected by our cash and cash equivalents and our treasury investments totalling to INR3,233 million as on September 2024. Following up from the last quarter, we have successfully commissioned Plant 6 at Unit 2 in Ambernath, incurring a total cost of INR900 ‘million.

This facility adds 120 KL of additional capacity which will cater to our customers in the PI and contrast media segments. Commercial production of our PI client in cardiovascular therapy commenced in mid-September.

‘We anticipate reaching our optimal capacity utilization in Q3 and Q4. Additionally, we initiated validation for our contrast media intermediate for an NCE molecule and expeet the facility to meet surging customer demand in the second half of FY '25. The end APIis showing exceptional performance, positioning us to fulfil long-term client needs.

Looking ahead, Unit 3 capabilities arc projected to go commercial in FY '26. We aim to use this as an opportunity to produce a key raw material which is currently being imported. Our capital expenditure plan remains on track.

Engagement with existing and new clients continue to be promising, with strong forecasts across all three product categories, specifically PI or CDMO category. Demand remains robust, which our Plant 6 capacity will support effectively. For contrast media category, Q2 supplies were steady, and we expect the demand for customers to stabilize from Q4 '25 onwards.

Thank you. On this note, I would pass it on to Mr. V.K. to give more insights about the business.

Hi. Good evening, cveryone. Season's greetings and a Happy Samvat 2081. For a CDMO business, there are clearly two growth enablers, manufacturing capacity and R&D. At Blue Jet, we contimously de-bottlencck and add new capacity to keep in step with the growth that we envision. Our capacities are often co-engineered and built to suit, to support our go-to-market strategy for customers who are mostly innovator and CDMO companies.

We also build capacity to complete backward integration, which is a stated goal for cost leadership and strategic independence, Our current capex cyele, as Shiven mentioned, is mostly in step with what we had indicated in the past and is also synchronized with the customer lock-ins and supply contracts. At Unit 2 Ambernath, we have added about 120 KL ata cost of about INR9O crores. This capacity went on stream in the previous quarter, and commercial supplics commenced in the last quarter upon suceessful completion of validation batches.

‘While this capacity is versatile, its been specifically deployed for making the intermediate for the CDMO cardiovascular opportunity that we were pursuing with an innovator company. As indicated in the previous call, we are commissioning incremental capacity of about 80 KL in the same block, and as we speak, the validation batehes for an advanced intermediate orientated towards the NCE in the MRI space are ongoing.

We expect commercial supplics to commence from this capacity in quarter three onward. At Unit 2, we are also building a small volume plant, which we envisage will be ready for commissioning in quarter one of FY '26. This plant will be pri

marily used for proof of concept,

regulatory filings, and supplics of small GMP validation quantitics to innovators for the clinical developments and trials.

With the small volume plant, we complete our stated objective of building robust kilogram to

‘multi-ton capabilities. Moving to Unit 3 at Mahad, at this site, we are creating a built-to-suit capacity for backward integration for contrast media. The effluent treatment plant at this site is ready for trials, and other common infrastructure is also nearing completion.
We believe that this new capacity will get commissioned, as we had indicated in the past, in quarter one, FY '26. With regard to R&D, which is our second growth enabler, we have, in the last 12 months, doubled our R&D hardware and strengthencd our scientific talent pool. Howerer, to keep in step with the growth that we envision and the surge that we are witnessing in the CDMO RFPs, the number of R&D labs and scientific talent pool shall be further augmented
Some new chemistry platforms, like pyrophoric chemistry, iodination, enzymatic platform, and a platform which is dealing with amino acid derivatives, have been very recently added. As far as sustainability is concerned, between our windmills and solar, we have built capability to gencrate about 70% of our encrgy from renewable sources. We are continuously striving to achicve a high level of atom cfficiency in our chemistrics and endeavour to make our industrial processes and plants environmentally friendly.
With this, I pass it on to my colleague, Ganesh, to take you through the financials in detail. Thank you.
Good evening, everybody. I hope you are able to hear me. Before we get into Q2 performance, T just wanted to recap our Q1 performance, which was majorly impacted by Red Sea issucs, whereby we had higher goods in transit. This resulted in a lower sales recognition, and our performance in Q1 was lower compared to its sequential quarter. During Q2, despite of having higher goods in transit, higher than Q1, we were able to record a profit after tax of 583 million, highest ever quarterly profit reported.
Our reported turnover of 2,070 million for Q2 FY 25 is an inerease of 28% on a sequential quarter basis and 15% on year-over-year basis. For the same quarter, we recorded a gross margin of 57%, higher by 2% sequentially, and we were able to sustain similar margin on year-over-year basis. Our reported EBITDA at 695 million is an increase of 57% sequentially and 11% year-over-year.
‘We ended the quarter with a profit after tax of 583 million, an increase of 54% sequentially and 22% on year-over-year basis. For the half year, we recorded a tunover of 3,711 million, an increase of 3% year-over-year basis. EBITDA reported for halfyear, first halfis at 1,137 million, this is lower by 6.4% year-over-year basis, while profit after tax at 961 million is an increase of 4.5% year-over-year basis.
Now, let me just take you through some of our key product scgment. We will first start with contrast media. In the contrast media product category, Q2, we reported a growth of 76% ona sequential basis, while it has de-grown by 11% year-over-year basis. The HI, we reported a turnover of INR1,779 million, a de-growth of 31% compared to HI of last year. In the previous

Moderator:
Sanjesh Jain:
Ganesh Karuppannan:
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Ganesh Karuppannan: November 04, 2024
call, we had highlighted a lower offiake by a key customer for calendar year 2024 and certain Red Sea issues impacting our goods in transit, thereby impacting our revenue recognition.
Inthe pharmaccutical intermediate category, we were able to sustain Q1 performance in Q2 also, while if you look at the H1 of FY 125, we reported a turnover of INR1,198 million

, a growth of
282% compared to H1 of FY '24. As VK Singh mentioned, the commercialization of one of our key products in the cardiovascular therapy has started in September from the new capacity, and that's Plant 6. And we believe this new capacity is expected to drive scparate growth for us in the scoond half of FY 125.
In the artificial sweetness phase, our turnover is more or less similar to last year. In H1 of FY 125, we reported a turnover of close to INR60 crores similar to last year. We are able to sustain our turnover this year, despite of headwinds from imports. Now, some of our key balance sheet items, we reported a return on capital employed at 33% and an asset turn of 3.39%. The new capacity addition impact, we could actually see in the second hal fof FY '25. Our working capital is at 140 days, down by 7 days compared to Q1.
We gencrated a free cash flow before Treasury investment at INR318 million. Our cash conversion, which is profit after tax as a percentage of cash generated, is at 0.76, which means that we are able to actually convert 76% of our cash this quarter. The capex during this quarter is at around INR43 crores. So, with this, we will actually take your questions.
The first question is from the line of Sanjesh Jain from ICICT Securitics. .

First, [will start on the contrast media. We have shown a remarkable improvement sequentially, but on a Y-0-Y basis, we are still 11% down. And if I remember in the previous call, you did mention that for the full year, we will be able to hold on to the volume of last year. Then is it fair to assume that in the next quarter, there could be a sharp jump in the volume to meet for the flattish volume versus last year. Will that be a fair assumption on the contrast media side?
There will be two parts. In H2, we arc going to have a better product mix. So, one of the new products would get launched, we expect this in Q4. And we have got a strong order book on the NCE molcetie also. So, we should be in a position to improve our performance in H2.
When you say a new product and NCE, are they two differcnt products that we arc speaking about or the same product?
Itis the same product.
So, when you say better product mix, what do you really mean by that?
Earlier, if you look at our H2, in addition to the couple of products what we have commercialized, you will have a bracket of 5 to 6 products, including some of our old products, which are actually getting traction. So, in terms of volume, if you look at contrast media as a segment, we belicve we should be in a position to come closer to our last year's numbers.

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Sanjesh Jain: November 04, 2024
We still hold that we will do, because of the new product launches and traction in the cxisting product, we will be able to produce the same volume as the contrast media, despite the first half being slightly softer. Another related question, Ganesh, there is a INR42 crores increase in the stock in trade in the first half. This is a normal situation, would have books as a revenue?
That's actually the raw material cost. This quarter also, the sales cut-off is almost close to INRI100-0dd crores. So, this sale will actually flow in Q3. Predominantly, the contrast media. ‘When you have this incoterms delivery at place, we can recognize shipment only when it reaches the customer's place. So, tll then, it will be shown as book-replacement.
This INR42 crores otherwise would have been revenue, right? Which are because of the Red Sea issuc delays the delivery, is not getting recognized as revenue, correct?
You are right.
In a normal course, would that be a revenue for us in the HI, correet?
We have already invoiced; it will be recognized

in next quarter.
On the contrast media side. We were anticipating one product on the Todination side. Where are we in the process for that product?
‘We had very encouraging diseussions during the customer mects and the trade shows recently. As indicated in our last call, the validation is successfully completed.
The validation is completed?
We are expecting to scale up in Q4 this year.
So, that supply also will start up in Q4? We said NCE in Q4 and this one also in Q4, Shiven, right?
That's right.
For NCE, there is a proper PU. But for the Todinated product, we still don't have a PU. We are through with the validation. Is that the right understanding?
That is absolutely the right understanding. And it a matter of time when we communicate this propetly in the next call.
One on the pharma intermediate side. We said that we have started production in the Unit plant in September. But revenue appears to be flattish. The shifting has not happened and hence the production and revenue recognition, there is a lag. Is that the way to look at it? And the sccond related question is that, I think, Shiven, you mentioned in your opening rematks that by Q3, Q4, we expect to completely seek out the utlization. That means this 120 kI will reach a peak utilization and the revenue recognition in the two quarters?

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Sanjesh Jain:
Moderator:
Sudarshan Padmanabhan:
Sudarshan Padmanabhan:
VK Singh: November 04, 2024
Yes, that would be the aspiration. I think we are inching towards it. Month-on-month, we scc improved cfficiencics and better experience when it comes from a seale-up standpoint. So, in the next two quarters, I think we should ramp up to our customers' expectations.
Basically, there is an order book for the full plant. I¢s just a process we have to complete. And once we start producing it at an optimal level, we are good to go. There is no problem with the demand side or the book side?
Absolutely, we have confirmed orders on this particular candidate.
And the last question is on the two ofher products in the pharma intermediate would aspiring, one was for oncology, one was for parkinsons. Any update you want to share on those fwo products?
So, the discussions with the customers are very encouraging: I think in the next call, we will have better feedback around these aspects.
The next question is from the line of Sudarshan Padmanabhan from JM Financial PMS.
Hi, thank you for taking my question. Just taking from the carlicr participant on the confrast media side, if my understanding is correct, apart from the new product, the NCE, our existing clicnt was also expected to expand the capacity? I mean, which is also the reason why we had seen the first quarter and some of the carlier quarters, some kind of a shutdown where they were expanding the capacity, ctectera. Can you give some color with respect to whether the cxpanded capacity is in place? When is it expected to start supplying?
T'm not in the right position to answer on behalf of my customer, but I feel the overall traction in the market is extremely positive. The usage of contrast media and especially with these market leaders is increasing. So overall, Ifeel that we are well poised for a positive future going forward.
On the pharma intermedate side, ifyou can give some color because you have talked a lot about the sealc-up whichis going to be visible from the existing products and also the pipeline. Imean, we understand that oncology product, Parkinson's product, which is yet to hit the commereial in a visible way, the cardiovascular is of course going to be the driver.
But beyond this, if you can give some color with respect to the pipeline, I mean, you should not necessarily give a number as such, but how many molecules arc in the Phase 3? How many molceules arc in Phase 2? How do you expect the progression to happen in that wa

y? Can you
give some color with respect to the next 2 to 3 years?
So, in this segment, as we mentioned in the last call also, we were tracking about 8-10 opportunities. Two of them are currently commercial, but the full scale, for them to evolve, perhaps quarter 4 will be the right time to speak about it. But we are tracking those opportunities and after the conference that we had in Europe last month, I think we have some more very credible opportunities with very high conviction. So, I think in all, we are looking at 12-15 very high conviction opportunities in the space that you spoke about.

Sudarshan Padmanabhan:
VK Singh:
Sudarshan Padmanabhan:
Management:
Moderator:
Sanjesh Jain:
VK Singh: November 04, 2024
So, one final question before I join back the queuc is, when I looked at this cardiovascular molecule, I mean, it would be probably the only non-stacking product to reduce cholesterol. T mean, T understand that we have set up the plant and it is expected to ramp-up. But if you can give some color with respect to the next 2 to 3 years, are we having enough land, enough space for us to add additional wmits if it s required? Do we sce potential of this product being substantially bigger than what currently we are secing in the next few months?
See, we have currently in our plant 6, we have putup huge capacity: So, I think we have capacity to take care of the current demand and any uptick in demand for the next couple of years. So, we arc in a very good space as far as this molecule is concerned. As far as the outlook for the product is concerned, I mean, I would encourage you to go to, a lot of data and public domain. T think the molecule is very well poised to be a blockbuster.

Yes, sure. And one final, [mean, if am looking at the margins in this quarter, I mean, of course, the mix was very favourable on the gross margin side and operating leverage. I mean, from a longer-term perspective, I mean, what should we be looking at as a steady state margin as the molceule kind of sealcs up? Some coler if you can give.
See, based on the current portfolio, I would believe the margin would be in a similar range, maybe plus or mimus 2%. So, this quarter, because of a higher goods in transit, normally the overhead gets capitalized. So, the margin is marginally higher. So, T would actually take it somewhere around 53% to 55%. And that should be a reasonable estimate for the cwrrent product mix.
The next question is from the line of Sanjesh Jain from ICICI Securities.
I have a couple of them. Sorry, I had to follow up. First, on the chemistrics, which you spoke, VK sir, on the enzymatic process and few other process. I think enzymatic process is something which s becoming very popular in China, and they are significantly reducing the cost of some of the molecules.
Are these, in the exploratory stage, are we developing any serious capabilities here? And have we got people who have experience in the R&D for this? So, how are we looking at these new chemistrics and what are we doing to sealc themup?
Sanjesh, our reason for looking at these chemistries, particularly this enzymatic chemistry, are two. One is that whenever there is a chemistry where there is chiral selection involved, then the enzymatic process is significantly more cffective than a regular chemical synthesis process. And the way we sec business move, the direction in which the RFQs and inquirics are going, there will be a lot of molccules in that chiral sclection space where we believe that enzymatic chemistry is going to be better.
The sccond thing is that as you know, the type of business that we ar in, sometimes the cfflucnt is very high. And when we use enzymatic process, then sometimes, the fflucnt in the cnzymatic is sigaificantly lower. I mean, the ratios could be as high as 1 is to 50. So, if we were gencrating

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Ganesh Karuppannan:
Sanjesh Jain:
VK Singh:
50 in the regular chemical process, in the enzymatic, it becomes 1 litre or whatever per kg of output.
So, these are two reasons for which there is a propensity in our R&D to move towards the cnzymatic processes. As far as capability is concemed, then we have built up that capability. We have further strengthened that capability. And if you would sce the IP space, we have filed a couple of patents also which are leaning on the enzymatic chemistry. So, we are in a good space as far as that part is concerned.
Tam telling there is no commercialized product as of now, which s just this process.
As of now, no. But, maybe next year, yes.
We are vary close to commereializing this work
We are close to commercializing, yes.
And will it be for a general product, import substitution or again working as a COMO?
Are you speaking about this particular chemistry?
Yes, this particular chemistry.
Ttwill be both.
Okay. We are planning for more than one product.
Yes. T mean, this is just a platform that we have developed, and we will be evaluating, this opportunity in many, many places because one thing that I forgot to mention was that sometimes the enzymatic is far more cost effective also.
Cost effective is well taken, because I think the costs have drastically reduced and some of these processes and that is what is disupting a lot of phama intermediate space.
So, T was speaking on GLP-1 in context to our cardiovascular product. Do you see in a medium term any redress because when public reduces their weight, it ultimately reduces their cholesterol level that means the requirement for these preventive cholesterol measures become less in

demand. Do you sce the GLP-1 having the entire impact in the medium term on the demand for our cardiovaseular product?
So I would say that what you are saying is clearly one line of thinking today, because now we are not looking at cardiovascular and all that. We look at it as one big picture which is cardiometabolic. So to an extent you are right, but then the molccules in pharmaceutical it is not common to see obsolescence.

Moderator:
Amish Kanani:
Amish Kanani:
Ganesh Karuppannan:
Moderator:
Tanya Kothar
Ganesh Karuppannan:
The second point is that the product that we are talking about is actually the first linc of reatment. It is quite possible that these GLP-1s may not for several indications be the first line of treatments. Besides most of these GLP-1s will be injectables.
And then even if there is a GLP-1 which can be positioned head on with this molecuile, it s a category. So this molceule will be competing more with - the statins will be competing more with czetimibe which is a non-statin lipid lowering product. So I don't really see why anything should change from the projections that we are talking about. Besides anything to gain traction. Right now, the type of GLP that you are speaking about that can go head on with the product is not there on the market. Lt us say in two years, something is in Phase 3 it comes, then the outcome trials will be needed which means that we are at least four years away.
So I would say that for the molccule that we arc speaking about without taking any names, the generic competition will be more credible than the comptition from anything of the sort that you are mentioning. But you bring out a very, very valid point and we completely appreciate that.
The next question is from the line of Amish Kanani from Knowise Investment Managers .
Question is if you can remind us of the capex that we have alrcady done in the first half and the remaining capex that we are likely to o in the second half and next year. And a re

lated question
will be, given that we are secing it in the opportunities looking at any incremental capex beyond what is already budgeted?
Yes, so I think we are on track for our capex plans. I think our initial guidance was, on a basc case, INR200 crores annvally. But we arc also cxploring other options from a manufacturing footprint standpoint. So we maintain our guidance.
Okay. And sir, looking at the scale-up in the revenue and plan scale-up in the second half, what should we pencil in directionally as an EBITDA margin? We have kind of done 30%-odd in the first half as blended, but second quarter was 33%. Given that there is a scale-up, any indication of what kind of EBITDA margin should we be looking at dircctionally, if not a precise number?
We don't give guidance on the future. You can actually look at our historical mmbrs.
The next question is from the line of Tanya Kothari from AUM Capital Markets. Please go ahead.
T have just two questions, and that is with the contrast media. There is an inerease of 25% scen this quarter, and there were cortain factors that there was a transit-based resolution that contributed in the last quarter. So the revenue - how much of the component is due to transit delay, and how much was the jump due to some other factors in the contrast media?
This goods in transit is an ongoing topic. Normally, we used to have 30, 35 days of transi, but because of the Red Sca issucs, now it has become 55, 60 days. So you can almost say that our transit time has doubled after the war situation. So what we try to o is cnsure that we arc able

Tanya Kothari:
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Moderator:
Himanshu Duga
Ganesh Karuppannan:
to maintain transit stock at similar levels, but last quarter was higher, and in fact, this quarter, it is much higher. Soit all depends on customer offtake, and in temms of transit period, we consider somewhere around 535 to 60 days. So this all depends on the offtake from the customer, and this

cannot be predicted in advance.
Okay, sir. Sir, docs the company anticipate a normalization in the growth rate for this particular segment, including whatever issucs with the transit is? What is the kind of growth rate we are expecting in the couple of years, if the same sifuation persists?
See, ke, the transit is not actually a, one should not really worry about the transit issucs when you look at the long term, because you have an opening and a closing goods in transit, so gencrally, it should iron out. So technically, that to me is not a concern. What you should be actually like looking at is more on the product launches and the opportunities what we have on cach of these molecules.
Just one question, that is regarding the margins with cach segment, like product mix, we know, like 55% from contrast media, sweetencrs around 16%, but what is the kind of margins cach segment is, can [have those data sets?
Based on the current product mix, I had already mentioned that plus or minus couple of percentage, we should be able to maintain this margin for the current produet mix.
Okay. The blended margin should be between say 35% to 40% or 38% for the anmual ifyou look at this?
No, we camot give a guidance, but you could actually evaluate based on your historical performance.
The next question is from the line of Himanshu Dugar from SafeGainz Advisors.
I want to understand a bit about the timing on this, the volume and revenue recording for the contrast media business because I understand in the last quarter as well as we had some kind of lag in that there was a delay and then something would have accounted this quarter. And similarly, I think last year also there were some similar issues. Could you just help us understand how the accounting works?
See it's driven by the Incoterms like whatever contrac

t we have, the contractual tem if it says
the delivery at place which means you cannot recognize a shipment till it reaches the customer destination. So this is the first part. And the transit time has actually like significantly gone up subsequent o this war situation. So what used to be a 35-day timeline has now become 55 days to 60 days.
And so like if you're familiar with the commercial terms, when you say delivery at place, only when it reaches the customer destination, we can actually recognize it as sale. And most of the contrast media customers would like to have delivery at place as their contractual terms for delivery.

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Himanshu Dugar:
Ganesh Karuppannan:
Moderator:
Aditya Chheda:
Ganesh Karuppannan:
Aditya Chheda:
Understood. So just as a follow-up like if you go back to the last quarter's comments on some amounts, could you just broadly highlight what was the revenue impact which shifted from last quarter to this quarter?
It will be around INR60 crores to INR70 crores.
And when we think on a like-for-like basis versus the last year that is FY '24 second quarter, how s it like are we input inreased on.
T donit have that info readily now because that's a last year number. I think what you should worry about s the sequential number.
On the margins. So I think previously couple of times you commented that because of the plan in the volatility and the raw material prices also have significantly contributed in the overall ‘margin volatility. In this quarter, how was it like, was again the raw material prices going up and hence that somewhat on a Y-o-Y-basis I'm asking this question. Did it impact the margins or there arc other factors at play?
No, margin raw material prices for our key raw materials were more or less consistent. We didn't sce any high volatility. The top two, three raw materials remained more or less stable.
So what would you call it attribute the margin decline to them?
No, compared to on a year-on-year basis, the margins were same 55% and during this quarter, it went up by 2%. So currently it is at 57%.

The next question is from the line of Aditya Chheda from InCred Asset Management.
Can you help us understand the degrowth that we've seen in contrast media for HI to break it down between volume and realization and what arc the factors that drive realization in this segment that would be helpful?
There is no significant price variance. It purely volume variance. We have actually talked about two reasons. One of owr customer off-take during this year is lower than the previous year because of certain reasons which we had alrady highlighted in the carlicr calls. The sccond impact is on the transit. So these two impacted. I think one should not really worry about the transit delays because it's just a delay of a quarter.
‘What you ship this month gets actually like recognized as tumover in the subsequent month. In terms of off-take from the key customer, we had already indicated the calendar year 24 is going to be a little bit subdued and we belicve this the offake from this customer in the next calendar year, we should actually get back to the old levels.
Got i, sir. And any comments on what drives the realization? Is it purely on product mix incrementally for us or the realization is usually stable for you or volatile if you can help us understand that in this contrast media?

Ganesh Karuppannan: In contrast media, technically, we have not seen any significant price erosion. So generally whenever there is a volume discount, it is generally offset by rupee depreciation. So we have actually not seen any meaningful price erosion in contrast media. So you can actually attribute cverythin

g to volume variance.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Ganesh Karuppannan: I think we would like to thank all the participants, and we will look forwardto hearing from you in the next call. Thank you very much.
Moderator: Thank you. On behalf of Blue Jet Healthcare Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
(This document was edited for readability purpose.)

Call: Feb 2025

REGISTERED & CORPORATE : 701 & 702, BHUMIRAJ COSTARICA,
PLOT 1 & 2, SECTOR - 18, SANPADA, NAVI MUMBAI - 400705
BLUE JET T:022- 41840550 / 40037603 F: +9122 27814204
E : sales@bluejethealthcare.com | CIN NO. : L99999MH1968PLCO14154 @ BLUE JET HEALTHCARE LIMITED
HEALTHCARE
February 04, 2025
To,
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Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the
quarter ended December 31, 2024
Dear Sir / Ma'am,
Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript
of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter ended
December 31, 2024 held on January 29, 2025.
The same is also available at: https:/bluejethealthcare.com/investor-presentation/
You are requested to take the same on record.
Thanking you,
Yours faithfully,
For Blue Jet Healthcare Limited
SWETA Sasbrigt PODDAR issiuesso
Ms. Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)
Unitl
g/lz' Milestone, Kalyan Murbad Road, Village Varap, PO. Box No. 5, Shahad-421 103, Tel.: 91 251 2280283 Fax : +91 251 2280567 ni
5|°||||'|h B-12, C-4, E-2, MIDC, Industrial Area, Chemical Zone, Ambernath (W) 421501. Tel. : +91 8956363877/8956363878 nil
K-4/1, Additional MIDC Road, Mahad Industrial Area, Mahad- 402309, Tel.: + 9122 2207 5307 / 6192 /1691 Fax : +91 22 2207 0294
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BLUE JET HEALTHCARE
“Blue Jet Healthcare Limited
Q3 & OM FY "25 Earnings Conference Call”
January 29, 2025
MANAGEMENT: MR. SHIVEN ARORA — MANAGING DIRECTOR
MR. VK SINGH — CHIEF OPERATING OFFICER
MR. GANESH KARUPPANNAN — CHIEF FINANCIAL
OFFICER
MR. SANJAY SINHA — DEPUTY CHIEF FINANCIAL
OFFICER
MODERATOR: MR. ADVAIT BHADEKAR — ERNST & YOUNG

Moderator:
Advait Bhadekar:
Shiven Arora: January 29, 2025
Ladies and gentlemen, good day, and welcome to Blue Jet Healthcare Q3 and 9 Months FY 125
Eamings Conference Call. As a reminder, all participant lines will be in the listen-only mode,
and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing
star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Advait Bhadekar from E&Y. Thank you, and over to
you, sir.
Thank you, Sagar. Good evening, and a warm welcome, everyone, to the Q3 and M FY 25
Eamings Call of Blue Jet Healthcare Limited.
Please note, investor presentation and the financial results are available on the company
website and the stock exchanges. Also, anything said on this call, which reflects our outlook

for the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript, along with the audio of the same will be made available on the website of the company as well as on the exchanges.
Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without any specific and written consent of the company.
From the management, we have with us Mr. Shiven Arora, Managing Director; Mr. VK Singh, Chief Operating Officer; Mr. Ganesh Karuppannan, Chief Financial Officer; and Mr. Sanjay Sinha, Deputy Chief Financial Officer.
Now I would request Mr. Shiven Arora, Managing Director of Blue Jet Healthcare Lim

ited, to
provide you with the updates for the quarter and nine months ended 31% December 2024. Thank you, and over to you, sir.
Good evening, everyone, and a warm welcome to our Q3 FY 25 camings call. We are pleased to report a record-breaking quarter, reflecting our strong execution capabilities and growth momentum. On operational performance, we delivered revenue of INR3,184 million and a PAT of INR990 million, marking the highest ever profit for the quarter in the company's history. This performance is a reassurance of the step-up growth that we had communicated earlier.
The growth this quarter was primarily driven by our new capacity additions in Unit 2. Capacity expansions, as you may recall, we had announced additions in June 2024, and I'm happy to share that we were able to fully operationalize the facility in Q3. This expansion has played a key role in our strong performance, and we believe we can sustainably add production levels on the current customer offtake.

VK Singh:
Moderator:
VK Singh:
Additionally, we had earlier communicated about another capacity addition in December 2024 in Unit 2, which was more focused towards contrast media. I'm pleased to confirm that commercial production has commenced, and we expect to optimize capacity utilizations by H1 2026.
R&D initiatives. Recognizing the critical role of innovation in our future growth, we have decided to invest INR40 crores towards R&D. This investment will focus on developing advanced intermediates, expanding our contrast media portfolio and enhancing our capabilities towards high-value CDMO projects. We believe this strategic commitment to R&D will reinforce our leadership position and accelerate product pipeline expansion in the coming years.
Order book and business outlook. Our contract manufacturing order book remains robust and near-term forecasts indicate a strong sustained performance. We continue to see a healthy customer offtake across all key segments, reinforcing confidence in our future growth trajectory. With successful capacity expansions, strong demand visibility and ongoing investments in innovations, we are confident of delivering sustained growth in the coming quarters.
With that, I now hand over the call to Mr. VK Singh. Thank you.
Hi. Good evening, everyone. Am I audible?
Yes, sir, loud and clear.
Okay. Thank you for joining the call, all of you. We continue to debottleneck and add new capacity to keep in step with the growth that we envision. Our capacities are often co-engineered and build-to-suit to support our go-to-matket that is largely innovator-oriented. We also build capacity to complete a backward integration, which is a stated goal for cost leadership and strategic independence.
As Shiven also mentioned in the last call, we had said that we are going to expand or add more capacity in Unit 2. We have done this in 2 phases. In Phase 1, we added 120 KL capacity. And in Phase 2, we added another 37 KL capacity. The capacity that we had added in Phase 1 is now on stream, producing the cardiovascular intermediate optimally. The capacity that we added in Phase 2 has also gone live, and we are happy to announce that the validation batches for the contrast media intermediate have been successfully completed, and the first quantities have been shipped to the customer. Our current capex cycle for Unit 2 is mostly in step with what we had indicated in the past and is also synchronized with the customer lock-in and supply contracts.
Moving to Unit 3 at Mahad. At this site, we were creating a build-to-suit capacity for backward integration for contrast media. The common utilities at this site are nearing completion, but we have redesigned the process. We have some good data and proof of

concept for a continuous process, which we will tech transfer and commercialize. This change, when implemented, sh

all deliver higher and more consistent quality, be safer and have a lower

physical and carbon footprint. We have also added some more products to that site, given the requirements that we have from our customers. We expect to go live now in H2 FY 26.

As Shiven mentioned in his opening remarks, the company has shown robust growth and industry-leading financial ratios. The growth is an outcome of new product launches. These launches are based on complex chemistries in multistep synthesis, often requiring custom-built suites. For consistency and homogencity, these newly built suites have a very high level of automation.

The CDMO business globally is witnessing two clear tailwinds; one, increasing product offerings from small and midsized VC-funded biotechs; and two, new discoveries in targeted therapies like GLP-1s. The company is building capability to capitalize on both. New labs are being designed, as Shiven mentioned, that will focus on new technologies, both for amino acid derivatives that will act as a regulated building block for NCEs in the GLP-1 space and dedicated CDMO labs for a quick tumaround of RFPs for advanced intermediates for late-stage NCEs for the smaller biotechs, which are mostly virtual companies.

Due to the changing legislative environment like the BIOSECURE Act and the IRA, there will be a migratory trend for business to geographies other than China. To be closer to our clients and to tailor our proposals to their need and ensure a faster turnaround of REPs, the company has onboarded a very senior resource based in Europe.

We are a company in the growth phase. As operations expand, it is very critical to improve operational efficiency. We have, therefore, created a very stong team for operational excellence. In the past 18 months, we had doubled our R&D hardware and talent pool. We are now undertaking a second very significant expansion. Strengthening the R&D talent pool, strengthening the project team and creating this new department on process excellence, all these initiatives are getting reflected in the increase in our HR cost.

On sustainability, as we have always maintained that we - between our windmills and solar, we have created capability to use renewable source energy up to 70% to 75% of our total energy requirement. We are also taking a lot of initiatives for having green chemistries in our sites by using add on efficiency.

With this, I pass it on to my colleague, Ganesh, to take you through the financials.

Good evening. We have uploaded Q3 financial performance in our website for your reference. Tl be providing certain key financial indicators for you to understand better about our results.

Our reported sales at INR3,184 million for Q3 '25 is higher by 53% quarter-over-quarter and 91% year-over-year.

Our EBITDA at INR1,240 million for the current quarter is higher by 79% quarter-over-quarter and 127% year-over-year. Our PAT at INR990 million is higher by 70% quarter-over-quarter and 208% year-over-year.

For the 9 months ended December '24, we reported a revenue from operations of INR6,895 million, up by 31% year-over-year. Our EBITDA for the 9-month period at INR2,378 million is higher by 35% year-over-year. Our reported PAT for the 9 months period at INR1,951 million is up by 57% year-over-year.

For the 9-month period, our contrast media segment reported a tumover of INR3,028 million. There is roughly a degrowth of 17%. We had highlighted customer offtake in the last few quarters for reasons beyond our control. And our production for the NCE molecule has started from the new production block in this quarter, and we expect a new advanced intermediate to go live in Q1 of '26. With these additions, we believe we will be in a position to sustain the gro

wth.

Our pharmaceutical intermediates category reported a tumover of INR2,663 million, up by 352% year-over-year. As informed by Shiven and VK, we were able to optimize the new capacity. Based on the order book, we believe we can actually like sustain similar growth in the coming years.

Saccharin category grew by 10% to INR1,038 million. Gross margin for the 9 months at 55% dropped by 2%. This is due to the change in the product mix. You can appreciate now pharmaceutical intermediate share has actually gone up. And we are also witnessing a stable raw material prices in the last few quarters, and we don't see any significant variance out of raw material prices. While the EBITDA for quarter 3 is at 39% of sales, for the 9-month

period, it is 34.5%. The step-up growth in Q3 has impacted positively on the operational leverage for the quarter.
On sustaining similar level of tumover in the coming quarters, we believe we can benefit from operational leverage, improving the EBITDA margin on an annual basis. Profit after tax is at 28.3% for 9-month period, driven by sales growth, expansion in EBITDA margin and change in the depreciation method.
Our working capital for the 9 months increased by INR1,200 million, predominantly due to increase in inventory to produce pharmaceutical intermediate. This increase will be optimized over aperiod of time.
During the 9-month period, we have capitalized production capacities amounting to INR1,000 million. Apart from this, we have spent around INR620 million, and we hope to spend an additional INR1,500 million on the existing projects, mostly in Mahad. As Shiven mentioned, we will also be investing around INR400 million in R&D, which is slated in FY 26. Our total investments, cash and bank balance put together is at INR3,313 million, marginally down by INR210 million compared to September. The increase in working capital has been funded by internal accruals.
With this, T actually open the call for question and answers.
Thank you very much. We will now begin the question-and-answer session. Our first question comes from Sanjesh Jain from ICICT Securities.

Sanjesh Jain:
VK Singh:
Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Shiven Arora:
A few questions fiom my side. First, on the pharmaceutical intermediate side, very strong number, and I think this is entirely coming from cardiovascular product. Have we reached the full utilization for the capacity? So, we have now a total capacity of 140, 150 metric tons per annum. Are we running that full capacity? If yes, then sequentially, this number should remain stable.
The second question is, is this entire offtake is for building the channel inventory and all? So, when we say sustainable number, how are we getting confidence that this entire full capacity utilization will run for next few years? And when s this product expected to go out of patent regime? These are the three on this particular product.
Sanjesh, welcome to the call. T think it a very good question that you asked. See, the installed capacity or the design capacity of the plant is much more than what you have indicated. And that was intentional because everything about the product was very positive. The initial label updation and then the label expansion in U.S. and then the label expansion in Europe and then the Phase 3 data of Japan and settlement with Daiichi Sankyo. So, we have enough headroom. But to answer your question, I would say that today, I think the plant is being run optimally, as you can see from the numbers also. And given the offtake, I mean, if you look at the published data, then T think quarter-on-quarter, the prescription increase for the product, I mean, the retail -- the RPE, the retail prescription equivalent for the product on the U.S. market is about 15% quarter-on-quarter.
So annually, you can say that the molecule is growing by more

than 50%. And that is just U.S.
For Europe, the growth numbers, not so easily available, but then are supposed to be even better. The anchor market being the German market. So, I think as far as the molecule is doing, it is doing very well. And we believe that it will bring a lot of consistency in our number also.
Your third part, which is about the patent. So, the initial patent expiry was in 2026, but then there was a patent term extension given granted for the molecule. So, in the U.S., I think it is 2031. In Europe, you get an additional marketing exclusivity. So, I think it will go to 2032. So, I think till that point of time, we are protected from generic competition in this molecule.
That's pretty clear, very, very helpful and very detailed one. Second, on the contrast media. Last quarter, Shiven, you mentioned that two products for the new customer in the contract media, e were expecting one to go live in December and second in the quarter of March. It appears to be there is some delay in the first and any update on the second one?
The update on the second one, this is the current quarter. I would refrain from telling around that. But at the same time, the one which was done in December for the NCE molecule, that is running smoothly. And we will reach optimal utilization levels from both the products in H1 26.
You're expecting the other product also to go live next quarter or that is more of an FY 262
In the immediate quarters.

Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Shiven Arora:
Sanjesh Jain:
Ganesh Karuppannan:
Sanjesh Jain:
Ganesh Karuppannan: January 29, 2025
In the immediate quarter. So, both the products will go live in the immediate quarter. And we have that kind of capacity right now? I understand we have built 47 KL capacity, but for both the products to go live, do we have the capacity there?
Yes. So, the capacity built up for a dedicated line for the NCE molecule, this is a fresh capacity. But the other molecule towards the iodinated side of contrast media, we have built up capacities well in advance, maybe 18 months ago. So that also we are very much covered because these are long-term arrangements, and we've been really looking forward to this offtake.
Got it. Got it. And the next question is on the future pipeline. Now that all these contracts which were in the progress are closing to completely commercialized, how should we look beyond this product?
Firstly, there would be an increased uptake in the existing product line with these new launches. From a short- to medium-term focus, this would be our key focus area. But at the same time, there are other intermediates under validation, which could fuel the future growth.
Any number you want to share how many are in the process of validation? How many are in the process of development? You'e also committing a large sum into the R&D. How is that going to aid it?
Yes. It's a fairly encouraging number, but it would be under CDA right now would not be possible for me to share. But its exciting enough for us.
~The revenue sequentially has gone up by more than 50%, while the cost line has remained stable, only increase of 1%. Can you help us understand where in the cost are we benefiting, not even the freight cost or power cost getting captured in the other expenses? Was there any one-off or anything in this quarter?
Not exactly. Like there s a - like if you say, look at it as a percentage of sale, salaries would be at a lower percentage. But absolute numbers have marginally gone up. So, we have built up team for expansions and new capacities. So that impact is marginally there.
In terms of other expense, if you look at the first 9 months, the previous quarter, we did have a certain impact on freight. For this quarter, most of the sale s ex works. So, we didn't have any implication on the freight - on account of

freight.
You're telling freight is captured in the previous quarters already and there is not getting captured in...
So, this year — this quarter, we don't have a significant impact on account of that. We are getting leverage, operational leverage. But the real issue is, if you look at the Q3 EBITDA, this is close to 39%. If you just look at the stand-alone Q3 and if you look at the year-to-date number, it is 34.5%. The impact is because of the first 2 quarters. I think we should have

Sanjesh Jain:
Ganesh Karuppannan:
Sanjesh Jain:
Ganesh Karuppannan:
Moderator:
Kunal Dhamesha:
VK Singh:
Kunal Dhamesha:
VK Singh:
Kunal Dhamesha:
VK Singh: January 29, 2025
sustained levels of activities based on Q3. When you do that in that fashion, we should expect an EBITDA in excess of 35%, 37%.
So, we are increasing the guidance from 30%-33% to 35%-37%.
I'm just indicating when the operational leverage, so it is not — technically, it should go up. Mathematically, if you look at i, it should actually grow.
But from the guidance perspective, we still maintain, or we want to increase the margin

expectation?
We don't want to give any guidance at this stage because we also have the new R&D coming in, and we need to actually like make an assessment how the operating costs are going to be for FY 26.
The next question comes from Kunal Dhamesha from Macquarie.
Congratulations on a great set of numbers. First one on the pharmaceutical intermediate value you said that the capacity is at optimum level, but you also have said the caveat that there is an opportunity there or capacity. So, is that incremental capacity from 120 KL additional, is it a function of putting more equipment while you have the manufacturing suite ready? How should we think about it? And how can -- how fast it can be added?
So, there are three ways of increasing capacity. One is better utilization. The second is debottlenecking. The third is adding more equipment or putting up more capacity. I think when I say that we are not still operating at design or installed capacity, it is because we, at the outset, built more capacity.
Now - so there is headroom to go up, right? If there is further demand, then we have an opportunity to debottleneck in that plant. It's a dedicated plant, and therefore, we'll have an opportunity to debottleneck. But we will not need to add more reactors. We don't see the demand go up so high that we have to add more equipment.
Okay. And if I may, this 120 KL capacity, how much does it translate in terms of metric tons annually?
1 think metric tons number we will not have right away, but we normally don't go to that level also.
Because what I understood is yield improvement would be one then debottlenecking and then more reactor, you said you are not going to add.
So, if you are talking about - when I said debottlenecking, that is just sometimes changing the batch charging frequency, sometimes improving the cycle times and sometimes increasing just the batch size. So, there are many, many ways of debottlenecking, if that was what your question was.

Kunal Dhamesha:
Shiven Arora:
Kunal Dhamesha:
Shiven Arora:
Kunal Dhamesha:
Ganesh Karuppannan:
Kunal Dhamesha:
Ganesh Karuppannan:
Moderator:
Sudarshan Padmanabhan:
VK Singh: January 29, 2025
T get the gist. And then for the NCE on the contrast media side, again, the 37 KL, my question remains the same, how much does it translate in terms of metric ton, whatever processes we are following, whatever current yield we are getting or expected to get, let's say, for next 1 year?
Yes. T mean, again, the same answer, we would be difficult to go down to the metric ton level. But these are long-term projects, patent protected space. So, I think we take - typically take a 5- to 7-year view when it comes to designing capacities a

nd execution timelines.
So, this - let's say, 37 KL, what is your expectation that this gets utilized fully? Is it next 2 quarters or longer horizon?
It should be a slightly longer horizon. But in general, the acceptance of the end molecule is very encouraging. So, we believe that it could be a sustained growth over the next few years.
Okay. You suggested R&D. You are setting up R&D with roughly INR40 crores expense in FY '26. What is that number currently in FY '25? So, what's the delta that we are looking at or delta itself is INR4O crores?
The INR40 crores is going to be more on equipment. It's more of a capex, okay? It is - the operating expense would be in the range of -- expectation would be around INR10 crores to INR12 crores. The current number is somewhere close to INRS crores to INR6 crores.
It's going to double from here.
Yes.
The next question comes from Sudarshan Padmanabhan from JM Financial BMS.
Congrats on great set of numbers. Sir, my question is to dwell a little deeper on your R&D now that we are spending more on the equipment as well as the absolute expense as well. And also, can T know taking your earlier statement on GLP-1s. If my understanding is correct, GLP-1 requires a fair amount of complex chemistry around the peptide chemistry.

Would it be right to assume that a fair amount of incremental capabilities that you are building would largely be towards a specific GLP-1 or a group of GLP-1? If you can elaborate little bit more about, what are we trying to enhance our capability on R&D?
So, the whole idea of augmenting our R&D capability is to have new chemistry platforms. The company is built on chemistry platforms. And when you talk of complexity, then, of course, what we do today is also - has got a lot of complexity. The company is in the business of building blocks.
And there also, as far as GLP-1 is concerned, we'll be giving advanced intermediates for the GLP-1 products, where the volume is higher, and we benefit from patent protection. While one of the labs that we are putting up could be working on peptides, but that's something which is still far away.

Shiven Arora:
Sudarshan Padmanabhan:
VK Singh:
Sudarshan Padmanabhan:
Shiven Arora:
Moderator:
Meet Katrodiya:
Shiven Arora:
Meet Katrodiya: January 29, 2025
So, if that was your question that we are going to work on the final peptide, no, that's not the idea today. We'll be working on advanced intermediates for these peptide products. So, you could say that we are working on amino acid derivatives.
T think just to add on to that, I think the new infrastructure, I think, in terms of utilizations or dedicating our R&D resources would be 1/4 towards this segment. But of course, there are other platforms which VK indicated, where we could add more value to the business.
Sure. And as far as the runway of growth from this platform is concerned, should we assume that probably the commercial offtake would be in the near term or the medium term or the long term? I'm persisting a little bit on this primarily GLP-1s are very large as an opportunity. And we know the funnel basically percolates to all the people who have capabilities in that.
So, I would say that we are working on several opportunities. Some of them are for products which are already commercial and on the market, although still under patent. Some of them in Phase 3 and some of them are in earlier phases, Phase 1 and Phase 2. So very difficult to make this assessment. I think nobody will be able to o it, even the innovators that we are working with will not be able to do it. But it would suffice to say that we are working on several opportunities. And in a staggered way, theyll keep getting commercialized.
Sure. And one final question before I join back the queue is on the contrast media side. One, of course, is the molecules, which you had said would p

rimarily start from the fourth quarter. But
also, there was some capacity expansion, which was expected from our clients. And I just wanted to check if that is something that would incrementally benefit additional to the commercialization of the molecules and the supply that we've talked about.
I think we'll have to wait and watch on that aspect. Broadly, the indicators are positive.
The next question comes from Meet Katrodiya from Niveshaay.
Congratulations team for the very good set of numbers. So, my question was on the side of pharma and APL. So, what could be the bottleneck to get the Esperion for even larger quantities, right? So, we are seeing the traction which Esperion is facing is very good. So, can we — what would be the bottlenecks to get even more larger quantities?
I think we are very, very happy with the current offtake. The whole idea is towards the right exccution. From the time we had put the production line active, we've been able to scale up immediately. So, it's a good success story for us as a company. Broader indicators for the end molecule are very encouraging, as you indicated. So, we just have to be focused on execution, and let's see where it takes us.
Also, we are sceing from the last 2 years, the pharma API segment is doing very good, right? So going forward on which segment we are focusing more like contract media. What are the plans of us? Like contract media will be the next growth drivers or we are focusing more on the pharma side. So, pharma will be the next growth driver. What we are focusing on?

VK Singh:
Meet Katrodiya:
VK Singh:
Moderator:
Bansi Desai:

Ganesh Karuppannan:
Bansi Desai:
Shiven Arora:
Bansi Desai:
VK Singh: January 29, 2025
The whole idea of having three or four verticals is that we have a diversified portfolio. So, it's -- 2 years back, we had a lot of questions that PI, API segment was subscale. Now it has scaled up very well. Shiven mentioned about two new launches on the contrast media side. Once that happens, youll see higher growth there. So, in a CDMO business, each time -- which was a part of my narative also, each time we launch a product, there is a step-up growth. There's a quantum jump that we get in both revenue and profitability. So, I think let's just wait and watch and see how the story unfolds. But all that I would say is that we have a very decent pipeline in all three of our verticals.
Also, one -- let's say, there are also one competitor from India, which s supplying Esperion, right? So how are we better placed as compared to them? So, if Esperion wants to allocate or bifurcate the quantities between two players, what right do we have or we do have any additional capabilities or capacities or what could be the winning capability for us to win the orders?
See as far as we are concemed, we have long-term orders. And I don't know if I know about the competition or even if I would, I dont think it's fair to comment on that on this call. But all that we can say s that we have very good business visibility, and we have orders in hand. And 1 think the product is doing extremely well. The supply chain is extremely well oiled. So, I think it's a good business that we are tracking.
The next question comes from Bansi Desai from JPMorgan.
Congratulations for a good set of numbers. My first question is again on contrast media. So, we have a couple of launches ahead of us. You also mentioned about sustained growth here. So, are we talking about more high single-digit kind of growth? Or are we saying that there is a possibility of step function increase also in contrast media space?
We are actually - we will be launching this product shortly. And we need to await customer response for a higher offer. So, like today, I will not be in a position to immediately share anything.
But over a 2-, 3-year period, do we believe that this business can see a step inc

rease in revenue
if we were to forward integrate on any of those products?
Yes. There would be a very high conviction around that, very, very high, yes.
Okay. And second is that on bempedoic acid, what would be your sense in terms of the market opportunity ex of U.S.? Would it be as big in all markets put together, say, Europe, Japan in your assessment?
See, if the -~ how should I say if the benchmark is statins, then I would say that the opportunity outside of U.S. s even bigger. So -but then it depends a lot upon the brand company, how it's promoting the product. But I think it's a huge opportunity. The molecule is on its way to become a blockbuster. And you have just pointed out the right markets. U.S. is, of course, big. Europe is even bigger, and Japan will be a very credible market. But interestingly, the growth

Bansi Desai:
VK Singh:
Bansi Desai:
Shiven Arora:
Bansi Desai:
Shiven Arora:
Moderator:
Pooja Rathi:
Shiven Arora:
Pooja Rathi:
Shiven Arora: January 29, 2025
of this product is very good in Latin America also. If you see the numbers, its -- the Latin American markets are small, but then the growth is phenomenal.
Yes. But in terms of pricing, it would be disproportionately high in U.S., right? So, I'm just thinking in terms of value, would U.S. be 50% of the overall market or higher, lower?
Usually, the thumb rule is right, what you said, but I have personally not seen the non-U.S. numbers. But then you can track them through perhaps the royalty payments to Esperion, but T would not have data on what the non-U.S. numbers are. Honestly, I have not checked. But all T know is that the molecule is doing very well as far as prescriptions are concerned.
Yes, yes, that is seen in IQVIA. And so here, again, I mean, we would be supplying ultimately to Daiichi, right? Because Daiichi is doing the entire manufacturing even for the U.S. market

for Esperion.
Imean let's not take specific names. We are under CDA in some conditions. But yes, Daiichi is one of the partners, which is promoting this. Yes.
Okay. And just on this product, we are doing almost a run rate of INR145 crores on - in Pharma Intermediates, APL I'm assuming a large part of it would be your CVS product. But to think about it, if this product is going to grow, say, 12%, 15% on presciptions in U.S. quarter-over-quarter, and I'm assuming you mentioned the growth is higher in other geographies. Should we assume the realizations to remain stable here because patent protection is also kind of long here? So how should we think about realizations while your volumes could continue to oW quarter-over-quarter?
We haven't received any indications of any recalibrations as of now. Well keep you all updated if there is any.
The next question comes from Pooja Rathi from Lucky Investment Private Limited.
So, I actually wanted to speak about contrast media and like about the iodination, etcetera, the product itself. So, what I wanted to understand is in contrast media, there are three, four various use, right, like iodine, barium, gadolinium, etcetera. So, are we only going to focus on fodine or are we going to also get into the other forms of contrast media? That's my first question.
It's a very valid question actually...
And how much would fodine be as a percentage share of the entire contrast media market?
Todine is about 76% of the overall contrast media market, followed by gadolinium which is around 22%. This is for MRI scans. Since the early 2000s, our focus was on iodinated space. But in the past 5 to 6 years, we've also added a pipeline and product portfolio on the MRI side of molecules as well.

Pooja Rathi:
Shiven Arora:
Pooja Rathi:
Shiven Arora:
Pooja Rathi:
Moderator:
Alankar Garude:
VK Singh:
Alankar Garude:
VK Singh:
Alankar Garude:
VK Singh: January 29, 2025
Okay. And yo

u mentioned you want to do backward integration for contrast media on the call.
So how would you go about doing the same? And any plans or any pipeline for the same?
So, we are majorly backward integrated on this space. So that's why we have a cost and a quality leadership in some of our key candidates. But there was one missing link, which was - which we were importing a particular raw material. That would be manufactured at one of our sites in the short to medium term.
Okay. And with respect to the maket for this contrast media, most of it, would it require a heavy regulation and most of it would be exported to the U.S. markets only or globally, correct?
Yes, we are at the intermediate stage, advanced intermediate stage. Majority part of the regulatory burden would be at our customers' end. But I think we also face crews very — a lot of scrutiny around the quality parameters as well, even at the intermediate stage, which is very unusual. But having said that, it's a high dosage injectable. So, quality plays a very big role at every stage.
Okay. So, any future or you won't be able to discuss that. Someone already asked the question. So, T just thought I'l add on to the thing about this future client potential risk, etcetera. But I think you've already answered the questions of the other people.
The next question comes from Alankar Garude from Kotak Institutional Equities.
Congrats on the great numbers. Firstly, on the cardiovascular product, you spoke about the plant being run optimally. On the other hand, you also spoke about the opportunity growing prescriptions. Even the innovator sales are growing at a pretty fast pace. So, in that context, will this debottlenecking suffice to cater to that incremental demand? Won't we run out of capacity soon? So just wanted to understand the constraining factor here.
No, there will be — as far as capacity is concerned, there's no constraining factor. The way the plant has been designed, there's a lot of flexibility.
So, any colour, VK, sir, in terms of percentage expansion in our supply -- in our dispatches, which can happen with those changes which you are alluding to? That would be helpful.

See, dispatches will depend upon the orders that we have today. We are moving based upon the orders that we have in hand. But I would suffice it to say that even if we have to double capacity, we can, as far as capacity is concered. This is not any guidance or indication of what the run rate for the molecule would be. But then if it comes to debottlenecking capacity, we can double capacity.
And that is just via debottlenecking?
Yes.

Alankar Garude:
VK Singh:
Alankar Garude:
Shiven Arora:
Alankar Garude:
Shiven Arora:
Moderator:
Harsh Bhatia:
VK Singh:
Harsh Bhatia:
Shiven Arora:
VK Singh:
Moderator:
Darshan Engineer: January 29, 2025
Okay. So basically, there is no reason to believe that growth in this product could be more ‘measured just because of a capacity constraint?
No.
Fair enough. That's helpful. Secondly, how should we look at traction for our flagship existing contrast media product? Are the supply issues which we had spoken about in the previous 2, 3 quarters sorted? And how is our market share trending? Is it stable?
I think it's very stable and robust right now. I think all these issues that we've discussed in the past have been partially resolved.
In that context, Shiven, how should we look at the growth for this product more closer to the overall contract media market growth of 7%, 8%?
Yes, broader market growth of the contrast agents, I think that could be a benchmark for this particular candidate. But the key things to focus on would be the two new launches for the overall segment contribution.
The next question comes from Harsh Bhatia from Bandhan Mutual Funds.
Yes. Just one clarification. You mentioned, this may be a little bit early for you to comment on.

But again, just going back to the peptide opportunities. You made a passing statement that that would sort of include both commercial as well as molecules which are in clinical stages. Is that the right way to think about it?
Yes. You could say that, yes.
Sure. And just one in terms of clarification for this advanced intermediate for the same. Again, a little bit early to ask, but this would also sort of mean that you would be taking the synthetic route o the fermentation route for the process or because you are very early in the process, it might not make any difference. I'm just trying to sort of get my thought process.
Just to give you some background, when it comes to the fragments of amino acids as a company, we've been doing R&D for the past 4 to 5 years. And the evolution is ongoing. And we have some inroads with our key customers, and we submitted RFQs. So, I think it's - as a CDMO business, it's majorly customer-driven. And from a development standpoint, we have decent capabilities, but we are adding more to strengthen our position.
But then coming to your question on fermentation, that is involved at the amino acid stage. So, we are not doing that. Well be doing the stages after that. So, we are not seting up any fermentation capacity as of now.
Next question comes from Darshan Engineer from ValueQuest.
First of all, congratulations for a great set of numbers. I hope you're able to hear me. Yes. Sir, I just wanted to understand in the past, we have seen that for some of the key products in

Ganesh Karuppannan:
Darshan Engineer:
Ganesh Karuppannan:
Moderator:
Aditya Chheda:
VK Singh:

Aditya Chheda: January 29, 2025
pharma intermediates relating to cardiovascular, we have seen in other companics as well as that the volumes and the growth is more -- I mean, I would say, sporadic or it happens inches and then there are months of that happen.
So would it be fair to say that the strong growth that you have seen in Q3 would be more I would say a one-off and should not be extrapolated into the coming quarters because a lot of the volumes that you may dispatch would be used by the client over a period of time in the coming quarters and therefore, the next order will come maybe a few months down the line so I just want to understand the sustainability of the Q3 run rate as far as the pharma intermediates business is concerned.
Based on the current order book and customer forecast, short to medium term, it is pretty encouraging for us, and we should be in a position to sustain similar margins or growth.
1 understand the margins are a function of the strong sales that you reported. But what I'm trying to get a sense is on the volume sustainably in the upcoming quarters for this specific product. And is it -- I mean, would this be the new normal in a way, the Q3 volume or the run rate that we are sceing for specific product, would that be the new normal? Or would this be more like an elevated quarter and therefore, maybe the sustainable volumes can be steady at a lower level, but I mean, more smooth throughout the year is what I'm trying to get an understanding.
I mentioned that short to medium term, based on customer feedback, it is pretty encouraging for us.
The next question comes from Aditya Chheda from InCred Asset Management.
Congrats on a blockbuster quarter. My question is on the sweetener segment. It's more of a trend question where we've heard that saccharin is getting replaced by sucralose in the overall scheme of things. If you can comment about how your product is sort of placed in the overall market share in the sweetener market? And if that trend has changed in the recent past or how it's going on right now?
Saccharin has been on the market for 150 years. So, this was invented 150 years back. I think it's the most stable product, both in chemistry and demand. And sucralose is doing extremely well

, but I don't see saccharin getting replaced by sucralose. And the segment that we are in, which is the FMCG segment or the pharma segment, very niche segment, there, there's a lot of stickiness of business. So, I mean, I would say that over the last 5, 6 years, we have not lost any saccharin customer. So, I don't foresee any existential threat for the product as such. I mean there will be competition. So, there's a lot of competition from China, but we are in a different segment.
Right. And my next question is an extension of the previous one. It is noticed in the past that the margins in the development phase are usually higher for a product, but they tend to normalize over a period as the volumes are further ramped up. So, is there an element of higher margin in the initial supplies that we have made in the pharma intermediate space? And are we

VK Singh:
Moderator:
Kunal Dhamesha:
VK Singh:
Kunal Dhamesha:
VK Singh:
Moderator:
Yash:
VK Singh:
Yash:
VK Singh: January 29, 2025
expecting any normalization of those in the medium to longer term? Yes, these were my questions.
So, two points I will make here. One is that if you see the complexion of business, the entire business that we have, we are not really in a generic space. Although there are no patents in contrast media that there also, there is no generic competition at this point of time. So, we don't see the type of price erosion that perhaps you are talking about.
The second is what Shiven already mentioned as far as PI is concerned that we have no indication of any recalibration happening in the near future. So, price erosion is not a threat at this point of time.
The next question comes from Kunal Dhamesha from Macquarie.
Just wanted to understand the peptide piece a little bit more. So, we are saying that we are more like offering building blocks at this point. So, is it more like dipeptide, tripeptide stage?
Is it a fair way to understand?

So right now, we are not developing or supplying peptides. Right now, the first businesses that will happen when they happen, I don't wish to give any timeline or guidance for that, but they will be for intermediates for peptide products.
Eventually, if — as you know, as an aspiration, if you will ask, then we would like to be in the peptide space for which, as Shiven mentioned, we are building capabilities today. Now whether that happens 2 years from now or 3 years from now, that's something that even we will wait and watch. But this is clearly an opportunity, and we have -- we are building capabilities to be able to tap that opportunity.
And does it require specialized type of equipment or can be done in the normal API reactor that we have for small molecules?
It will require specialized type of equipments. It is a relatively smaller volume, high-value type of business. And as we advance, we will build capabilities which are compatible for that.
The next question comes from Yash from Stallion Asset.
So, in your pharma intermediates segment, I wanted to understand - so are you the only supplier from India for the product?
We are a primary supplier for sure. But I think beyond that, I wouldn't have any information.
Okay. And so, these contracts are fixed margin. Like if there's any changes in your raw material API prices, will you have to then sort of negotiate or are they sort of fixed margin contracts?
1 think we are covered by FCA. But all - I think Ganesh already mentioned that the margins are sustainable.

Moderator:
Prateek Chaudhary:
Ganesh Karuppannan:
Shiven Arora:
Moderator:
Amish Kanani:
Ganesh Karuppannan:
Amish Kanani:
Ganesh Karuppannan:
Moderator:
Ganesh Karuppannan:
Moderator: January 29, 2025
The next question comes from Prateek Chaudhary from Saamarthya Capital.
Sir, with many growth levers building up for us, as you mention

ed, GLP-1, the advanced
intermediates for biotech companies and even others in our other segments, would you want to revise your capex guidance for the next 3 years till FY '28? Because carlier you had talked about INR200 crores kind of a number for FY '25 and '26. Given these significant areas that we are venturing into, would that be a much higher number annually till FY 282
We don't give guidance on financial performance.
But on the absolute capex number, we are working on the drawing board from a long-term perspective. I think we'll give you visibility in the coming quarters. Yes, your observation is absolutely right. But specifics we can share in the near future.
The next question comes from Amish Kanani from Knowise Investment Managers.
Sir, the question is on order book. If you can give us some flavour, there in terms of visibility? Is it a few quarters or in terms of value? How do you look at? And is it in API, the new vertical or also some flavour on the new - two new products that we have launched on the contrast media side? If you can give us some total addressable market opportunity in that side?
‘We don't give guidance on order book. Based on the current trend, we believe the numbers are quite encouraging. Short to medium term, the numbers are encouraging.
S, is it possible to share some number on current pipeline versus, say, 6 months back or something, which gives us some colour of a probable growth rate that can come? We are not looking at number, some range or some...
If you look at our investor presentations, the numbers are there. You can actually check the last 4 quarters, and you can assess yourself how we are doing.
Ladies and gentlemen, we would take that as our last question for today. I now hand the conference over to the management for closing comments.
On behalf of the management, I thank all the participants and thank you for being active in this entire conversation. Thank you.
Thank you. On behalf of Blue Jet Healthcare, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
(This document was edited for readability purpose.)

Call: May 2025

May 17, 202 5

To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400051

Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarte r and fi nancial year ended March 31, 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter and financial year ended March 31, 2025 held on May 14, 2025 .

The same is also available at: https://bluejethealthcare.com/investor -presentation/

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Ms. Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)

“Blue Jet Healthcare Limited's Q4 & FY'25 Earnings Conference Call ”

May 14, 2025

MANAGEMENT : MR. SHIVEN ARORA - MANAGING DIRECTOR

MR. VK SINGH - CHIEF OPERATING OFFICER

MR. GANESH KARUPPANNAN - CHIEF FINANCIAL
OFFICER

MR. SANJAY SINHA - DEPUTY CHIEF FINANCIAL
OFFICER

Moderator : Ladies and gentlemen, good day and welcome to Blue Jet Healthcare Limited Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr . Advait Bhadekar from E &Y LLP. Thank you and over to you, sir.
Advait Bhadekar: Thank you, Neera v. Good evening and a warm welcome everyone to Q4 & FY'25 earnings call of Blue Jet Healthcare Limited.
Please note, the Investor Presentation and the Financial Results are available on the Company website and the stock exchanges. Also anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risk that the Company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the Company as well as on the exchanges. Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent of the Company .
From the management , we have with us Mr. Shiv en Arora, Managing Director ; Mr. VK Singh – Chief Operating Officer, Mr. Ganesh Karup pannan – Chief Financial Officer and Mr. Sanjay Sinha – `Deputy Chief Financial Officer.
Now , I would request Mr. S hiven Arora , Managing Director of Blue Jet Healthcare Limited to provide you with the updates for the quarter and year ended 31st March 2024. Thank you and over to you, sir.
Shiven Arora : Thanks, Advait. Good evening , everyone and thank you for joining us. I am pleased to report that FY '25 has been a record -setting year for Blue Jet Healthcare with significant progress across all operational and financial metrics . Our performance reflects not just topline growth, but a meaningful improvement in quality of earnings, driven by new capacity additions, operational leverage and disciplined cost control.
Sharing some financial highlights :
Q4 F Y'25 revenue from operations stood at Rs. 3,404 million up 7% quarter -on-quarter, and 85% year-on-year. EBITDA for the quarter was Rs. 1,400 million with margins expanding to 41% up 39 % in Q3 and 29 % in Q4 last year.

For the full year FY '25, we closed with a revenue of Rs. 10,300 million , growing 45 % year-on-year. EBITDA stood at Rs. 3,777 million at a 37 % margin , up 65 % year-on-year and PAT was at Rs. 3,052 million, which is also up 87 % year-on-year. These results mark our highest ever revenue EBITDA and PAT on both quarterly and annual basis.
Sharing some of the growth drivers, starting with pharma intermediates and API segment. Revenues grew nearly more than 4x year-on-year, driven by scale up of the cardiovascular intermediate that was launched in H1. Decent capacity utilization achieved by Q4. Customer offtake continues to track well into F Y'26. In contrast media, despite a muted H1, the segment stabilized in H2. New product validations translated into commercial sales in Q4, including a key NCE molecule. Further scale up is expected in H1 FY '26.
In terms of high intensity sweeteners, there is a marginal growth of 4 % despite global headwinds. Volumes have been remaining stable with improved price realization s. Sharing some operational highlights, we have been able to add 157 KL of new capacity across two phases in Unit-2 Ambernath , commissioned a new contrast media block in Q4, which is now in

commercial
production. We have committed Rs. 400 million for new R&D center focused on amino acid derivatives, advanced intermediates and late stage NCE intermediates.
We maintained a strong cost discipline. Freight and power costs are well optimized. Gross margins are stable at 55 % and EBITDA margins have improved from 32 % to 37%. In terms of

cash flow and liquidity, cash and treasury investments of Rs. 2,848 million as on 31st March 2025. The Company remains its debt free status, and the Company has declared a dividend of Rs. 1.20 per share which is subject to shareholder approval.
In terms of outlook , with strong customer demand visibility, multi -year contracts and capacity headroom, we are confident of sustaining a growth momentum. Maha d Unit-3, backward integration facility progressing well, which is redesigned for continuous processing, expected to go live in H2 '26. We have been increasingly seeing a strong traction from Europe -based innovators supported by new business development hires . Things like adoptions of GLP -1s, LCEs , and global CDMO de -risking from China is creating long -term opportunities for us.
We thank our employees, customers and shareholders for their continued support. With that, I now invite Mr. VK Singh – Chief Operating Officer, to walk you through the operational strategy and capacity update followed by Mr. Ganesh – the CFO, who will take you through the financial details. Thank you.
VK Singh: Hi, good evening everyone and welcome to the call. The first of this new financial year and as Shiven has shared the results of the previous year, I think they are very encouraging and we are all very excited to speak to you all.
The new CDMO capacity catering to the PI and CMI segment at Unit-2 Am bernath is completely on stream now and its consistent production schedule due to high order visibility is online.

Currently , we are running this capacity at about 60 % to 65 % capacity utilization. The cardiovascular intermediate that we supply from this capacity to the innovator is gaining good traction and has shown consistent growth over the last several quarters. as the molecule as such is doing well in US, Europe and ROW markets.
The prescriptions have grown by more than 60 % over the last calendar year and we believe that this momentum shall be maintained. We are confident that based on the capacity that we have installed, we are very well poised to capture any uptick in the demand. At Unit-3 Maha d, we were creating a capacity for backward integration for the CMI segment. This is a highly engineered plant on continuous process for making the KSM for our CMI product. Work is ongoing and in full swing. And as indicated in the past, th is site should be ready for validation and will go on stream in H2 of FY '26. With this plant going on stream, we strengthen our position as a credible and leading supplier of CMI to all the leading innovator companies operating in this segment. We further demonstrate our resolve to retain our leadership position in the CMI segment. We also insulate the business to significant volatility of the prices of this particular raw material, which we were till date importing.
As a country, we are experiencing significant tailwinds in the CDMO business. Most of the changes are structural and should stay. Given the propensity to remedy the dependence on China and post -COVID imperative to build supply chain resilience all MNCs are looking at India as an alternative option. We also, in the backdrop of these changes, are witnessing a quantum increase in RFPs that we are receiving. To be able to capitalize on this opportunity, we are additionally building a multipurpose pla nt, MPP, in Mahad and a state -of-the-art R&D center in Hyderabad. This GMP -compliant, approximately 30 -reactor plant will be a versatile plant with capability to suppl

y from a few kilos to multi tons to our CDMO clients in any geography.
At Mahad, both in the block meant for vertical integration and this MPP, a high level of automation is being built to ensure batch -to-batch consistency, optimal yields and risk -proof operations. The MPP shall also be equipped with a state -of-the-art dedicated GMP milling and particle sizing capability with two clean rooms to cater to customized requirements of our MNC clients. This plant will contain a section equipped with reactors with single fluid system that will have the capability to generate proof of concept, process optimization and validation data tailored to our client needs. The MP P capacity will however go on stream only in the second half of FY '27. As a consequence of this high level of versatility in automation, that has been built into the design of this MPP plant at Maha d, we envisage that the earlier planned CAPEX of approximately Rs. 250 crores for Unit-3 Maha d will increase to about Rs. 300 crores. The state-of-the-art R&D center being built at the cost of around Rs. 40 crores shall focus on newer chemistry platforms like peptides, intermediates for GLP -1s, biocatalysts with a focus on immobilized catalysts and work to augment and strengthen the innovator -oriented pipeline of the Company with a focus on chronic diseases.
Today at R&D , we are tracking about 20 new opportunities with high client interest and visibility. About 30 % of these are in late phase 3 or commercial. We are very conscious of the

carbon footprint of the Company . Between our solar and wind, we contribute about 70 % of our overall energy requirement. In pursuit of process excellence, we are further upgrading our Unit-2. New solvent recovery units are being added to reduce waste and encourage recycle and reuse. The Company is committing approximately Rs. 60 crores for this process excellence initiative .
In the last 4 years, we have quadrupled our manufacturing capacity. To keep in step with the client lock -ins and the growth aspiration, more capacity would be needed. We have acquired a piece of land in GIDC D ahej, Gujarat for expansion purposes. This new site shall add more capacity to the CMI as well as the PI segments of the business. While being GIDC land, there is a DC approval already. The allotment of GIDC is nevertheless a very recent activity. Hence, at this point of time, we shall not be able to share any firm timelines to the capacity going on stream in this call.
With this, come to the end of my part and I hand it over to Ganesh to take you through the financials. Thank you.
Ganesh Karuppannan: Good evening, everybody . We will first start with performance highlight for the full year FY'25 as compared with F Y'24:
Our milestone performance of 1,030 crore in F Y'25 is in line with our expectation. During the year, contrast media has degr own by 15.8 % driven by slowdown in offtake in Q1 of F Y'25 and certain goods in transit in Q4. This impacted the overall annualized performance of contrast media. We have started delivering supplies for NCE molecule in Q4 and expect growth in order book to be linear in line with the growth of this molecule. The launch of the iodinated intermediate is now expected in H1 of F Y'26 and one could see the full potential of this molecule in the full year F Y'27. In the PI API category, the order book was fully served with a new capacity addition in Ambernath and we were able to ramp up the production resulting in a jump of 388 % in this particular category compared to F Y'24. This is mainly driven by the advanced intermediate in the contrast cardiovascular therapy.
Now moving on to artificial sweet eners :
For F Y'25, we recorded a turnover of Rs. 133 crore compared to Rs. 128 crore in F Y'24, recording a marginal growth of 4.1 % over previous year. Our gross margin remained at 1

5.2 %
in FY'25. No significant variation compared to F Y'24. We didn't witness any significant volatility in the raw material prices in F Y'25. Our operational EBITDA grew by 4.4 % to 36.7 % in line with our expectation. The expansion in EBITDA is on account of operating expense spread over a larger sales volume.
We reported a PAT of Rs. 305 crores as compared to the previous year of Rs. 163.8 crores. On a full year basis, our EPS for FY '25 is at Rs. 17.59 per share compared to 9.44 last year.

We will now share the key highlights of the sequential quarter. Sales grew by 6.9 % compared to Q3, while EBITDA grew by 12.9%. While PI API category grew by 34%, degrowth in contrast media is on account of delayed iodinated molecule intermediate for the delayed iodinated molecule, as well as the transit inventory. O ur cash conversion cycle for Q4 '25 is at 139 days compared to 135 days for Q4 '24. The increase in activities also has increased our working capital requirement by approximately Rs. 250 crores. With increased sale of PI and API product category, there are increase s in receivable, inventory, and payable. You may recall our growth in this category has increased by 388%. One time increase in working capital to support the level of activity is required. Having deployed the working capital, we will be operating within this cash conversion cycle until the next step up jump in the turnover happens. Our CWIP for FY '25 is Rs. 89 crores and we propose to incur fresh CAPEX of approximately Rs. 300 crores in FY '25. And we will actually dwell more in the Q&A session. And now we open up the floor for question -and-answer.
Moderator: Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Parth Mehta from Vallum Capital . Please go ahead.
Parth Mehta: Yes. Hi, sir. Congratulations on a good set of numbers. Thank you for taking my question. I just have a few questions. First one on the pharma intermediate segment. The innovator in their conference call had mentioned that they are looking to add other sources for their product, other sources of supply for their product. So just wanted to know how do we make sure that your wallet share in the supply of your intermediates remains intact for that player ?
Ganesh Karuppannan: Based on the customer forecast, what we could actually confirm is whatever number they have actually indicated to us in FY calendar year '25, that is an intact. So we go based on what the forecast we receive. And we don't speculate on other news articles.
Parth Mehta: Right, got it. So not news articles, but they are mentioned in that we are looking on for the other sources of product.
Shiven Arora: Just to add on to that, Parth, I think what we need to also understand and recognize is that the ramp up that we have done as a Company from the time we started the investments in the plant

to scaling up to this such a successful outcome, we have done, I think it's been a very good outcome for the innovator and for us as a Company . So we are definitely in their good books. Even if they evaluate others, I think that is what Ganesh mentioned.

Parth Mehta: Right, got it. So it is completely based on how the forecast of the Company gives, understood. Second, just a book keeping question if you could answer me. What would be our capacity utilization across all the segments based on whatever the capacity that we have?

VK Singh : As I mentioned for this pharma intermediate today, we are at 60 %-65%. Overall I would say we are at about 75 % across all segments.

Parth Mehta: Great, thank you.

VK Singh : But at the same time, this is excluding the capacity that we are building up at Maha d. So this number will be different in about 6 months.

Moderator: Thank y

ou. Next question is from the line of Sudarshan Padmanabhan from ASK NDPMS . Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question. So my question is to take forward the comments on the CAPEX specific ally on the CMI space . One is on the transit side, how much of the inventory is basically which has not been recognized. Second is a little bit more strategic , now that we have the gadopiclenol iodinized molecu le and also new capacity of gadopiclenol coming in. If you can give some color on how do we see the ramp up in the near term as well as on the longer term on this year?

Ganesh Karuppannan: Maybe on the first question on transit. Now this is part of the game. I think that would be some quarters we may have a slightly higher goods in transit and it could be different for certain other quarters. I think this you have to just straight away go ahead with the recognized turnover what we record. And t his is according … now we have come to a stage that this is part of our operation and we have to just move ahead. So I don't want to make any specific exclusions and calculations on what is goods and transit and how it is moving ahead. I think that's the first part.

Sudarshan Padmanabhan: Yes, so the second part is, with the opportunities in the CMI space ahead, the gadopiclenol all and the iodinated molecule and also our customers which has added capacity and as a part of our capacity is also towards this , how do we see the ramp up stay in the near term as well as in the longer term for the CM I space ?

VK Singh: As far as gadopiclenol is concerned, this is an NCE molecule. I think I have mentioned it in the past that the growth will be linear because the molecule has to find its own space in the marketplace. And we believe as the market size grows, our supplies of advanced intermediate would grow linearly . We are the sole supplier of this particular advanced intermediate. So we just need to follow how successful the innovator is as far as this particular molecule is concerned. As far as the iodinated mole cule is concerned, we expect commercialization this year. And our belief is that FY'27 onwards, when you look at a full year performance, this could be a molecule of significance. And F Y'26 is where we will be kick starting our commercial operation s.

Sudarshan Padmanabhan: So if I look at the margins specifically in the second half, a lot of the incremental benefits have come through operating leverage. And given that we are talking about the momentum continuing in the pharma intermediate space and potentially the relative b etter growth and offset in the CMI space, how do we see the margins? I'm not specifically talking about in a particular quarter. But if I'm looking at F Y'26 and F Y'27, because if I understand right, we are still overall at around 75% utilization. So even t he utilization can be a little higher, plus or minus, in a quarter but on

yearly basis. So on that side, should we see a steady state ramp up in the margins over the next couple of years?

VK Singh: I think, we don't give any forward guidance, but then I think it would suffice it to say if you will see the complexion of our business . We are in very highly demand in price in elastic markets. So, I mean, if you look at contrast media, we have been supplying to innovators, and we don't see too much of pressure on price because the segment is not at all generali zed even though there are no patents .

Moderator: Thank you. Next question is from the line of Shashank from Emkay Global. Please go ahead .

Shashank: Yes, hi. Congrats on a good set of numbers. My first question was on the other expenses this quarter. I think we have seen a Q OQ decline in other expenses. I just wanted to understand how we should look at this line item going forward, particularly when new capacities come

on stream,
we also see other expenses increasing towards the second half of next year. I just wanted to get

a sense how we should look at it.
Ganesh Karuppannan: See, the other expense includes ocean freight, okay? For some of these products, if it is delivery at place then we incur the sea freight . And some of the new products, for example, the new cardiovascular intermediate work we are supplying is ex works. So we don't incur the sea freight . So like when you see the reduction in other expense, it's because we didn't incur, it is all to the account of ocean freight. So it is all about the equal terms of the contracts we enter in. So if you want to really look at from a long -term perspective, I think it is more to do with the product mix and the delivery terms of these products. I think that's the main reason why you see a lower OPEX for this quarter. And way forward, it will be in this fashion because now the product mix , earlier the contrast media was dominant. Now you see both contrast media and PI-API is more or less of equal weightage. And you would see this new norm in the OPEX now.
Shashank: Got it, sir. Thanks. That's very helpful. Just wanted to check for an update on the small volume pilot plant that we have been building at Unit-2. So are we on track to sort of bring that on stream sometime this year and just wanted to understand what your plans are with that plant, given that we are also setting up an R&D center now ? So how do you sort of plan to leverage the capabilities at this plant as well?
VK Singh: Like you very correctly mentioned, that we are building a new R&D center. The R&D center that we are creating will have a kilo facility. And that kilo facility will be further supported by a pilot plant . So the milligrams to kgs to the higher quantities which go for validation, the 50 to 100s will come from the pilot plant. So that's the fashion in which we plan to straddle the entire value chain. Value chain of both pre -clinical, clinical, and post -clinical.
Shashank: Just the last one on the gadolinium -based intermediate sales. I think we did touch upon in the opening remark, but just wanted to get a sense if we can see an uptick in this product from the first quarter this year itself, or will it be probably a bit more gradual spread out across the year?

And also wanted to understand if you are hearing anything from customers or industry participants, if there are any challenges that contrast media formulation players are facing particularly in their gadolinium based portfolio?
Ganesh Karuppannan : Maybe I will just take the first part and the second part, Shiven will answer. Our understanding is this particular intermediate will grow gradually. Being an NCE molecule, it has to find its own market space. So we don't expect a ramp up on this particular product, but we are actually seeing signs of the gradual growth happening and we have already started witnessing this based on our order book . Shiven, on the overall trend on contrast media now.
Shiven Arora: I think on the gadolinium based molecules in terms of the usage is definitely increasing at a faster pace and the general acceptance around these certain new molecules also increasing over time. From a customer perspective, we haven't received any material negative observations on the outlook or difficulties from a formulation standpoint. But in the ever -increasing changing environment, because of geopolitical issues, you would have seen some remarks but from a medium to long -term perspective, I think the growth strategy is very much aligned.
Moderator: Thank you. Next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: First on the contrast media, I just want to check this here. The growth has been muted, in fact, it's

declined.
Shiven Arora: Yes, I think I got the point, Sanjesh. So if you see contrast media from a FY '25 perspective, H1 was muted because of the reasons that we mentioned earlier. But H2 saw a significant recovery. So I think from now on, with linear growth in the other molecules that we have spoken about, the results could be encouraging.
Sanjesh Jain: What about the underlying molecule? Do you expect still to grow in ABA -HCL ?
Shiven Arora: I think from the end API perspective, the molecule is seeing a double -digit growth. So if the end molecule is winning, I think the other supply chain should also ride this journey.
Sanjesh Jain: Second on the cardiovascular product , we spoke about . How does the order book look for us for FY'26 considering that the exit has been very strong and one thing on the utilization , VK you said that the plant r un at 60 %-65% utilization I believe it's for the year . How has been utilization for the exit ?
VK Singh : Sanjesh, I think firstly, nice to have you here, but your point is very valid. I think you should not look at it from this exit. You should take a more of an analyzed picture. So I think look at the annual volumes, and based upon the annual volumes is the capacity utilizati on that I had mentioned. Last call also I had said that given the projections that we have and the way this molecule is gaining traction, we could double. So that's where we are today. Our utilization is about 60 % or 65 % whatever. And t his is on an d as-is, where -is capacity. And then we have

further headroom to de -bottleneck. So I would not like to give any forward -looking guidance. But should there be a n uptick in demand, even a huge uptick in demand, we are well poised to address it.
Sanjesh Jain: Very clear. And on the Mahad , the Unit-3 what we are working on, you said it's a continuous plant. Is it the feedstock which we are talking about or this is some other plant are we looking at?
Shiven Arora: It is the feedstock but also there are other derivatives that can be made from that plant. So the use would be one for captive and also for potential sales in this ecosystem.
Sanjesh Jain: And do we have enough demand for that product?
Shiven Arora: Yes.
Sanjesh Jain: Are there any other application apart from the contrast media?
Shiven Arora: No, it's majorly for the contrast media universe. There are some select APIs that you can do outside this thing, but that's not our focus. I think we'll be more aligned towards the contrast media.
Sanjesh Jain: Very clear. On this Mahad Unit-3, the MPP which we are putting up, will it be a cGMP plant or you are looking at going full haul USFD A approval and complete into an ecosystem of pharma? How are we thinking? Because I think you said it's a state -of-the-art process. We have 30 reactors. Are we thinking big here from the pharma side or we still want to be close to the intermediate what we have been doing it very well now?
VK Singh: The plant will have the capability of doing the finished product and that's the reason that we are creating two clean rooms over there. So that has versatility and flexibility. At least two products can be made at the same time. So that's the capability that we are creating. As I also mentioned that even the particle sizing area is G MP. So the plant will be completely USFDA approvable. Now, whether w e trigger that or we don't trigger that is an option that I think is something that we along with t he client will have to exercise. But then the design and construction and everything is going to be complete GMP level.
Sanjesh Jain: Okay, that's clear. And VK, you spoke about 20 new opportunities. 30 % of them in late stage, phase 3 or commercial.
VK Singh: Right.
Sanjesh Jain: How close are we? Have we supplied the kilo samples? Are we in the process of DMF filing? O

r this is a process which has just kick in for us?

VK Singh: So I would say that it's a mix. A couple of places, we are in very advanced conversation. Kilo quantities have already been supplied. And since in those areas, they are switching from a Chinese source to us. Maybe the commercialized, maybe, we cannot say for sure, but maybe the commercialization also happen very fast. For others, we are in the process of giving small quantities because they are still in the clinical phase. So small quantities and then there's going to be a validation process and t hen a regulatory process. So there'll be some sort of a wait.
Moderator: Thank you. Next question is from the line of Darshan Shah from Multi -Act Equity. Please go ahead.
Rahul Picha: So one question on the fund raise part, you have mentioned a Rs. 1500 crore number in the announcement. So what is the plan? How much do we intend to raise? Anything finalized on that?
Shiven Arora: Still, I think we would be able to share more visibility on it on the immediate quarter.
Rahul Picha: So it's not yet been decided ?
Shiven Arora: It has been decided but not in the position to disclose it at this point in time.
Rahul Picha: Okay . And one more thing in the Pharma intermediate segment . In this presentation , you have mentioned that the number of molecules that are there are around 28 and in the previous quarter that number was 22 . So the incremental six products that have come in what kind of visibility do you have on that ? And any significant addition in terms of pipeline if you can just talk about that?
Shiven Arora: I think what we need to be more focused on are on the 30 % of the overall RFPs that we had mentioned which are in the phase 3 and almost commercial in nature. I think those are the high conviction ideas I've been focusing on for the earlier two calls as well that these see a very strong visibility from a short to medium term per spective.
Rahul Picha: Okay . And just once again on the pharma intermediate capacity utilization side, this 65 % number that you mentioned is for Q4 or for the full year?
Shiven Arora: Full year.
Rahul Picha: Full year, okay. So Q4 would be higher than that. Okay. Got it. Thank you.
Moderator: Thank you. Next question is from the line of Nikhil from SIMPL. Please go ahead.
Nikhil: Yes, good evening and congratulations on good set of numbers. I have two sets of questions.

One is on contrast media. If you look at our contrast media run rate, in 23, we were at Rs. 500 crore. And at that time, there was one single large customer. Today, we are at Rs. 400 crores. Now i ncrementally, when you say that the gadoli nium and the iodinated products will come and

during this phase, one of our key customer also went for capacity expansion. So should we understand that this 400 is the base on which we will grow or first we will go back to that 500 and then we will grow? How should we , because that 450 -500 was a stable base till the time the customer had not gone for a capacity addition. So if you can just help me understand this ?
Ganesh K aruppanna n: FY'23 number, this is the year in which the customer wanted certain quantities of security stock. So they wanted to, instead of a full year, we would have actually supplied more than a 12 month requirement. So this is a sort of outlier in the whole conversation. So it is not a 12 -month sale, maybe it is 12 plus whatever security stock the customer wanted. Now to come to address your second part of the question, on a conservative approach, we would like to start with this as a new base, whatever we are at the 400. And from here, we wanted to build up not only on the largest molecule, we are also having two other molecules. And we also believe the largest molecule would also like start

growing from this stage. Maybe we would put a high single digit growth and we will have this iodinated and the gadopiclenol which will add to this growth story. Shiven, you wanted to add on this?
Shiven Arora: Yes, I think the base business as you rightly mentioned out, I think the real up tick will happen when you add these two molecules. And capacity is on stream and we are scaling it up at our end.
Nikhil: Okay, and for the contrast media, once we, so VK sir mentioned in the starting that we at a Company level, we are at 70 % utilization. For contrast media, what is the peak revenue which we can do? If all the three products and everything plays out and even other products come, what is the peak capacity or peak revenue we can generate here?
Shiven Arora: It's very difficult to stipulate a specific number because capacities are added every six months. As VK sir mentioned, we have been able to quadruple our capacity in the past few years. And there are some lines being on the Unit-3 side, on contrast media specifically. That's significant ramp up of capacity. So I think that number would always be fluid in our case because the business is growing at that pace.
VK Singh: And then, one just one more point to what Shiv en has said that we have two types of growth in our business. One is the secular growth that we get because the market is growing. The second is that each time we forward integrate that we that means that we give a more advanced intermediate. Sometimes the value is, 2x-3x from the same capacity. So this is just to support what Shiv en was saying that it is not easy to make a linear calculation.
Nikhil: Okay , got it. Second set of question is , you mentioned in the discussion on those 20 product opportunities that some of them may get commercialized. And if I attach it with our CAPEX plans, one is this MPP in Mahad and following up with this larger plant which we are planning in Dahej for which we are also looking at this QIP. How should we understand our CAPEX and demand visibility? Because this Mahad plant will come in 27, which you mentioned, and you said some of these opportunities which are mov ing from China may happen quickly . So how

should we understand how do we define our CAPEX and how do we attach with the demand visibility we have from some of these newer molecules which we are looking at?
VK Singh: So somehow, at Blue Jet, we have been able to balance the demand and capacity very well. And as you would see that the primary reason for having a high asset turn is that our gestations are low. So I think we are going to maintain that or preserve that DNA of the Company . And what we are planning today is based upon certain client lock -ins and visibility that we have in contrast media, in pharma intermediates, and even in the sweetener segment. Even in the high -intensity sweetener, we are working on a new product, and which should give a fill up to that segment as well.
Nikhil: Sorry to interrupt here. I understand on these three because we have been in this business. My question was more on the newer opportunities which we are looking at. And this multipurpose plant, I believe would be to meet those newer opportunities and demand because for the con trast media and the API, we have a dedicated plan t. So this MPP which we are putting, my assumption can be wrong, is for the newer opportunities which we are coming.
Shiven Arora: Exactly, very good point. But for the immediate opportunity that we have been working on for the past 24 to 36 months, we have other multipurpose plans that will cater to the immediate requirement from our existing manufacturing footprint. As you rightly mentioned, some lines

are dedicated, but some are flexible in nature. So we will cater to the immediate requirement from our existing plants.
Nikhil: Oka

y . So we don't see a demand, a capacity challenge if some of these opportunities come up.
Shiven Arora: That is correct.
Nikhil: Thanks a lot. I'll come back in the queue .
Moderator: Thank you. Next question is from the line of Dr. Kunal Dhamesha from Macquarie Group . Please go ahead.
Kunal Dhamesha: Hi, thanks for the opportunity. The first one on again just going back to the capacity versus CAPEX . I think my understanding and correct me if I'm wrong , was that with the Maha d facility, we were more or less like sorted till FY'27. Now with the additional investment in Maha d, does that kind of give us better capacities for a longer period or would it say that it's still F Y'27, till which we are sorted, and then we need Dahej to grow further from there?
VK Singh: Yes, that's right that for the next two years we don't see any bottleneck as far as capacity is concerned, but beyond that we will have to plan and augment.
Kunal Dhamesha: So this M PP will also be utilized in you buy for --

VK Singh: Yes.
Kunal Dhamesha: And for the PI API project, the cardiovascular intermediates, do you think need for de - bottlenecking this year?
VK Singh: You know, as I mentioned, we are at 60 %-65%. So there's a huge room to address any uptick in demand. And after that, if any de -bottlenecking is needed, I think we can do it very easily. It's a big plan that we have created.
Kunal Dhamesha: And then how much, let's say hypothetically, if you do de -bottlenecking based on your current plan, how much more capacity you can have? A ballpark number.
Shiven Arora: A very ballpark number, I think, which is subject to change. Don't hold me on that. I think we'd be on a conservative basis, about 20%.
Kunal Dhamesha: And how fast it can be done?
Shiven Arora: It will take a few weeks, about 8 to 9 weeks. But I think these discussions will happen, I think, well in advance when we discuss with the customer.
Kunal Dhamesha: And these new products which you suggested, a couple of products in a pretty late stage kind of development cycle, where this will be kind of accommodated to start with Unit-2 and then move to Unit-2 to Mahad Unit-or how should we think about it?
Shiven Arora: It will be a combination of both. As we mentioned earlier, I capacity constraints would not be there at this point in time, as we have two major capacities coming on stream in the coming quarters.
Kunal Dhamesha: But since we are in intermediate , just understanding question , since we are in intermediate , for us changing the facilities is not a big switching cost for our customers. Is that a correct understanding or?
Shiven Arora: Ideally, we should not, right? Because these are regulated intermediates. And there's definitely a pathway that we need to follow.
Kunal Dhamesha: Sure. Thank you for those responses and all the best.
Moderator: Thank you. Next question is from the line of Vidit Shah from Spark Capital. Please go ahead.
Vidit Shah: Hi, good evening and thanks for taking my question. Just wanted to get some color on the CAPEX plans post-Mahad and Dahej. You said you'll share more details in the next coming quarter, but just broadly in terms of high -level strategy, what are the focus areas that the Company is targeting to use this Rs. 1500 crores would be great ?

VK Singh: Sir, I would not comment on the Rs. 1500 crores but then our baseline CAPEX that we had said in one of the previous calls is about Rs. 200 crores but given the extra work that's happening in Mahad and some upgrades that are happening at Unit-2 Ambernath, I think we'll be a little more than Rs. 300 crores excluding any of the new sites or Dahej or whatever. Excluding that, we'll be around Rs. 300 crores plus.
Vidit Shah: Okay. And the late-stage pharma in

termediate molecules that you are working on, would you be able to share what sort of therapies they go into?
VK Singh: So a couple of opportunities that we are tracking are the advanced intermediates to GLP -1s, right? And the others are in our traditional segment, the chronic segment, like we have this cardiovascular or the oncology. So in that chronic segment.

Vidit Shah: Okay, understood. And we have seen some reports of China restricting exports of gadolinium in April this year. Just want to clarify if we're seeing any impact of that or is it business as usual?
Shiven Arora: It is business as usual as far as our manufacturing is concerned.
Vidit Shah: Got it. And just the last one on the income tax notice that we have got of Rs. 200 crores. I understand that we have a little bit of a provision, but if you could just help us understand the history of the case and how you see this panning out?
Ganesh Karuppannan: This is on the income tax. Our case, we are quite comfortable on the stand what we have taken and we need to actually wait and watch how the appeal process goes from now onwards.
Vidit Shah: Got it. But there is some sort of deposit that we have to pa y to go into appeals and all of that. So would that be an impact on cash flows?
Ganesh Karuppannan: No, not significantly. It is procedural and it won't have any significant impact.
Moderator: The next question is from the line of Ayush Agarwal from MAPL Value Investing. Please go ahead.
Ayush Agarwal: Thanks for the opportunity and great set of results. The first question is on the cardiovascular intermediate product. We did about 200 odd crores in Q4. Can this be a new base and can we grow from this base in F Y'26 on a quarterly basis?
VK Singh: I would only say that the molecule is doing extremely well. You can track the growth of the molecule. I mean, it's doing well in the US, it's doing well in Europe, it's getting new markets open like Canada etc. Nevertheless , refraining from giving any type of guidance . I would recommend that you should not look at the last month or the last quarter . We should look at the annualized ramp up that's happened and that should be I think more reasonable approach.

Ayush Agarwal: Understood. So second question is on this GLP -1 intermediate molecule. Roughly what could be the opportunity size for us in this molecule? Can this also be as large as the cardiovascular intermediate or larger?
Shiven Arora: We would refrain from commenting on that, but the overall opportunity size around this set of molecules is considerably large.
Ayush Agarwal: Would we be working directly with the innovator?
Shiven Arora: Hard to comment at this point in time .
Moderator: Thank you. Next question is from the line of Vivek Patel from Ficom F amily. Please go ahead.
Vivek Patel: Very good evening, sir. I just want you to understand what is the level of competitive intensity in the cardiovascular molecule that they are dealing with and I understand that in the last call I believe you have mentioned about certain geographies receiving this molecule very well, some are bigger in size and some are going very fast. So just expand on the intensity and the scale of the molecule and the growth of certain different geographies ? Thank you.
VK Singh: Are you asking about the potential growth of this molecule, right?
Vivek Patel: I am asking about how it has played over the last few quarters and how do you feel or what is your assessment of the growth as well?
VK Singh: So if you are talking about the molecule , then this is gaining very good traction. Today , there are 9 ,000 cardiologists in the US who are prescribing this and this has become the primary line of treatment. Earlier it was the secondary line of treatment. Because of the label update and label expansion, both in the US and Eur

ope, I think the addressable market of this has grown 7x of what it used to be. So I think it's a blockbuster, a very big opportunity, and still protected by a patent. And I'm n ot sure if you people have seen that Esperion has done a settlement with the generic companies , 1 or 2 generic companies, not all, that they will not enter with a generic till 2040. So this is an indirect prolongation of the life of the patent.
Vivek Patel: And how is it doing in other geographies in Latin America, Europe, other wise?
VK Singh: It's growing actually faster in Europe and faster in Latin America than US.
Moderator: Thank you. Next question is from the line of Rupesh from Intel Sense. Please go ahead.
Rupesh: Hello, sir. Thank you for the opportunity. My question, is in cardiovascular intermediate. So, Esperion has out licensed this product to Dai ichi for Europe . And my understanding is , this is the year when Da iichi has to start building its own manufacturing supply chain. I mean, I think today they are taking the supply from Esperion and that I think is changing starting this year. So

my question is, are we engaged with Daiichi, have we signed some contract, is there some long - term understanding how the reserves for capacity? This is my question.
VK Singh: I think that's more about the formulation. So we shouldn't be very concerned about that. So what Daiichi, the technology transfer that's happened and it's in public domain. So that's more about the formulation at this point of time.

Rupesh: Yes, but there is another supplier also, right? Sorry, sir. There's another supplier in India. So my question is for API, can you confirm you would be supplying to both E sperion and Daiichi?
VK Singh: That is automatic because Daiichi …so our product goes for the European market as well. So what Daiichi is selling anyways has got the intermediate of Blue Jet. So it is not something that, you know, and if somebody tries to move away, then there's a regulatory pathway. So it cannot be done easily. I mean, there are regulatory issues if somebody wants to change. So I think, and more than that, we are protected with contracts. So I think, I don't know if that's what you are trying to understand. But the discussions a re ongoing with the CDA , but discussions are active with either parties.
Moderator: Thank you. Next question is from the line of Ankit Mittal, an I ndividual Investor. Please go ahead.
Ankit Mittal: . So I had question on pharma intermediates as well and on the capacity utilization questions earlier in the calls , so you mentioned for the full year utilization is 60 %-65% and for the full year, you did close to Rs. 462 crores in revenue, in pharma intermediate. And so if I do the math, at complete full utilization, the revenues would come to around Rs. 770 crores. And if I just analyze the report numbers, like of Rs. 196 crores, it's close to Rs. 780 crores. So is it safe to imply that in Q4 our capacity utilization was close to 100% ?
VK Singh: I think the math that you do, that could be good arithmetic, but let's leave it at that. I have answered this part many times to other participants.
Ankit Mittal: Okay. T hank you.
Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.
Gane sh Karuppannan : Thank you very much for all the participants and we will meet in the next quarterly call, Q1 call. Thanks.
Shiven Arora: Thank you all. Thank you.

Moderator: Thank you very much. On behalf of Blue Jet Healthcare Earnings C onference Call, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

(This document was edited for readability purpose.)

Call: Jul 2025

July 28 , 2025

To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400051

Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the
quarte r ended June 30 , 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter ended June 3 0, 2025 held on July 22 , 2025 .

The same is also available at: https://bluejethealthcare.com/investor -presentation/

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Ms. Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)

“Blue Jet Healthcare Limited Q1 FY'26
Earnings Conference Call ”

July 22, 2025

MANAGEMENT : MR. SHIVEN ARORA - MANAGING DIRECTOR

MR. VK SINGH - CHIEF OPERATING OFFICER

MR. GANESH KARUPPANNAN - CHIEF FINANCIAL
OFFICER

MR. SANJAY SINHA - DEPUTY CHIEF FINANCIAL
OFFICER

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY '26 Earnings Conference Call of Blue Jet Healthcare.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *' then '0' on your touchtone phone.

I now hand the conference over to Mr. Advait Bhadekar. Thank you and over to you, sir.

Advait Bhadekar: Thank you, Vi ven. Good evening and a warm welcome everyone to Q1 FY '26 Earnings Call of Blue Jet Healthcare Limited. Please note, the Investor Presentation and the Financial Results are available on the Company Website and the Stock Exchanges .

Also, anything said on this call which reflects our outlook for the future, or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the company faces.

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From the Management , we have with us Mr. Shiven Arora – Managing Director, Mr. VK Singh – Chief Operating Officer, Mr. Ganesh Karup pannan – Chief Financial Officer and Mr. Sanjay Sinha – Deputy Chief Financial Officer.

Now, I would request Mr. Shiven Arora – Managing Director of Blue Jet Healthcare Limited to provide you with the updates for the quarter ended 30th June 2025. Thank you and over to you, sir.

Shiven Arora: Thank you, Adv ait. Good evening, everyone. Thank you for joining us today.

I am pleased to share that we have started FY '26 on a solid note. Our Q1 Results reflect sustained momentum from the second half of last year. Despite the expected normalization of some operating parameters, importantly, this quarter reaffirms the resilience of our business model and the strength of our customer relationships.

Financial performance overview :

Revenue from operations of Q1 stood at Rs. 3,548 million , up 4% sequentially and 118% year -on-year, driven by consistent volume growth across our PI, API and contrast media platforms. EBITDA came in at Rs. 1,210 million, translating to a margin of 34% , lower quarter -on-quarter

due to phasing of production, inventory normalization and product mix. PAT for the quarter was Rs. 912 mill ion with a net margin of 25.7%.

On a year -on-year basis, EBITDA and PAT grew by 178 % and 114% respectively , on a strong base volume expansion and enhanced operational scale. We continue to generate healthy operating cash flows with disciplined capital deployment across R&D and capacity expansion.

Business segment commentary :

Pharma intermediates and API , this segment maintained robust momentum with the cardiovascular intermediate continuing to scale under long -term contracts. We are seeing strong customer demand visibility and expect additional launches in H2. In contrast media, commercial volumes from new molecules launched in Q4 FY '25 have now stabilized. We expect sequential growth in H2 as client offtake ramps up. High -intensity sweeteners, v olumes remain steady. ASPs are stabilizing after a soft FY '25. Our value -added variant strategy remains intact. In terms of operational and strategic highlights, we completed phase 2 expansion in unit 2, which is now fully operational. Progress continues at Unit-3 Mahad, where the construction is on schedule for H2 FY '26 commissioning. This plant is being desi gned for continuous processing

.

In terms of the R&D center :

Rs. 400 million committed towards capabilities and amino acid derivatives and late-stage

intermediates is under motion. Our employee cost and utility overheads remain well -controlled with the cost of goods sold optimizing .
In terms of outlook :
We remain confident in our outlook for FY '26. Demand visibility across key customers is healthy. Capacity is now in place and product pipelines are expanding. In particular, we see structural tailwinds from de -risking of supply chains by global innovators, increasing adoption of complex APIs and NCE intermediates, growing traction in contrast media, especially with new molecules under validation. We expect the b usiness to maintain strong growth and margin trajectory through FY '26, and we remain focused on discipline execution, innovation -led partnerships , and long -term value creation.
With that, I will now invite our CEO – Mr. V K Singh to walk you through the operational update. Thank you.
VK Singh: Hi, good evening, everyone.
I will start by a few notes on the capacity :
The new CDMO capacity catering to the PI and CMI segment at Unit -2 Ambernath is now fully on stream. The advanced intermediate to the contrast media NCE that we had indicated will be launched from this capacity is now commercial. Revenues from this molecule can be cited in the

quarter that's gone by. This new block now has a consistent production schedule due to high order visibility. The cardiovascular intermediate that we have in this block with the innovator has seen a huge uptick as compared to Q uarter 1 FY '25 and has shown consistent growth over the last several quarters as the end molecule is doing well in US, Europe, and ROW markets. Currently, we are at 60% capacity utilization, and we believe we have the capability to capture any further uptick in demand should that hap pen in the near future.
At Unit -3 Maha d, we were creating a capacity for backward integration for the CMI segment. This is a highly engineered plant based on flow synthesis, will be the first that we will have for making the KSM for our CMI product. Work is in progress in full swing, and as indicated, the site should be ready for validations and will go on stream in second half of FY '26. With this plant going on stream, we will strengthen our position as a credible and leading supplier of CMI to all the leading innovator companies in this segment.
We further demonstrate our resolve to retain a leadership position in the CMI segment. With this backward integration, we not only achieve strategic independence, but also insulate the business from significant volatility of the key raw material pricing. As a country, we are experie ncing significant tailwinds for the CDMO business. There has been a huge surge in RFPs. While our focus has historically been on the chronic segment, we had been building capacity to supply building blocks and peptide fragments t o innovators, and also the global CDMOs engaged in this field. Given the interest that we are seeing in this segment, we are advancing with a plan to build a multipurpose plant at Maha d and a state -of-the-art R&D center at Hyderabad. The GMP compliant approximately 30 reactor plant will be a versatile plant with capability to supply from a few kilos to multi -tons to our CDMO cl ients in any geography.
At Mahad , both in the block meant for vertical integration and the multipurpose block we believe which will go on stream in H2 FY '27, a high level of automation is being built to ensure batch -to-batch consistency, optimal leans, and risk -proof operations. As a consequence of this high level of versatility and automation th at is being built into the Unit -3 Mahad , we envisage that the earlier planned CAPEX of Rs. 250 crores for Unit -3 shall increase to about Rs. 300 crores. Of this, about Rs. 100 crores h

as a lready been incurred, and the balance Rs. 200 crores will be
incurred up to FY27. The state -of-the-art R&D center being built at a cost of about Rs. 40 crores shall focus on the newer chemistry platforms like peptides, intermediates for GLP -1s, biocatalysis with a focus on immobilized catalysts, and work to augment and strengthen the innovator -oriented pipeline of the company with a focus on chronic di seases. Today at R&D, we are tracking about 20 new opportunities with high client interest and visibility. About 30% of these, which is approximately six, are in late phase III or commercial phase.
As a company, we are committed to carbon sequestration. We are conscious about the environment, and our carbon footprint is consistently reducing. We contribute about 70% of our overall energy consumption from wind and solar .
Now I come to the most interesting part of this readout, our future expansion plans :

In the last four years, we have quadrupled our manufacturing capacity. In the next two to three years, maintaining the same growth momentum, we plan to add another 1,000 KL capacity to keep in step with our aspiration, to keep in step with our medium -term goals, and to keep in step with the business commitments which have bee n backed by client lock -ins. To achieve this, we plan to acquire a large land parcel, where we will lay the foundation of a globally competitive and world -class CDMO. This land will be developed in three phases. In phase one, we plan four blocks, two dedicated to contrast media, one for high -intensity sweetener, where we plan to manufacture another sweetener from a successive generation to what we already have for some of our existing clients, and the fourth will be a multi -purpose block.

With this, I hand it over to Ganesh to take you through the financials.

Ganesh Karuppannan: Thank you, VK. Good evening, everyone.

I will walk you through our key financial and operational highlights for Q1 FY '26:

While Shiv en talked about the quarterly performance, I repeat, we sustained topline momentum in Q1 with broad -based contribution across all three product categories. Revenue from operations stood at Rs. 3.54 billion , up 4.5% sequentially, and 118% year-over-year. EBITDA for the quarter was at Rs. 1.2 billion or 34.1 of the sale, which is 7% sequentially declining, yet a 173% increase over Q1 last year. Profit after tax stood at 912 million, with a profit path margin of 25 .7, down from Q4, but up by 148% year-over-year.

On a full -year basis, Q1 FY '26 compared favorably with Q1 FY '25 across revenue, EBITDA, and PAT, reflecting sustained operating leverage and commercial traction. We will explain the variance more of sequential quarter with current quarter, which could be more relevant.

I just move on to the gross margin :

The gross margin for the quarter was 48.5%, down by 6.5% from 55% in Q4. I will explain the movement. If you notice in the P&L, there is a reduction in the finished goods and WIP to the tune of 750 million in Q1 as against an increase of 100 million in Q4 '25. This means a 750 million drawdown in finished goods and WIP inventory versus a 110 million built up in Q4. As overheads are absorbed in inventory valuation, this decline in inventory releases more overheads into the P&L, compressing the margin. Of the 6.5% reduction in gros s margin, roughly more than 4.4% is attributable to th is inventory adjustment and 2.1% to the product mix, specifically on account of higher contribution by PI , API segments and lower contribution by others segment. If you were to take a cumulative number of Q4 and Q1, you would end up with a 53% gross margin, which explains this 4.5% decline is merely on account of release of inventory in this quarter. There were no major changes in key raw material prices and our procurement cost remains well managed.

Mov

ing on to certain other P&L considerations :

A 27 million GST demand impac ted EBITDA by approximately 0.7% during the quarter, which is a one -time effect. Similarly, Forex gain were lower due to US dollar depreciation in Q1, leading to a muted Forex gain in Q1.

Moving on to segmented perf ormance :

PI and API grew by 8.2% quarter -on-quarter , and we were able to sustain the momentum. Artificial sweetener grew 17.4% quarter -over-quarter, reflecting a recovery from muted historical perfor mance. Contrast media saw a 3.9% quarter -over-quarter dip, mainly due to phasing. However, the outlook is positive with commercialization of new iodinated intermediate and supplies of gadolinium -based products, which are planned in this quarter.

From a balance sheet perspective, we hold 2.7 billion in cash and treasury instrument and we continue to generate positive operating cash flows aligned with internal expectations.

In terms of CAPEX, during Q1, we approximately incurred an expenditure of 280 million.

Our guidance for FY' 25 remained unchanged. We rema in confident of achieving our FY' 26 goals through consistent cost discipline, capacity utiliza tion, and pipeline progression.

With this, I hand over back for the Q&A session. So, moderato r, you can line up the questions .

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Kunal Dhamesha from Macquarie . Please go ahead.

Kunal Dhamesha: Good evening and thank you for the opportunity a nd congratulations on great top line momentum. I have a question on gross margin. I think the clarification was good, but let's say from here on, how should we t hink about the run rate maybe on an annual basis? What's the range that we should look at? Is it 50% kind of run rate that we should look at adjusting for this 4.5% one off? And secondly, let's say once the iodinated ABA HCL kind of grows, how that 53% could move? A ny clarity on that could be helpful. And then, I have more questions. I will come back.

Ganesh Karuppannan : See, if I look at this change in the finished goods, we are actually back to the 53 levels. So, like this is just an issue which is relevant only for this. On a regular basis, we don't see any change in the gross margin with this current product. So, we have a couple of new launches which are slated for Q2, Q3 and could actually come back or if there is any changes in when this iodinated

new product comes in, you can actually see the change in the numbers.
Kunal Dhamesha: So, should we expect it to improve from the levels, current levels or how should we think about it?
Ganesh Karuppannan : We don't give guidance on the future. So, based on the current portfolio mix, it's going to be 53 and we will be in a position to sustain simila r levels in the coming quarters.

Kunal Dhamesha: Okay. And this 53 you mentioned is the 53 days of finished good s inventory?
Ganesh Karuppannan : No, this is 53% of gross margin.
Kunal Dhamesha: But let's say finished good inventory now, where would we and then is it in line with our expectations?
Ganesh Karuppannan : So, in terms of inventory days, there is no significant change. It came down by 131 days, that is working capital to total turnover. We should be ar ound similar range way forward.
Kunal Dhamesha: Okay. Sure. And then second one on the iodinated intermediate. So, we are seeing that the block is ready, capacity is ready and it would get commissioned or will start supplying in Q2. Is the way to understand?
Shiven Arora: Yes. That is the right assumption.
Kunal Dhamesha: Sure. And what's the capacity in terms of let's say reactor capacity or let's say tons, if you could share and how do we expect the ramp up to be? Will it be like a gradual ramp up o

r step jump?
Shiven Arora: In terms of what I can share right now, the net realization per kg improves significantly with this launch , we won't be able to disclose the volume or KL capacity . But from a criticality standpoint, and our growth journey, this is a fairly good needle mover.
Kunal Dhamesha: Sure. And one on the pharmaceutical intermediate, I believe that we had suggested that 120 KL capacity is what we had put for the cardiovascular intermediate. Is that number correct?
Shiven Arora: That's the right assumption. 120 KL is what we've indicated. That's the right number. Happy to get on with the question s, please. Thank you.
Kunal Dhamesha: Yes. I have more questions. I will join back the queue . Thank you.
Moderator: Thank you. The next question is from the li ne of Meet Katrodiya from Niveshaay . Please go ahead.
Meet Katrodiya: Yes, thank you so much for the opportunity. So, sir, I want to understand a little deeper in terms of gross margin. So, like gross margin fell 6.5% this quarter and 4.4% impact due to changes in inventory means we sold much of the higher cost inventory we have in last quarter, right? So, could you break down how much of the gross margin drop came from under a bsorbed fixed overhead or pricing change or is it like one of inventory adjustment? Basically, I want to break up of 4.4%?
Ganesh Karuppannan : See, whenever you have a change in finished goods, whatever overhead which gets inventorized gets released to the P&L. For example, if you draw from your finished goods, whatever overhead that has been inventorized gets released to the P&L. So, there is no breakup for 4. 4. It is totally the overheads, w hat got inventorized in the last quarter, because this time our closing finished

goods is much lower compared to the previous quarter. So, technically means we have actually sold the finished goods of last quarter in this quarter and any associated overheads relating to those stock gets released to the P&L. That is the way you have to look at it.
Meet Katrodiya: Okay, so the figure 4.4% in change in inventory contains all the overheads, right? There is nothing raw material cost or maybe …my understanding is right?
Ganesh Karuppannan : Yes.
Sanjay Sinha: Meet , I will just add here. W henever inventory gets reduced, your cost goes up in accounting language . So, this is exactly that has happened. If you see the last four columns of the P&L, each year cost has reduced. But because of this change in inventory, the cost has gone up. In simple language, when inventory goes down, your cost goes up and it affects your gross contribution.
Meet Katrodiya: Okay, understood. Thank you, sir. Yes , next one is on pharma intermediate side. What kind of feasibility do we have from innovators as the product expands into new geography and settlement with generic ANDA filer is giving good long -term benefits. So, are you seeing increased demand that will lead our PI segment to grow from this quarterly run rate of 200 crores or do we anticipate growth to taper off due to rising competition?
VK Singh : Once again, we would reiterate that we don't really give guidance like this. But then you should not assume a quarterly run rate, right? Perhaps you have to look at larger time segment. In the CDMO business, quarter is not a very good indication. That's number one. Number two, as far as the end molecule is concerned, the growth numbers are very encouraging. And there is a very interesting lifecycle management also happening at Esperion where they are coming out with

newer products in combination with this Bempedoic acid. So, I guess overall the tiding to the
market are excellent for the molecule. We don't see any issue at all. We are poised for good
growth.
Moderator: Thank you. The next question is from the line of Piyush Kumar from Magnus Investments .
Please

go ahead.
Piyush Kumar: Sir, my question is regarding the entire three segments of your business. So, which is the most bullish segment that you are on? Which segment is getting the most calls from clients and the entire industry? So, what do you think about that?
VK Singh: So, for us, contrast media is our flagship vertical and the mainstay of the business. We are very predominantly contrast media focused company. On the other side, the PI business you have seen has gained great traction. There the addressable market is much larger, much, much larger, right? Much bigger than contrast media . So, because of the China plus one tailwinds or whatever you say, there's a lot of RFPs that we are getting over there. And then we have been, so well positioned in the sweetener business. And we are with almost all clients of the FMCG. The new generation or the next generation sweetener or the new sweetener that we will add will give a

fillip to whatever turnover we are doing the sweetener business. Overall, I would say that today, all three product verticals are poised for a healthy growth.
Piyush Kumar: Okay, sir. And my last question is, how should one look at your business? Should we look at the QOQ or just YO Y? That is the question for you.
VK Singh: See, if you look at our performance for the last several quarters, you would see that we have been very consistent quarter on quarter. But then for any B2B business, particularly a C DMO business, a quarter may not be a very good indication. Right? So, I mean, there are businesses where if you will slice and dice, you will see a lot of consistency in daily sales. But this is not that type of business. That's all that I would say at this point of time.
Piyush Kumar: Okay. Thank you, sir. All the best.
VK Singh: Thank you.
Moderator: Thank you. The next question is from the line of Shashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi, thanks for taking my question. I think we did attribute to phasing of production this quarter. I just wanted to check if production leve ls in 1Q are meaningfully lower? There's also in connection with the gross margins. Given that we have very strong order book visibility. So, just wanted to understand that.
Ganesh Karuppannan : It's actually, maybe it's a wrong wording I had used. It's not phasing out of inventory. It's basically like reduction in inventory. I think that's the way you have to look at it .
Shashank Krishnakumar: So, production or utilization levels were not lower on a Q OQ basis, right? Just wanted to understand that.
Ganesh Karuppannan : No, the productions are based on customer orders. So, we have a very sustained production. So, this is something certain inventory produced in the last quarter got sold in this quarter.
Shashank Krishnakumar: Got it. Thank you. That's helpful. My second question was on the new launches that you pointed to in 2Q and 3Q. So, does that include the iodinated i ntermediate and any other launch from other business segments? Just wanted to understand which were the two new products that you were alluding to ?
Shiven Arora: So, in contrast media itself from an H2 perspective, there's this iodinated AB HCL that we spoke about. And there is the backward integration that we are doing. So, these are the two material launches. However, there are a few other intermediates that we supply to newer contrast agents. These are newer applications with some innovators. These are all lab quantities but have a promising future. So, thi s is more about contrast media. A bout pharma intermediates. pharma intermediates also, there a re new opportunities that we are tracking. As I mentioned that some

of them are in phase 3 and late phase and a couple of them are already commercial. So, I think the

re are interesting opportunities there also.
Moderator: Thank you. The next question is from the line of Arpit Tapadia from IG E Family Office. Please go ahead.
Arpit Tapadia: My first question is regarding the land that we have returned to the authorities and got our refund back. Any particular reason i s behind?
VK Singh: Actually, our application ha s been for a much, much larger parcel. But today in the red category,

Gujarat does not have too much of land. So, we got about 8 acres. We took that, but then we felt that that was subscale because now we have spotted and in the process of finalizing a much, much larger piece of land. Therefore, it was logical for us to surrender this in view of the much larger parcel of land that we would be acquiring very shortly. And we will make an announcement about that, which is in step with the aspiration that the co mpany has.

Arpit Tapadia: Got it. My second question is in line with the previous participant only. Since we have lowered down our inventory into this quarter and our sales at overall level is more than the previous quarter, then we must have ramped down our production level into th is quarter ?

Ganesh Karuppannan Yes. Our closing inventory of finished goods is lower compared to previous quarter. And we have the production plan in place for Q2 and Q3, which will actually get back to the original levels.

Arpit Tapadia: Got it. So, what is our sustainable level of inventory that we want to maintain?

Ganesh Karuppannan No, it is more than sustainable level. It is more to do with the customer order and because we make based on customer order, so it is dependent on that.

Arpit Tapadia: Okay. I will fall back into the queue for further questions .

Moderator: Thank you. The next question is from the line of Ayush Agarwal from MAPL Value Investment Fund . Please go ahead.

Ayush Agarwal: Ganesh sir, this is a question for you on the inventory. I am sorry for harping on it again. But I do not believe that we record finished goods on the selling price. We record finished goods on the lower of cost basically. I am reading your annual report note which has accounting policy on finished goods. And it is clearly mentioned that we value at lower of cost and NRV. So, the overhead that we are talking which have been brought from last quarter to this quarter does not really make a lot of sense to me. So, if you can help us understand and even if I look at our past quarter cost of raw materials, they have never actually crossed 46 %-47% a nd while I understand that pharma Intermediate has scaled up in the last 3 -4 quarters, when it scaled up in December '24, then also our cost of raw materials was 45%, which was the same in March '25 number as well. So, if you can really help us understand what happened to our gross margin this quarter, it would be helpful.

Ganesh Karuppannan : Finished goods is never valued on sale price. It is basically raw material plus associated overheads. Any direct overhead gets allocated. This is the accounting principle every company follows in valuing the finished goods. So, you can easily understand what is the raw material cost and what is the direct overheads which gets allocated. So, in a quarter where you have a larger finished goods, you would have actually like inventorized certain overheads, the direct overheads a nd if you maintain similar inventory levels quarter on quarter, you do not see that impact in the P&L. In our case, between Q4 and Q1, the finished goods inventory came down in Q1 to the tune of Rs. 75 crore, which is basically the raw material cost plus direct overheads allocated. So, if you just see what is the overheads which got allocated, the difference in overheads between Q4 and Q1 of this current quarter, the impact is close to 4 %-4.4%.

Ayush Agarwal: That comes to around 17 crores -18 crore s. Do you me

an that we did not recognize that last quarter and our numbers were higher by that last quarter?

Ganesh Karuppannan Yes. If you want to understand more clearly, if you just take the Q4 and Q1 of this, the calendar six months, you would get a gross margin of 53 %.

Ayush Agarwal: Understood. Second question, sir, is on the Capex , which our CEO mentioned that we want to add 1,000 KL capacity in the next two to three years. And we start with phase I of four blocks, two of them for CMI, one for high intensity sweetener, and one in MPB block . Given the growth happening in the pharma intermediate molecule and given what our customers is preparing for in the future, why no CAPEX towards this as where I understand we are at 60 %, but why no Capex towards pharma intermediate in the next phase of expansion?

VK Singh: I think maybe the voice drained off and maybe you were not able to hear. Pharma intermediates is becoming an important part of the entire scheme of the company. There is one block that will come up in Maha d, which we very clearly mentioned, that's like a multipurpose block, will be catering to this segment. And even for our new big land parcel that we spoke about, our expansion plan for the future, there also we mentioned that there's going to be a multipurpose block which will be catering to this third pr oduct vertical. So, I think we are building up good capacity in anticipation of the RFPs that we have.

Shiven Arora : I think just to add on to that, as a company DNA, when we have a customer lock -in and a contract visibility, that's when we initiate a thought process of adding a particular block. And that's how we see in contrast media also, we believe that two additiona l blocks should be added due to certain discussions with the customers and the innovators.

Ayush Agarwal: Just to follow up on this, given that we are already doing backup integration into APD for our contrast media intermediates. And we are putting up two more blocks for contrast media. So,

what could be the roadmap for contrast media from here?
Shiven Arora: The end formulation market is definitely growing. And from $6.7 billion in terms of end formulation is projected to become $10 billion in the next few years. So, in anticipation of this

growth, we have a strong push from our customers also to add capacities to take care of these growing demands.
Moderator: Thank you. The next question is from the line of Bansi Desai. Please go ahead.
Bansi Desai: Hi, thanks for taking my question. My question is again on contrast media. So, if I just look at this business for us for the last two to three years, we've been, in that range, or in fact, you know, looking at this quarter's number at Rs. 97 crores, we are much below our quarterly run rate that we've seen in this business even two years back. So, from a Rs. 500 crore business in fiscal 23, we came down to Rs. 480 crores in fiscal '24. We came down to Rs. 400 crores in fiscal'25 probably because of customers, changes in the facility, etc. But starting this year, we are again at Rs. 97 crores. So, if you can just help us understand, probably two years back, we would have thought that end market is growing at mid to high single digit, Blue Jet launching more molecules, you should have been grown probably at mid -single digit or higher than that. And from there to here, we are still probably at this, run rate of 97 crores. So, are we going to see a step up again in this business from t he new launches that you are guiding? And if one has to look at two to three -year view, maybe quarterly is not the right way to look at the numbers. I understand that. But if I have to take two to three -year view, how should one think about growth for Contrast Media?
Ganesh Karuppannan Bansi, there are three levers. One is the largest customer, the forecast, whatever they have indicated

to us, the iodinated product, and the intermediate for the gadolinium molecule. Now, if we look at all the three together, there is a good probability we should actually get back to the 23 levels. I think that is our aspiration. So, that's what we are working on. So, this would actually become a new base for us. If we could actually reach the 23 level in 25 or 26 , then we can actually bu ild on, you will obviously have the growth on the iodinated molecule, you will actually see the full year impact in FY '27. And the NC E molecule also would grow in 27 -28. And in the meantime, we do expect certain new opportunities, which we are actually planning from FY28, 29, what VK and Shiv en alluded to in terms of additional capacities for Contrast Media.
Bansi Desai: And how is the capacity utilization for Contrast Media, particularly you mentioned 60% at an overall level. Is it any different for Contrast Media?
VK Singh: What I mentioned was for the PI segment, that particular block that we had created, just to give a sense that should there be an increase in demand, we are well poised to capture that. Overall, I think at a company level, maybe 75%.
Moderator: Thank you . The next question is from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.
Ravi Purohit: Hi. Thanks for taking my question. Sir, I've been kind of reading our environment clearance report for the new Mahad unit, right? And in that, we have provided a list of products where we are adding capacities. And one of them is also API for Bempe doic Acid, right? So, I think so far

we've been doing only the intermediate. So, in Bempe doic Acid, are we looking to add API facility, API capacity as well? And similarly, in Contrast Media, we are putting up two new blocks in the new large capacity that we are planning to set up over the next 2 to 3 years . Now, there also historically, we've been, are we kind of looking to add larger API capacities in many of these, where the value of the end product, of course, could be significantly larger than what we have been getting in the intermediate ? So, if you could just share some thoughts and some, color on where we are headed on either of these, both PI as well as the Contrast Media on the journey from intermediate to whether we will or will not be doing APIs.
VK Singh: So, if you will see our performance over the last couple of years, three, four, five years, you will see that our per KL realizations have gone up significantly and very consecutively. And our per kg realizations have also gone up from building blocks to intermediates, advanced intermediates. Now, both in our Contrast Media and PI, what we supply to our clients are very advanced intermediates, which are just one or two steps short of the final API. The final API could be a logical extension. But a s you know, and Shiven also mentioned what the DNA of the company is, we always do it with a specific client lock -in and client interest. So, it has to come from one of our existing clients. We don't wish to participate in the generic space. As far as your reading of our environmental clearance is concerned, while the advanced intermediate that we make for

Bempedoic is just two steps away from the final API. But then many a times we give a laundry list of products because going back to the EC for amendments of the product list is not very convenient nor efficient.
Moderator: Thank you. T he next question is from the line of Ajay from Niveshaay . Please go ahead.
Ajay: Thank you for the opportunity. My question is on contrast media. So, as mentioned by the previous participants that the speed of growth has been slow, but we also believe the big scale can be achieved in this business with forward integration. So, sequentially, how or what are your expectations with this segment going ahead? And

do we plan to forward integrate?
VK Singh: So, there's a clear roadmap for that. But as we mentioned that we always do it for the customers on a CDMO model. We don't participate in the generic space. So, I think as it pans out we will keep you updated. At this point of time, we cannot comment any more than what we have.
Ajay: Got it. And last question. Again, this is on the inventory. You mentioned that there was under -absorbed overhead, and this is typically due to the lower production, which we also expect going forward to pick up, which will eventually result in sales or sales in coming quarters, which will result in better absorption of fixed costs. So, my question is, in case this doesn't happen, what are the steps being taken to absorb or manage these overheads going forward? And if you can also highlight the range of gross margins what we should look at, that would be helpful.
Ganesh Karuppannan It is not under -absorption of overheads. It is the overhead inventorized in the previous quarter getting release d to P&L in this quarter. Okay? So, it is not that, under -absorption is completely a different topic. So, this is nothing to do with under -absorption.

Ajay: But in the press release, it has been mentioned the same.
Ganesh Karuppannan Okay, I will just check on that. One minute. Because this may be like for you to simplify. If you just take the P&L of Q4'25 and Q1'26 P&L and merge it, you can actually understand the net impact and you would actually see gross margin is intact at 53% .
Ajay: If I even back -calculate, the number comes down to 51.6%. So, I am not able to clearly understand. And in the press release also, it has been mentioned clearly that it's driven by shift in product mix, reduced inventory level and resulting in lower overhead absorption.
Ganesh Karuppannan Okay. We will take it offline. I will actually explain the complete calculation on this.
Ajay: And also, sir, last question. Sir, we have plans of fund -raise. So, if you can give details on what are the plans going forward for the same?
Ganesh Karuppannan We are still in the drawing room stage. We are yet to finalize anything. As and when we conclude on this, we will actually communicate. Right now, we have just taken a shareholder resolution and we are still evaluating the options.
Ajay: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Bansi Desai from J P Morgan. Please go ahead.
Bansi Desai: Hi. Thanks again for the opportunity. Just on the PI -API for the cardiovascular product, it appears that the realizati ons have remained pretty stable, i s that true? And therefore, if the realizations, say for instance, were to remain stable and if we were to see increased uptake in quantity, should we assume this kind of run rate to continue?
Ganesh Karuppannan With the current cost structure, our margins are intact.
Bansi Desai: No, sir. I was talking about the revenue for the PI -API?
Ganesh Karuppannan Yes. I mean, as you know, Bansi, the molecule is doing extremely well. And I think what we have done at the annual level, that we should be able to maintain with some growth in that.
Bansi Desai: Okay, perfect. Thank you so much.
Moderator: Thank you. The next question is from the line of Abhishek Sharma from D&H Electrodes Pvt. Ltd. Please go ahead.
Abhishek Sharma: Hello. Good evening, sir. Sir, is there any cyclical pattern in the company's revenue organization? Just like that in the first half of the financial year, typically constitutes a lower portion of annual reven ues compared to the second half.

Ganesh Karuppannan We do not have any seasonality in our industry. It is all more to do with customer orders. Sanjay, you want to add on?
Sanjay Sinha: Sir, this is basically,

this is all related to, we are into make -to-order. So, as and when order is there, we manufa cture. So, there is no cyclical, i t is not a formulation company.
Abhishek Sharma: Okay. Thank you.
Ganesh Karuppannan Thank you.

Moderator: Thank you. The next question is from the line of Vidit Shah from Spark Capital. Please go ahead.
Vidit Shah: Hi. Thanks for taking my question. Sir, two questions I had. Sir, one was, while I understa nd that inventory has hit the P&L , I would assume that revenue too would be booked in the same quarter. So, I am still confused around why margins have taken such a sharp decline, unless there were one -off overheads which have been recognized in the quarter. But happy to take that offline if you may. But my second question was on why are we seeing reduced levels of inventory? Why are we consciously reducin g levels of inventory in Q1?
Sanjay Sinha: Basically, I mean, in simple words, it says the movement of COGS that is not going to those. So, if you see, whenever the inventory goes down, COGS goes up in simple accounts. So, that is the impact. So, inventory has reduced.
Vidit Shah: But the revenue would also go up in the same way, right? So, margins may not be impacted.
Sanjay Sinha: Yes, but the revenue has also gone up. But the stock was lying in the last quarter. It got displaced this quarter. Got it?
Vidit Shah: Okay.
Sanjay Sinha: So, the movement, if you see the movement, is the impact of CO GS. And of course, overhead and all is there, but this movement of COGS , basically. So, just minus raw material cost, which is the gross margin and remove the CO GS, still the margin is around 52%.
Vidit Shah: Okay. Maybe we can take that offline. But if you could just help me understand why are levels of inventory decreasing? Is that a conscious effort? Or is this a plan t maintenance sort of?
Ganesh Karuppannan No, this is more of a customer's dispatch schedule. So, each customer has their dispatch schedule. So, it is more to do with their logistics planning.
Vidit Shah: Okay. So, would that be fair to assume then that Q2, the dispatches may not be as much as Q1? Is that how to look at it?
Ganesh Karuppannan Not exactly. So, this is because we have our production schedule for Q2, Q3. So, whatever happened in Q1 should not have impact on the production of Q2.

Vidit Shah: Okay. Those were my two questions. Thanks for answering them and all the best. Thank you.
Moderator: Thank you. The next question is from the line of Kunal D hamesh a from Macqu arie. Please go ahead.
Kunal Dhamesha: Hi, thank you for the follow -up question. My question is primarily on the peptide segment. If you could help us understand the capabilities that we have, what are our aspirations there, and then, what is the capacity that we are planning and where it would be Capex required, so that would be great.
VK Singh : See, on the peptide segment, we are working on peptide fragments. At the R&D stage, we are working on some peptides, but then what is more advanced and what we are discussing with certain innovator companies are the intermediates to the end peptides, some of them being the GLP -1 products where we are in a conversation with certain innovator companies for the intermediates. So, basically, we are working on the amino acid derivatives and peptide fragments. Till the time we build our multipurpose plant in Mah ad, the smaller requirements that will be there in this segment will be catered to from the multipurpose plant in Unit 2. When the Mahad capacity comes in, that will address this business segment and demand. And as I mentioned that in the larger scale of t hings, when we have this much, much larger land parcel and capacity that we plan to create in the next couple of years, there will be capacity for this segment there also. It will all be in step wit

h the client lock-in and visibility of business that we have.
Kunal Dhamesha: So, when we say this fragments, would it be more like dipeptide, tripeptide or octamer, decamer, what are we trying to kind of achieve here? And then in terms of the technology that we would be adopting, whether it's chemical synthesis and on a large -scale basis, would it continue or we are also looking at the other type of technology available there?
VK Singh : See, as I mentioned that we are doing amino acid derivatives. We will not be making the amino acid, which are on fermentation -based technologies. As we speak, we have developed already about 45 peptide fragments. We are not in the library or catalog type of business, where we do 300 or 400. There's a big opportunity over there, but that's not what we are focusing. We are working on those where there's high conviction and client visibility. We are, since I mentioned peptide fragments, then we are not really talking about tripeptides, tetrapeptides or the decapeptides. We have in the new R&D center that we are creating, we will have one lab which will be doing peptide synthesis, but then the high conviction opportunities that we are tracking are more on the f ragment side.
Kunal Dhamesha: Sure, maybe I will take it offline. I need to get more details around this. Thank you for your answer.
Moderator: Thank you. The next question is from the line of Ravi Purohit from Securities Investment Management Pvt. Ltd. Please go ahead.

Ravi Purohit: My question also was similar to the previous participants' questions. Amino acid chains and the fragments are not very easy to establish. Is it something that we are working on and will eventually showcase to clients or we have already established certain processes and certain products on existing showcase to clients? Where are we in that? Is it something that we aspire to do or certain products or certain chains we've already established and it's only a matter of talking to the client, showin g to them what we are capable of and have a capacity to basically manufacture? Because what we understand is the chain is not very easy to kind of produce and replicate.
VK Singh: You need a specialized skill set for this, which we have. We have been working on this type of chemistry for the last two, two and a half years. We have a couple of scientists who are extremely good in this type of synthesis. As I mentioned, we are not in the catalogue business. As we speak, we are not venturing now. We already have about 45 peptide fragments which are already ready. They can be commercialized almost immediately. This preparation or readiness that we have is based upon customer interest. There's no blue sky gazing in this .
Moderator: Thank you. The next question is from the line of Ankit Sahay from Fusion Capital. Please g o ahead.
Ankit Sahay: My question is on the gross margin. Rather than taking it offline, it would be helpful if most of the participants have this question so we can clarify on this here itself.
Ganesh Karuppannan What is your question on gross margin?
Ankit Sahay: You mentioned the right to look at a consolidated of Q4 F Y'25 and Q1 FY' 26. Why to do that and why the revenue should be recorded in the Q4 itself and not in Q1?
Ganesh Karuppannan Unless you make a sale, then only you can recognize the revenue. In our case, you have both finished goods and goods in transit. Certain finished goods are recognized as sale only when it reaches the customer destination. So, the finished goods has two parts. One is what we physically have it at site and the second one is in transit because certain Incoterms allows us to recognize revenue only when it reaches the customer. When you t ake both of this, you have this, t his is I would actually call it more as an aberration for this quarter. I would actually say this is more an

accounting, the way Sanjay put it across. When the inventory gets released, this overhead absorption happens. I think had we maintained a similar finished goods level like last quarter; you would not have seen this impact.
Ankit Sahay: Yes, got it. So, overhead from the last quarter is coming here because the inventory levels are reduced.
Moderator: Thank you. The next question is from the line of Saket from Sagari Capital. Please go ahead.
Saket: Thanks for the opportunity. So, we talked about a lot of traction as far as CDMO RFPs are concerned. So, could you share details around, say, how many projects we have currently across different phases, say, in Q1 and what was the corresponding number, say, last year just to get a

sense of how has the product pipeline in the CDMO or especially in the pharma API /intermediate phase. So, how has that trended over the last year or so?
VK Singh: So, I think we all understand that this CDMO part where we are participating with our customers during the clinical phase or regulatory phase or the commercial phase, it's a slow burn. Today, as we speak, and I mentioned in my narrative that we are sitting on about 20 RFPs. Six of them are in late stage phase III or commercial. Right? Last year, I think the number was 11 or 12. I don't remember exactly, but I think it was 11 or 12. So, you do see consistent growth from last year to now. And some products ga in traction, particularly in the chronic space. And now, in addition to that chronic space, since we are looking at peptide fragments, that's a new opportunity that has opened up.
Saket: Fantastic. So, my next question would be, what is the typical asset turn for our pharma intermediate business? So, is it 1.1, 1.2? What's the asset turn?
VK Singh: Overall, at a company level, because our capacities are fungible, let's not go product category -wise or business segment -wise. But at a company level, I think we have clocked one of the best in the industry north of four .
Saket: So, is it that net block or gross block, that four we are talking about? Four would be a net block, I guess.
VK Singh: Net block, yes.
Saket: So, at gross block, if CFO sir can respond. So, I am just trying to understand, when you put in the new CAPEX , what kind of numbers would we expect on a gross level?
Ganesh Karuppannan See, we have a pretty long -term plan in terms of our CAPEX . We will shortly come back with a

bigger outlay, which will take care of the future expansion. Our assessment over a period of, if you take the next five years, our asset turn should be somewhere close to 2.5 to 3.

Saket: Okay. Now, thanks for the opportunity and best wishes to the team.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Ganesh Karuppannan Thank you very much for your participation and we will see you in the next investor call. Thank you very much.

Moderator: On behalf of Blue Jet Healthcare, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document was edited for readability purposes .)

Call: Nov 2025

November 8, 2025

To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400051

Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarte r and half year ended September 30, 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter and half year ended September 30, 2025 held on November 4, 2025 .

The same is also available at: https://bluejethealthcare.com/investor -presentation/

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)

“Blue Jet Healthcare Limited Q2 FY '26 Earnings Conference Call”

November 04 , 2025

MANAGEMENT : MR. SHIVEN ARORA – MANAGING DIRECTOR

MR. V. K. SINGH – CHIEF OPERATING OFFICER

MR. GANESH KARUPPANNAN – CHIEF FINANCIAL

OFFICER

MR. SANJAY SINHA – DEPUTY CHIEF FINANCIAL
OFFICER

Moderator : Ladies and gentlemen, good day and welcome to Blue Jet Healthcare Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. A dvait Bhadekar from EY. Thank you and over to you, sir.

Advait Bhadekar : Thank you . Good evening and a warm welcome everyone to Q2 and H1 FY '26 Earnings Call of Blue Jet Healthcare Limited. Please note, the Investor Presentation and the Financial Results are available on the company website and on the Stock Exchange.

Also, anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement must be re viewed in conjunction with the risks that the company faces.

The conference call is being recorded and the transcript along with the audio of the s ame will be made available on the website of the company as well as on the exchanges. Please also note that the audio of the conference call is the copyright material of Blue Jet Health care L imite d and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

From the Management , we have with us today , Mr. Shiven Arora - Managing Director ; Mr. V. K. Singh - Chief Operating Officer ; Mr. Ganesh Karuppan nan - Chief Financial Officer and Mr. Sanjay Sinha - Deputy Chief Financial Officer.

Now , I would request Mr. Shiven Arora - Managing Director of Blue Jet Health care L imite d to provide you with the updates for the quarter and half year end ed 30th September 2025. Thank you and over to you , sir.

Shiven Arora : Thank you, Advait. Good evening , everyone and thank you for joining us today. We have just completed the first half of FY '26 and I am pleased to share that our strategic priorities, portfolio diversification s, capacity -led growth and disciplined execution continues to deliver tangible results , despite transient fluctuation in quarterly revenues.

In terms of financial snapshot for Q2 and H1 FY '26:

EBITDA for Q2 was Rs. 601 million at 36% margin , up 14% year -on-year and for H1 stood at Rs. 1,820 million , 35% up 41% year -on-year. PAT for Q2 was Rs. 432 million which is 26% and Rs. 1 ,342 million for H1 representing 36% year -on-year growth. Despite revenue fading this quarter, we have sustained high quality earnings with continued strength in margin and cash

generation. Business performance in contrast media recorded revenues of Rs. 810 million in Q2 down 17% quarter -on-quarter. However, the dispatches or the quantity produced was much higher and the same would be recogni zed in the next quarter. H1 revenues at Rs. 1 ,780 million is consistent with the previous year despite our muted at Q1. The order book visibility remains strong and new iodinated intermediate is expected to go commercial in Q4 with encouraging outlook by the customer.

Next segment , Pharma Intermediates and API :

Q2 revenue was Rs. 420 million down 80% quarter -on-quarter due to phasing. However, H1 revenue grew by 113% year -on-year to Rs. 2 ,550 million. High -intensity Sweeteners grew 7% sequentially in Q2 and H1 growth stands at 3% year -on-year. I am pleased to announce the development results are very encouraging and approved by our key customer for a new Sweetener which has a global market size of Rs. 1 billion and a high per kg reali zation.

In terms of operational and strategic highlights :

We have commenced the groundwork on our 103 acre Vizag site with Ph

ase-I targeting capacity for contrast media and Artificial Sweeteners. We have commitments from global customers that are backing this investment. In Mahad, our backward integration facility is on track for commissioning by H2 FY '26. In terms of cash flow and liquidity, we remain debt -free with robust internal accruals supporting our expansion plans. Working capital increased due to in -

transit inventory , but operational cash flows remain po sitive.
To summarize :
At Blue Jet, we remain committed to building a resilient multi -segment CDMO platform anchored in innovation, customer intimacy and capital discipline. While quarterly variations are natural, our medium to long term visibility is strong, fueled by order book momentum, customer lock-ins, new validations and upcoming commercial milestones. Our performance in H1 demonstrates the strength of our core business and the stickiness of customer demand, which should provide comfort as we navigate quarter -to-quarter dynamics.
With now, I hand over to Mr. V . K. Singh – our COO, to take you through our operational highlights. He will be followed by our CFO, Mr. Ganesh, who will walk you through the financials in detail. Thank you.
V. K. Singh : Thank you, Shiven and good evening all of you. Just to pick it up from where Shiven left, our endeavor always is to create capacity to keep in step with client requirements. In the last 4 years, we have quadrupled our capacity. With a similar intent, we are adding capacity at Unit 3 Mahad, which we will deploy to backward integrate for our Contrast Media Intermediate segment, which I will hereafter refer to as CMI. This is a highly engineered plant on continuous flow synthesis. This is the first time that we are migrating to flow synthesis for making KSMs for our CMI products. The project is on track and the site would go live as we committed in H2 of FY '26.

With this plant going on stream, we strengthen our position as a credible and leading global supplier of CMI to all the leading innovator companies in this segment. We further demonstrate our resolve to retain leadership position in the CMI segment. And with this backward integration, we achieve not only strategic independence but also insulate the business from significant volatility that we have in key raw material prices. Additionally, the economies that we get due to the scale that we are building, we s hould be able to sell these intermediates also to third parties for which we already have significant customer interest and visibility.
High level of versatility in automation has been built into the design of this Mahad facility. We envisage that the earlier planned CAPEX o f Rs. 250 crores that we had spoken to you about, this will increase to about Rs. 300 crores because of this automation. Of this, we have already incurred about Rs. 135 crores in H1 of the current financial year. I am very happy to share that there has been a surge of RFPs that we are receiving. While our focus has traditionally been on the chronic segment, we are buildi ng capacity to supply building blocks and peptide fragments to the innovators or the global CDMOs which are very active and leading in this field. Given the interest that we are seeing in this segment, we are advancing with a plan to build a multipurpose plant and a state -of-the-art R&D center in Hyderabad.
We are today tracking about 20 RFPs. Of this, about 6 are very high conviction Phase-III leads in the chronic space. Last week, we were at a global conference that we call CPHI and we have received an RFP for an NCE and 2 high conviction RFPs for commercial products that may fructify into lateral entries. To respond to this surge in RFPs, a state -of-the-art R&D center is being planned at a cost of about Rs. 40 crores and we will have newer chemistry platforms like peptides, intermediates for GLP

1s, biocatal ysts, particularly on the immobilized catalysts, and work to augment and strengthen the innovator -oriented pipeline of the company with a focus once again on chronic diseases. We are very conscious of human health and climate change intersection. We contribute from our solar and windmills about 70% of our total energy consumption from renewables. In recognition of our efforts, we have received the CII National Award for E xcellence in Energy Management.
Now, the most important and interesting part is the future expansion plan. As I mentioned at the outset, in the last 4 years, we have quadrupled our capacity. In the next 2 -3 years, we will maintain this growth momentum and will add another 1,000 KL capacity to keep in step with the aspiration, to keep in step with the medium -term goals and the requirements of our clients. To achieve this, we have acquired a 10 3 acre land in Vizag, where we will lay the foundation of a globally competitive world -class CDMO. This land will be developed in 3 phases. In Phase-I, at an approximate CAPEX of Rs. 1,000 crores, we are planning 4 blocks, 2 for Contrast Media, 1 for high -intensity Sweetener that Shiven mentioned in his opening comments, and the fourth block, which is a multipurpose block, where we will do several new chemistries, including the peptide fragments for GLPs. We envisage that by FY '28, we will complete Phase-I. The master planning of this land at Vizag is already complete, and we believe that the groundbreaking will be done in the coming quarter.

With this, I hand over the call to our CFO, Ganesh, to take you through the key financials.
Ganesh Karuppannan : Good evening. Thanks for joining this Conference Call . I will revisit all the financial numbers.
Starting with sales :
Reported revenue from operations excluding other income for Q2 FY ' 26 of Rs. 165 crores is a decrease by 54% against Q1, and 21% for the same period last year. For H1, reported revenue at Rs. 518 crores is an increase by 40% for the same period last year.
We will discuss revenue by product category. We will start with Contrast Media:
Contrast Media reported a turnover of Rs. 81 crores, a decrease by 17% sequentially. For H1, reported sale is at Rs. 178 crores, almost the same as H1 of last year. In the recent times, the transit time for shipment to the customer has reached a level of 60 days, what used to be 35 -40 days. Now, due to geopolitical reasons, the transit time has increased to 60 days. As you are aware, we can recognize revenue only when the customer receives the material at their site due to commercial terms.
During this quarter, the goods in transit is higher, resulting in lower recognition of sales compared to the total production. Out of the total production this quarter, only 55% of the sale was recognized. The remaining are in transit will be recognized in the subsequent quarter. We will discuss the gross margin impact separately because of this transit related issues. The visibility of our order book in this segment on the marketed product is stable. The order book for intermediate for the NCE molecule is encouraging. The commercial scale of the iodinated intermediate is expected in Q4 of this financial year. Overall, we believe the trend is pretty stable in this particular segment.
PI-API category:
In the PI -API category, reported sale of Rs. 42 crore s, a decrease by 80% sequentially. For the first half year, the sale reported at Rs. 255 crore s is an increase of 113% compared to H1 FY '25. Intermediate for cardiovascular drug contributes to the growth of this category. As per customer publicly available data, the product is consistently growing and is able to get approval in multiple geographies quarter -on-quarter . Our growth in this molecule will follow the customer growth pattern. As far as Artifici al Sweetener is concerned

, we report there is a growth of 7%
sequentially and for half year ended September, there is a growth of 3% compared to the previous year.
Coming to gross margin :
Our reported gross margin for Q2 is at 65% and for Q1, it was 48%. For H1, the reported gross margin is 54%. I had mentioned about the goods in transit in contrast media and only 55% of the production was recognized as sale in Q2. As you are aware, the overhead gets apportioned

to the production quantity. Only to the extent of sales , the overhead gets charged to P&L. Since only 55% of the production was sold, the reported gross margin for Q2 is at 65%. If you want further details, you can actually get the data points from the published P&L statement under the head change in finished goods and WIP. In the PI -API product category, since the delivery term is Ex Works, such variance does not occur.
Moving on to EBITDA :
There are no major significant difference variance in the operating expense. You can actually see the operating expenses are more or less stable quarter -on-quarter . EBITDA remains at 33% for Q2 FY ' 26, a reduction of 1% sequentially. EBITDA for H1 at 34% is an increase by 3% compared to H1 of last year.
Coming to profit after tax :
The reported PAT is at 32%, an increase by 6% compared to sequential quarter. This increase is driven more by other income of Rs. 24 crores, which is primarily due to exchange gain and return on short -term investments. Our liquidity position is healthy at Rs. 341 crores and we are a debt - free company.
Now , we open the floor for questions and moderator , you can actually take it on.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have first question from the line of Sudarshan from A SK ND-PMS. Please go ahead.
Sudarshan : Thank you for taking my question. Sir, a little bit more on the Contrast Media. You mentioned that 55% of the production was dispatched and it is goods in transit. But if I am looking at the impact on EBITDA, one, I understand that there is goods in transit. But also, we have seen a benefit to the extent of about Rs. 50 crores in terms of changing inventory. So, can you give some color with respect to what would be the impact on EBITDA if probably the elongated timelines had not happened this quarter?
Ganesh Karuppannan : If you look at this particular quarter, maybe the best example would be to see the half yearly where we had 64% gross margin and we were able to deliver 34%. To me that is a good example where you could actually judge even without the variance of goods in transit. The catchment

would be a good indicator to make an assessment in terms of gross margin , EBITDA and PAT .
Sudarshan : Just to purchase this, probably 55% is about Rs. 80 odd crores. Probably , we will be looking at something like Rs. 75 crores. We had seen some kind of benefit in gross margins of about Rs. 50 crores. So, about Rs. 25 crores, is that something you would be looking at? I am just trying to understand the impact on these Rs. 25 crores ?
Ganesh Karuppannan : We will not be able to discuss the profitability by segment. I think for you, you have two clear sets of actual numbers, Q2 as well as H1, which would be a good indicator.

Sudarshan : Sure, sir. Sir, then coming to the Pharma Intermediate space, two things here , this quarter has been much lower than expected and I , of course agree that it can be lumpy on a quarter -on-quarter basis. Given what we have discussed about new regions getting approvals and if I read the cardiovascular drug is al so getting a triple combination which is awaiting appearances. So, some color with respect to what should we look at in terms of the second half and probably beyond ? Should we look at the numbers in improving? Because

if I look at it, we have basically moved from Rs. 150 crores -Rs. 200 crores and back to Rs. 50 crores. So, it is a little bit all around the place in that sense?
Ganesh Karuppannan : Shiven, you want to take it?
Shiven Arora : I think where we can see some positive upsides, not just by this particular cardiovascular product, I think the results are quite encouraging. I think the way the molecule is behaving and the way it has been able to capture newer markets. And most importantly, in such a molecule, we should see the prescription trends. So, they are also consistently increasing. Considering our position in this space, working closely with the innovator, we believe that we should be able to capture a significant part of this projected growth, at least for the full patient -protected cycle.
Sudarshan : Sure, sir. And one final question before I join back the queue is, we talked about the other molecules, 6 high-concentrate stage molecules. We have talked about GLP -1, with respect to the numbers flowing in , so when do we start, in your opinion, start to look at the other molecules contributing apart from the cardiovascular drug, meaningfully?
Shiven Arora : FY '27 and beyond.
Sudarshan : Sure. And for the full year, we should be maintaining the EBITDA of about 35% or so, right? That is what we have been doing? There is no change in that kind of ?
Shiven Arora : That should be the endeavor. And see, right now also, the other molecules in the, Mr. V . K. mentioned about the portfolio, they are contributing to the overall segment. But I think in a meaningful way, I think in the coming years, this should be our endeavor.
Sudarshan : Sure. Thanks a lot. I will join back the queue.
Shiven Arora : Thank you.
Moderator : Thank you very much. Next question is from Sanj esh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain : Yes. Hi. Good evening. Thanks for taking my questions. I got a few of them. First, starting with the Contrast Media segment. The supplies which got delayed in terms of recognizing into revenue, was it largely an AB A HCL we are talking about or even the new product which we have started shipping both on iodinated ABA HCL and NCE on the MRI?

Shiven Arora : Difficult to contribute specifically on a molecule, but I think it depends on the NCO terms that we have with the customer.
Sanjesh Jain : And is that the term same for all the three products or it is just for the few molecules?
Shiven Arora : The major molecule, I think, has an impact of this recognition. But with the other candidates, at least with one of them, we have been able to have a better outcome.
Sanjesh Jain : Got it. And in terms of iodinated A BA HCL, what should be the run rate we should be now seeing now that it is commercially started supplying? How should we see that pan out, say, in FY '27 or in the second half of FY '26? Should it have a stable and an increasing volume? We should anticipate that to happen?
Shiven Arora : Absolutely. Stab le and an increasing volume offtake . As you are aware, we won't be able to give a guidance, but in terms of the end molecule and API, it is growing. And the kind of visibility we have from our customer is extremely encouraging. In fact, it got reinforced at our trade show this year. So, we are quite happy with a capacity being ready and a product being validated.
Sanjesh Jain : It is just validated or we have started the commercial supply?
Shiven Arora : Started the commercial supply.
Sanjesh Jain : Both for the MRI as well as the iodinated AB A HCL, both w e have started the commercial production, right?

Shiven Arora : Yes.
Sanjesh Jain : Got it. Second on the Sweetener, Shiven , you talked about a new Sweetener. Can you elaborate more? When should we start seeing it? How large is the opportunity we are looking at it? And when should that product start

contributing to the revenue?
Shiven Arora : So, it is a very established Sweetener. The overall market size is about a billion dollars. Today, we woul d be the only source manufacturing it out of India. What we have done in Saccharin, we want to replicate the same strategy. And what we had done in Saccharin, we were trying to capture 10% of the world market. Over here also, our endeavor would be to reach to that 10% in a long -term vision. Clients are similar. So, they know our track record. They know our quality standards. So, we have th e anchor customer with us. Meaningful commercial volumes will come from Viza g. In the meantime, we will be doing some smaller quantities from our multipurpose plant. But the design of the plant is completed. And this will form a part of the groundbreaking in Viza g.
Sanjesh Jain: So, when should that start? Viza g plant should start , 18 months from now?

Shiven Arora : We will give some more clarity on that, Sanjesh. But the way I look at Viza g plant, you will see capacities coming on stream in different phases , in FY '28, FY '29 and beyond. Some would also kick in earlier from our brownfield expansions in Mahad. But that is broadly the way we look at Viza g.
Sanjesh Jain : Got it. And next on the peptide side of the business, we can see some peptides getting exported. At least that is visible in the data now. Are we more looking at validation or these are the customer -oriented validation or these are internal capability validation? When should we see commercial activity happening on the peptide side of the business?
V.K. S ingh : See on the peptide part, few opportunities that we are tracking are for the NCEs. And a few opportunities that we are tracking are on the products which are already commercial. And one opportunity as we mentioned once in the past as well is for an excipien t for a product that is already commercial. So, there are different layers on the peptide fragment part. Just to clarify that for the moment, our plan is only to be the peptide fragments. And what we will be supplying and engaging with clients and signin g up supply contracts will be for the fragments.
Shiven Arora : Thanks, Sanj esh.
Moderator : Thank you. Next question we have is from Nikhil from SIMPL. Please go ahead.
Nikhil : Yes. Hi and good evening. Thanks for the opportunity. Two questions. One is in the presentation , we have mentioned about this inventory destocking of the channel inventory in the pharma intermediate while the prescriptions an d all are very strongly growing. So, how should one understand what is this channel inventory destocking and why was it happening? Secondly, if we go to our Q1 call, our view was that for the full year , we should see slight growth on the intermediate business based on the order book and all, what do you see today? How do you see this scaling up for the rest of the year?
Shiven Arora : I think the question is quite complicated. There are too many variables around it. And I think in terms of the off -take requirements, sometimes high growth molecules can be very dynamic in nature. We still continue to hold the statement that we have earlier issued to the larger audience. But I think from your standpoint, you should monitor about the growth in the molecules and the acceptance in the new markets. As long as things are okay on that fro nt, we should be able to continue to grow in this segment.
V. K. Singh : Just to add to what Shiven said, when a molecule is getting launched in new markets, then there are certain launch quantities that are ordered. And that will always create some channel inventory. And if you can, this is something in public domain that this molecule is entering more and more markets. It is getting approvals and is entering more markets. One of the very large markets will be Japan.
Nikhil : No, I understand

and we have seen this happening in other companies as well. But generally what we see is that after the commercial launches, it is a lull of at least 1, 1-1/2 year before the

CDMO partner again sees kind of a bigger volume off -take. So, over the next 12 -18 months, I am not asking for next quarter or 6 months, but over the next 12 -18 months, how should we build in the numbers here?
Shiven Arora : No, I really appreciate your understanding of the segment to start with. I think our lag won't be, this is on a very extreme case that we have good visibility. And we are in touch with the innovator

and their key partners in the segment. I think it feels like right now, a temporary impact.
Nikhil : Secondly, see on the gross margin, if we go back to our Q1 call, our idea was that we would stay in that 50 %-53%. Now , you did mention about the reason, but if you can just help us understand a little better, because there is too much variability. And this variability was not there all these, like, since the time we ha ve been listed. And only in last 2 quarters, the variability has increased from 48, 65. If you can just help us understand what has happened, because the freight impact and all, most companies have been calling out for last 1, 1.5 years that the time periods have increased. But it is getting reflected in our numbers in a very aggravated manner. If you can just help us understand what has changed in last 6 months.
Shiven Arora : I think the long and short answer of this should be, we should take care in terms of that direct comparison of the H1 numbers, right . I think that sets a good average. It gets blended in very well. In this particular molecule, as far as the cardiovascular drug is considered, we have been able to grow this segment by triple digits percentage. So, things like this happen, there is an element of inventory. Maybe Ganesh, you want to add up something to this aspect?
Ganesh Karuppannan : Actually, we are consistent when we talk about our gross margin. See, one thing you have to appreciate, the shipments cannot be uniform across all quarters. The customers have very different schedules. And in the last couple of quarters, we also had this transit time issue. If you recall, it used to be 30 odd days, then the Red Sea jacked it up to 45 -50 days. Now , we have to re-route it, now it is becoming 60. More than this particular reason, the reality is the off -take or by the customer. So, it may not b e uniform across quarters, across months. So, there will be variability and that is actually showing up. For you to get a better understanding, if you take a half-yearly number or an annual number, that is a very good representation of our margin profile.
Nikhil : Sure, I will probably try to connect offline to understand it better. Thank you.
Ganesh Karuppannan : Sure. You can do that.
Shiven Arora : Thanks for asking th is question.
Moderator : Thank you very much. Next question is from Piyush Kumar from Magnus Hathaway Investment. Please go ahead.
Piyush Kumar : Thank you so much for taking my question. Sir, my question is regarding the B empedoic Acid . So, what exactly is happening in this entire market of the B empedoic and how do you see the entire thing going ahead , sir?

V.K. Singh : Hi, thank you for this question. This is in the cardiovascular space and it is the only oral product which is approved for hypercholesterolemia. And if you see quarterly growths, even in the last quarter, the molecule grew between 10 %-15% quarter -on-quarter . So, I think the growth is very good. The additional indications which are getting approved, that is an excellent news. New markets are opening up. A very large market like Japan is opening up. So, I think everything is going very good for the m olecule . It is p

atent protected till 2031. So, I don't see any concern, any issue as far as this product is concerned for us.
Piyush Kumar : Thank you. And my last question is regarding the gross margins of all 3 segments. As we can see, we are driving 45% of our revenue from the API segment right now. So, how are the gross margins of all three segments, sir?
V.K. Singh : We don't prepare segment -wise P&L. You get only the blend ed gross margin, actually.
Piyush Kumr : Sir, just one last question. The entire chronic disease molecules, how are they performing, sir, apart from B empedoic Acid ? Do you have any view on that on the market?
V.K. Singh : So, one is what we are supplying today. So, there are 10 or 12 products in addition to B empedoic in this product category. And we believe that 2 or 3 candidates are very scalable. But beyond that, what is more important is the RFPs that we are tracking and the process of signing up with some of the very large innovator companies, extremely large innovator companies. So, I think as a segment, this is poised for good growth. And seeing that, we are also building extra capacity for this particular product ve rtical, both in Mahad and Vizag.
Piyush Kumar : Thank you so much.
Moderator : Thank you. Next question is from the line of Shashank Krishnakumar from Emkay Global. You may go ahead.
Shashank Krishnakumar : Hi, thanks for taking my question. My first one was on the CMI business. So, the part of the revenue getting re cognized this quarter, so given the input terms, isn't that probably a regular feature every quarter or is there something that was drastically different? Because typically in any case, you would end up recognizing only a part of what we end up producing in this business segment, right?
Ganesh Karuppannan : Normally, like if your opening cutoff and closing cutoff are similar, you won't have this issue. Because of the customer off -take, our opening cutoff was very less. So, this is, you can take it partially a one -off situation. As long as you have, what you say is right, if the opening and closing transit are identical, one should not have this issue. If you look at our Q1, we didn't have that

much of in transit. So, this you could actually like see, understand from the P&L , what has been published in terms of changes in finished goods and this is purely based on customer off -take.

Shashank Krishnakumar : Got it. And just a related question. So, I think we have been guiding to 2H recovery in the CMI business. Now, if I look at 1H, we have been flattish, Y-o-Y. 2H, could we see an upt ake on a Y-o-Y basis or how should we think about CMI revenue in the second half?
Ganesh Karuppannan : Like, based on our forecast, I think it is pretty stable. And you could see getting a repeat of last year trend.
Shashank Krishnakumar : Got it. And just last one, if I could just please one more in. So, given that we are looking to add close to 1000 KL of capacity next 2 -3 years and particularly two blocks for CMI. Now, given the phase where our CMI business is in, do you foresee a phase where you could probably see a sharp cost revenue mismatch once incremental capacities come in , say, sometimes towards the end of FY '27. How should we think about margins when new capacities come on stream? Because there will be this phase where incremental revenue might not hit, but s ome costs would start coming in?
Ganesh Karuppannan : See, as far as the Greenfield is concerned, almost the majority of the cost will be capitalized. So, there won't be any incremental cost till the commercialization happens. Obviously, there would be certain R&D expenditure. And we are also expanding our senior management which could actually increase our operating expenses . But given the growth what we see in the next 18 -24 months, we could still sustain the similar margins

.
Shushank Krishnakumar : Got it , sir. Thank you. That i s it from me.
Moderator : Thank you. Next question is from Naveen Bai d from N uvama AMC. Please go ahead.
Naveen Baid : Thank you. Thank you for the opportunity. Sir, you spoke of three late -stage Onco and CNS candidates. Where are we in terms of the visibility on when they could be commercialized?
V.K. Singh : I think we are looking at FY '27 for this.
Naveen Baid : For all three of them?
V.K. Singh : It is very difficult to , how the segment works, how the CDMO business works, particularly for NCE molecules. But then all that we can say right now is there is high conviction. The data is extremely good. And the customers that we are tying up with, they are extremely large. So, there are very good opportunities.
Naveen Baid : And j ust some color on what would be the opportunity size for those 3 molecules? Irrespective of the t imeline, whether it is '27 or '28?
V.K. Singh : So, they are blockbusters, which means that they are all, the end formulation market is more than a billion dollars.
Naveen Baid : Individually , for all three of them?

V.K. Singh : Yes, of course. Individually. And this, I am talking of only the Onco opportunities. I am not including the fragments that we are doing for GLPs where the opportunity size, as far as the end product is concerned, as you know, is significantly larger.
Naveen Baid : Thank you. That was helpful.
Moderator : Thank you. Next question is from the line of Ravi P urohit from Securit ies Investment Management. Please go ahead.
Ravi Purohit : Yes. Hi. Thanks for taking my question. Sir, the Sweeteners new product that we are, where we have tied up and we will be supplying to the anchor customer. Will we be shipping some of it from Maha d or is it going to be exclusively done from the Vizag facility? And whether these kind of products also need any kind of US FDA inspection and approvals or that is not required in this case?
Shiven Arora : So, US FDA does not fall under this particular category. It is more about different respective regulations for food safety. It will be offered in the interim period from our multi -purpose facilities. But just wanted to clarify that there is one anchor customer , but there are a range of customers that are on our radar. We will make the right noise once the plant is ready. But they will be more than happy to buy it from us as well.
Ravi Purohit : So, this will ex clusive ly come from Vizag. It will not come in the existing facilities that we have. So, we don't really have any place to kind of make that in the interim. This is essentially we are talking of once the new Vizag facility comes up , right?
Shiven Arora : See, a major needle mover would be the Vizag facility. But at the same time, there will be some movement, some traction from our existing plants. But at this particular volume and once you have to be competing with the Chinese price, it is more about the engineering and the scale. So, this will be a specialized plant just like our flow -through synthesis that we are doing in Mahad.

Just the higher level of automation, there will be quite similarity between these two particular blocks.

Ravi Purohit : And d o these kind of things come with like some long -term off -take agreements with the customers? And we have seen a few CDMO projects in India where the customer has actually kind of gone ahead and funded some of the CAPEX requirements of the CDMO company or have kind of done some sort of long -term arrangement, off -take arrangement. So, are we looking at similar structure here? Or is it like an annual affair that you will be supplying certain amount of goods every year?

Shiven Arora : The commitment, off -take commitment typically with some of these angles that we speak in the CMI, in the Sweet ener segment are long -term in nature , r

ight? But given the company's strong financials and strong net cash position, we typically have been funding the CAPEX from our internal accruals. And with the growth we envisage, we should be able to maintain this trend going forward.

Ravi Purohit : And sir, on the Pharma Intermediates, particularly for B empedoic A cid, right , we have a certain amount of capacity. Could you kind of roughly indicate what kind of patient pool can it address? Let us say, for example, if we have 100 metric tons or 180 metric tons capacity per annum. Now, the B empedoic Acid from intermediate to API requires a certain conversion and then from there to the final formulation ?

Shiven Arora : It is a complicated math, but I will just simplify it the way we look at it. This has been in close discussion with the innovators also. So, when we build capacities, not just for Pharma Intermediate, but the CMI vertical also, we look at a 5-year view. And given this 5-year view, we have developed this kind of capacity. The ramp -up could be accelerated or could be delayed by 12 -18 months. But given the trends, given the projections, I think it is fairly moving well.

Ravi Purohit : What I meant was, next year, let us say , 2 million patients are taking this drug, right? So, would that mean?

Shiven Arora : I don't want to give a specific number because there are CDAs involved. And it is sometimes inaccurate to just give a specific number also. So, fundamentally, you should understand what is the company's view in terms of capacity build -up, whether it is in anticipation of an order or working very closely with the customer ? I think the latter part is well entrenched in our strategy.

Moderator : Thank you. Next question is from Deepak Poddar from Sapphire Capital. Go ahead, please.

Deepak Poddar : Thank you very much, sir, for this opportunity. S ir, I just wanted to understand, first up, now a couple of reasons that you mentioned because of the revenue decline that we have seen in this quarter was the transit time and de -stocking in the channel inventory. So, I just wanted to understand, as we speak, has the situation normalized in terms of transit time as well as in terms of the channel inventory? And can one expect normalized growth from this third quarter onwards?

Shiven Arora : We don't give a guidance, Deepak, but in terms of the question, I think this has been asked and also answered in different ways. So, I think we are in line with what we believe for these respective segments.

Deepak Poddar : So, has the transit time, which has increased to 60 days, has reduced now?

Shiven Arora : See, we live in a very dynamic world. It is somewhat similar, to be honest with you. But some vessels are getting rerouted in a more optimized manner. Some are taking that 50 -60 days. So, we are trying to optimize things as we speak.

Deepak Poddar : Understood. And do we have any exports to US as well?

Shiven Arora : Very limited.

Deepak Poddar : Underst ood. And just one final thing, we are adding capacity at Maha d, right?

Shiven Arora : Sorry, the US number would be less than 5% of the overall revenues.

Deepak Poddar : Less than 5%. And is there any tariff impact we can see there?

Shiven Arora : Again, it i s a very dynamic world we live in.

Deepak Poddar : And just one final thing, we are adding capacity at Mah ad, right? So, is it entirely for backward integration?

Shiven Arora : Backward for the CMI and also there are other derivatives that could be used for not just , so backward integration is for bottomline expansion and the other derivatives would be used for the topline expansion. So, it is again taking a 5 -year view and the growth in the segment. And it just strengthens our position in the segment particularly.

Deepak Poddar : I got it. That

is very helpful, sir. That would be it from my side. All the very best to you. Thank
you.
Shiven Arora : Thanks, Deepak.
Moderator : Thank you. Next question is from Alankar from Kotak Institutional Equit ies. Go ahead, please.
Alankar : Hi. Good evening, everyone. Sir, firstly, what was the utilization rate in the PI -API facility in
this quarter? And also, if you could give the utilizat ion rate at the aggregate level?
V. K. Singh : Hi, Alankar. O n a quarterly basis, it is not possible for us to give utilization rates. But on an
annuali zed basis, like we said in the previous call, about 60 %-65% capacity utilization. And we
believe that we would stay in that range. There is headroom that we have provided for the uptake.
But in the near term, I think we will stay in that range.
Shiven Arora : But I understand why this question is being asked. We will try to clarify it in the coming calls
also.
Alankar : Yes, sir. That question was more related to the gross margin fluctuation. So, maybe on that,
Shiven, from a cost accounting standpoint, especially regarding the recognition of fixed cost
overheads, do you think you are adopting the right approach? While I understand the volatility
in the PI -API segment, it is just that the extent of gross margi n volatility seems way too high?
Shiven Arora : We are aware of it. And this has been validated multiple times. It is just that the growth is quite
radical in the PI segment and we will try to connect offline and perhaps dwell a bit more into the
segment for the concept you are trying to refer.
Alankar : Understood. And just one question there as a follow -up with sales in the cardiovascular molecule
likely reaching more normalized levels going forward compared to the levels we saw from, say,

the 3rd quarter FY '25 to 1st quarter FY '26 , should we expect lesser volatility in gross margins
here on?
Ganesh Karuppannan : With current portfolio, if you take it on an annualized basis, it will be more or less stable. You
won't see this volatility.
Alankar : So, on a quarterly basis, this could continue, this kind of volatility?
Ganesh Karuppannan : It depends on how the customer picks up the order. I think volatility happens purely because of
this and this hap pens only in the contrast media . As far as the PI -API is concerned, whatever we
produce, we sell. And there it is Ex Works . So, we don't have this issue of transit and all. So, we
don't have that sort of an issue as far as PI -API is concerned. This is very specific to a particular
customer who has this incoterm .
Alankar : Sir, just one last question there. If I look at the issue in the 1st quarter, when our gross margins
came down to 48%, wasn't it because of the PI -API segment? And please correct me if I am
wrong. Or was it, as you are saying now, it was because of the CMI segment?
Ganesh Karuppannan : It is purely on account of contrast media. If you notice, the transit was very low in Q1. And this
number we can actually see from the printed financials. What you see is, Rs. (-50) crore s in Q1,
it will be (+70).
Alankar : Thank you, sir. That is it from my side.
Ganesh Karuppannan : We can connect offline .
Moderator : Thank you. Next question is from R usmik Oza from 9 Rays E quiResearch. Go ahead, please.
Rusmik Oza : Yes. Thanks for the opportunity. I have two questions. First is on the molecule that is on the
Bempedo ic Acid. How much of this product, in terms of the innovator requirement is made from
our company? And second question, in the same regard is, one of the competitors, Neuland
Laboratories also expanded its capacity by 100 metric tons in this space. So, do you see any
threat or any competition in terms of fulfilling the dem ands of innovators on this side?
Shiven Arora : There are strong CDAs in place, and it is very hard to comment on any other company. Our tr

ack
record has been quite solid with the innovator, and hence this growth that you ha ve seen and
which has translated into numbers as well. So, we believe if we are honest to our efforts and our
execution plans, we should be able to capture a decent amount of growth in the next coming
years.
Rusmik Oza : Thanks. And the second question is regarding the backward integration at Mahad. Once th e first
phase comes in, how much of your requirements of whatever raw material intake gets covered
by this CAPEX ? And in terms of margins, how much headroom or improvement in margins do
you expect from this backward integration?

Shiven Arora : We will continue to buy some material from our existing partners. Since it is a critical raw
material, it is important to build resilience in the supply chain. So, margin expansion will be
gradual in nature. It will be spread out over the next few quarters. It is more about building more
stability and resilience.

Rusmik Oza : But is it fair to assume that the majority of your requirements will be met with this backward integration?
Shiven Arora : So, the capacities are big enough. So, we have again taken a long -term view. If we want to accelerate, we can accelerate much faster. But I think it is more important to think about the business continuity and all the risk mitigation strategies when you are trying to build long -term partnership with R&D.
Rusmik Oza : And just a follow -up question, sir. I just want to understand what is the size and opportunity of Bempedoic Acid based on your combination of usage is going to increase and so on and so forth. What is the scale, size, opportunity of this and how much of that can be catered by our company? That is my question ?
V. K. Singh : So, as Shiven mentioned, we have taken a long -term view for the capacity. So, as far as capacity is concerned, we are very well placed. The second, you asked about competition, this, that. So, we are not privy to what type of capacity is being put up. But the molecule is growing very fast. So, there is space for us and for any other competitor. The other thing is that we are protected with long -term contracts. And if you see the data, the primary source of supply is us , besides the opportunity is extremely big and the triple combination could be a game changer.
Rusmik Oza : Thank you, sir. That is it from my side. Very nice to hear that at least we have covered and there is a little threat from competition. Thank you, sir.
Moderator : Thank you. Next question is from Shradha from Neo AMC. Please go ahead.
Shradha : Yes. Hi. Thank you a nd good evening. Just wanted to understand on the contrast media side, as you explained that a lot of transit issues were there in this quarter, which are gradually getting resolved. And also given that we are entering new segments like the MRI, CMI. So, what is the kind of visibility as our CFO was referring in one of the earlier questions that it should be more steady state. But isn't it that we were earlier talking of going at least to the FY '23 levels in the CMI segment. So, just wanted to understand t he visibility over the next 12 -18 months in the CMI segment?
Shiven Arora : Very encouraging, Shradh a. I think it is just that we don't want to give a specific number to the growth , right . We are just being a bit mindful about it. But there are two needle movers. One is the NCE molecule for the MRI space. It i s growing extremely well. You can see the reports about it, which are quite easily available. And on the iodinated intermediate for contrast media, that also the capacity is ready and the product is being validated. So, things are looking good from that standpoint also for a 12–18-month period.

Shradha : Sure. Thank you. That is all from my side.
Shiven

Arora : Thank you.
Moderator : Thank you very much. Ladies and gentlemen, in the interest of time, that was the last question. I now hand over the conference to management for closing comments.
Shiven Arora : Thank you all. I really appreciate the questions being asked and looking forward to our future interactions.
Moderator : On behalf of Blue Jet Healthcare Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

(This document was edited for readability purpose.)

Call: Feb 2026

February 17, 202 6

To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400051

Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarte r and nine months ended December 31 , 2025

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter and nine months ended December 31, 2025 held on February 13 , 2026.

The same is also available at: https://bluejethealthcare.com/investor -presentation/

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)

"Blue Jet Healthcare Limited Q3 FY26 Earnings Conference Call”

February 1 3, 202 6

MANAGEMENT : MR. SHIVEN AKSHAY ARORA – MANAGING DIRECTOR

MR. V. K. SINGH – CHIEF OPERATING OFFICER

MR. GANESH KARUPPANAN – CHIEF FINANCIAL OFFICER

MR. SANJAY SINHA – DEPUTY CHIEF FINANCIAL OFFICER

Blue Jet Healthcare Limited
February 13, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to Blue Jet Healthcare Limited Q3 FY26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
For cautionary remarks, I now hand the conference over to Mr. Advait Bhadekar from Ernst & Young. Thank you and over to you, sir.
Advait Bhadekar: Thank you, Bhoomi. Good evening and a warm welcome , everyone to Q3 & Nine Months FY26 Earnings Call of Blue Jet Healthcare Limited.
Please note, the "Investor Presentation and the Financial Results" are available on the company website and the stock exchange s.
Also, anything said on this call , which reflects our outlook for the future, or which could be con strued as a forward -looking statement , must be reviewed in conjunction with the risks that the company faces.
The conference call is being recorded and the transcript along with the audio of the scene will be made available on the website of the company as well as on the exchange s.
Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in press or media without the specific and written consent of the company.
From the management, we have with us today, Mr. Shiv en Arora -- Managing Director ; Mr. V. K. Singh -- Chief Operating Officer ; Mr. Ganesh K aruppannan -- Chief Financial Officer , and Mr. Sanjay Sinha -- Deputy Chief Financial Officer.
Now, I request Mr. Shiv en Arora , Managing Director of Blue Jet Healthcare Limited to Provide You with the update for the Quarter and Nine -Months ended, 31st December 2025. Thank you and over to you, sir.
Shiven Arora: Thank you, A dvait. Good evening , everyone and thank you for joining us today. Let me begin with a few business and strategic updates before we hand over the discussion to our COO.

Blue Jet Healthcare Limited
February 13, 2026

Vizag Greenfield Project :
We are pleased to announce that the groundbreaking ceremony for our Vizag project is scheduled for this month. This Greenfield site represents a pivotal growth platform for Blue Jet Healthcare. In Phase -1, we will be setting up a dedicated capacity for API and intermediates , focused on new products aligned with customer requirements. This project was approved by a board with a total investment plan of Rs.1 ,000 crores over the next three to four years. The initial capacities under development are aligned wit h customer demand and long -term business visibility
We believe the scale, infrastructure and the geographic advantage of Vizag , will strengthen positioning as a reliable global partner in complex chemistries.
Hyderabad R&D Expansion :
We have successfully secured lease space for R&D activities in Hyderabad. Development work is expected to commence from Q3 FY27, further strengthening our innovation pipeline and technical capabilities.
Artificial Sweetener Pipeline :
As a part of our focus on specialty ingredients, we are initiating a few exhibit batches of the new artificial sweetener in FY27. This will complement our existing high -intensity sweetener portfolio and address a growing segment of global demand.
In terms of CAPEX Update of Unit 3 :
Our expansion project is nearing completion. The block is designed for key intermediates in contrast media. The facility incorporates robust safety, environmental and automation systems , and is expected to be ready for qualification in Q1 '27. It will play a key role in de -bottlenecking our supply chain and supporting future growth.
On this note

, I would pass it on to my colleague, Mr. V. K.
V. K. Singh: Thank you, Shi ven, and good evening, everyone.
Let me take this opportunity to expand on our Operational Progress, CAPEX Execution and

CDMO Pipeline Momentum :
At our Mahad Unit -3 site, the core block for backward integration into contrast media intermediates is nearing completion. This facility has been designed for one key side chain in our contrast media portfolio, a step that not only improves cost -competitiveness but also provides strategic independence from raw material volatility. We have embedded a very high level of automation into this facility

alongside strong safety and environmental design. The site is on track for validations in Q1 of FY27 , and we have incurred a cumulative CAPEX of approximately Rs.146 crores to -date. This plant exemplifies our approach to securing supply chains and def ining leadership in complex high barrier segments like iodinated contrast media.
On the R&D and CDMO platform expansion that Shiven touched very briefly, over the last 18 months we have doubled our R&D infrastructure and talent pool.
As a part of our next phase, we are investing about Rs.40 crores to build a new R&D center at Hyderabad , focused on emerging technologies including intermediates for GLP -1s and some other chronic therapies, peptide chemistry, bio -catalysis, and a faster turnaround of CDMO -tailored late phase RFPs. This expansion is designed to support a growing CDMO pipeline, particularly high conviction phase -3 and commercial stage opportunities.
Currently, we are tracking around 20 active RFPs. Of these, six are high conviction phase -3 programs , including a couple of GLP -1 candidates and one contrast media NCE. Two are commercial products that may evolve into strategic lateral entries with dedicated capacity planning.
We are also ramping up customer engagement including onboarding a senior resource in Europe.
On Sustainability and Operational Excellence :
We continue to embed sustainability into our operations. 70% of our power consumption is now met through wind and solar. Our team strives for atom efficiency in synthetic chemistry and sustainable process design.
We have been recently recognized by the CII and have been awarded the National Award for Excellence in Energy Management.
On the Operations side:
We have built a dedicated process excellence department , supported by strong additions in engineering , quality and supply chain.
As a company, we believe in building scale and you see the same happening at Vizag, Maha d, and our R&D platforms. We remain sharply focused on reliability, responsiveness, and readiness to support our customers across the life cycle from clinical intermediates to long -term commercial supplies.
With this brief, I will request Sanjay to take it forward.
Sanjay Sinha: Good evening , everyone.

So, I will first take you through Year -on-Year Performance :
Revenue from operations has decreased from last year which was 3,184 million whereas this quarter it was 1,924 million.
So, revenue from operations decreased by 40% and EBITDA decreased by 62% and PA T decreased by 39%.
Coming to Q oQ Performance :
The revenue from operations has increased by 16%, EBITDA decreased by 15%, and PA T decreased by 23%. The increase in revenue is mainly towards increase in contrast media and where the dispatches were much more higher last quarter and got recognized this year.
Offtake of our flagship product was very stable and will continue to be a major supplier.
Gross margin for Q3 was at 52%, slightly lower than our normal trend , mainly due to change in product mix and one -time write -off of inventory.
EBITDA stands at 2 4% for the quarter, lower mainly due to operating leverage of lower sales volume.
One-time impact of labor c

ode implementation and of course engagement of certain foreign consultants.
So, nine months -to-nine months year -on-year, the revenue from operations increased by 3% and EBITDA decreased by 6% and PA T decreased by 6%. The increase in revenue from operations was due to increase in sale of PI in this period .
Gross margin was at 53% compared to 50% last year. This is mainly due to product mix.
Company reported a robust other income in nine months period with 45 million revenue.
With this, we can open the floor for question and answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Amlan Das from JP Morgan. Please go ahead.
Amlan Das: Hi, sir. My first question is regarding the destocking impact that you have highlighted in your opening

remarks. So, my question is when do you see this d estocking impact going away and how do you see this year ending, especially on the 4th Quarter? So, do you expect growth to recover on your FY25 base in the next year or how should we think about the quarters ahead regarding this?

VK Singh : Hi. Thank you for the question. See, there is clearly some channel inventory for which there is some de-stocking happening. But at the same time, there is a supply chain realignment that is also happening. And the reason for some subdued orders can be contributed to both of these. Now, our assessment is that it might take a couple of quarters for this to get completely realigne d. But, if you would see that over the past nine months also, we have done significant volumes as far as our API , PI verti cal is concerned. To further corroborate the potential and the optimism that we have for this molecule, you need to understand how the end molecule is faring. Month -on-month I would say, it is still showing good mid -level two -digit growth. And new markets are also opening up, like a very big market, that is Japan is opening up. And there are a lot of markets in the emerging geographies that are opening up. And the launch in Canada still is going to waiting traction. We are still very bullish on this product . We do not see any concern or issue.
Amlan Das: All right, sir. Thank you for the answer. My next question is regarding the contrast media segment. So, I just wanted to understand over the, say, past couple of years, how many launches have you done in this segment? And then how has it contributed to your revenue so far? And any product that you would like to call out, which has been a meaningful contributor to you? And how is your market share in this product fared so far?
Shiven Arora : Typically, in contrast media, there were two needle movers for us. One is an advanced intermediate for the existing product that we make, which is currently under validation, wherein we have the capacity ready for the next five years. And the second molecu le is the NC E intermediate, which has done well for us in the past 12 - months. As you recall, in December '24, we had commenced a new line for this NC E intermediate. So, I think keeping these two together, we have capacities on stream. One is getting validated. One is already scaled up. And the growth outlook in these two molecules is extremely encouraging. So, these are the two major launches. The third one, which is more of a backward integration play, and we spoke about a line which is under validation in unit -III. This also could be a significant strategic needle mover for us, both on the bottom line and also on the top line.
Amlan Das: So, how is the market share fared in this product? So, can we assume this market share to be sustainable, or have they gone down recently in your key products? So, how do you think about it?
Management: These are very sticky relations. And in most of these cases, these are backed by multi -year supply agreements. So, we f

eel that depending on the order flow, it is just about execution. And in terms of the development of these molecules, we have done considerable work. So, we are very confident about the qualities and the order flow to go through very soon.
Amlan Das: Thank you, sir. So, I just wanted to understand, in your PI , API pipeline, how do you think about it in the next couple of years? So, how many molecules do you have in, say, the late stage or phase -III assets in your PI , API pipeline right now?

VK Singh : So, the late stage assets are about six. And I think they will start kicking in about two years from now.
Amlan Das: All right, sir. Thank you. Those are my questions.
Moderator : Our next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Yes, thanks. Thanks for taking my question. I have got a few of them. First, on the margin, in the presentation, you mentioned that the product mix and the inventory write -off has hurt the gross profit margin. I think with increasing contribution from contrast media, the mix has only improved. And can you give us more color on the inventory write -down? What and which product and how much did it hurt? Because the gross profit volatility has really been all over the place and need to have a little more grip over that , that would be really helpful ? That is number one. Number two, you did mention on the realignment of the supply chain for Bempedoic acid. Where are we in that realignment? Because one of our peers in India has also added up a lot of capacity. So in this realignment, how do we look at our contract? We were at 120 metric ton s earlier. Will it positively benefit us? Will it negatively benefit us? And this de -stocking phenomenon, when should it get over and we should start looking at volu mes coming back? So these are initial two questions. Thank you.
Sanjay Sinha: If you see gross margin on a YTD basis is around 53% compared to 55% last financial year. So , it is only a difference of 2%, out of which roughly 1% impact is on certain inventory write -offs, which are old stock, which was sitting in our inventory. 1% impact is there. And balance 1% is basically a swing because of product mix.
Sanjesh Jain: No, I thought product mix has improved. That 1% should have been positive. So what we are talking is much bigger impact there ?
Shiven Arora : Just to give you some more idea, in contrast media, we have two approved vendors. And in the past

quarter, we had sort of increased the offtake from the European supplier. And that could have had a marginal impact on the main product of contrast media. But at the end of the day, both contrast media and the pharma intermediate s vertical is highly profitable with gross margins over 50%. And in some cases, about 55%. And on the stocking and destocking , I can not give specific guidance. But I think with the molecule gaining new entries in new markets, and the growth outlook definitely is very encouraging , the capacities are on warm standby. And we are already discussing encouraging volumes with our target customers for FY27 and beyond.

Ganesh Karuppannan: Maybe I will just explain a little bit more on the gross margin. Remember, last quarter, we actually talked about change in finished goods and WIP where goods in transit was pretty high. I was actually talking about overhead getting inventorized. So , to that extent, our gross margin in that particular quarter went up to 65% , because we had a very huge goods in transit, which did not reach the customer destination as of the end of the quarter. Now that, whatever overhead which gets

inventorized actually gets released into this quarter, when you actually like book the revenue , that is how the accounting works. So , to that extent, you would actually see a sligh t

dip in the gross margin.

The way Sanjay put it, if you look at cumulatively for nine quarters, whatever number we were actually like committing, we are in that similar range ; 50% to 53% of gross margin. And if you look at products like Saccharin , there is a little bit of price erosion. So , that would have actually contributed marginally to reduction in the gross margin.

Sanjesh Jain: That is very helpful, Ganesh. I think that is clear. On the realignment on the Bempedoic value chain, can you help us understand what exactly is happening? And how is it going to benefit us?

VK Singh : Sanjesh, I think it is a little premature on our part to comment on it. But all that I can say is that it will work in our favor. And it is not that supplies from Blue Jet are not going and somebody else is supplying. Or the end molecule is not doing well. So it is neither the case. So I think it is just about some realignment and channel de -stocking. And you must also understand that these are advanced intermediates. So , any change will have a regulatory pathway. And we were the primary suppliers in the past. And we believe that we will continue to be the primary suppliers.

Sanjesh Jain: That is clear. F Y26 has been quite subdued on the growth side. What gives us the confidence that FY27 should be better than F Y26 in terms of revenue growth and on the operating leverage helping to regain the margins?

Shiven Arora : I will answer this question by giving you some perspective about the capacity utilizations. And the two major lines that we have created – one, for the cardiovascular molecule and the other one , was for the NC E intermediate on contrast media. Both of them would be positively contributing for F Y27, which is backed by some customer orders. And you have seen in the past year, we have been able to scale up both the molecules well. So there is one thing that you add capacities , but at the same time , successfully scaling up with the right efficiencies . I think there is a proven track record. The third incremental aspect would be the backward integration play for the contrast media intermediates in Unit-III. While the top line growth will happen after certain customer audits, validations, but as soon as the line is commenced , we ourselves are a customer for this critical raw material. And this will gradually impact the bottom line in the next coming years and some marginal top line growth. So these three molecules we discussed . And the fourth one is the iodinated contrast media, which the validation took longer than expected. But , the forecasts are very encouraging. And this keeps us very positive in terms of the F Y27 outlook.

Sanjesh Jain: And from the API , PI basket, we are not looking at any new product to come in FY 27?

Shiven Arora : We are. But I think we would be giving a positive update in the next quarter for that. There is something very encouraging cooking, but I think we would be in a position to share that in the next quarter.

Sanjesh Jain : That is clear. Thanks for answering all those questions and best of luck for the coming quarters. Thank you.

Moderator : Our next question comes from the line of Shyam Sampat from MSE Capital Partners. Please go ahead.

Shyam Sampat: Hello, sir. Good evening. I just wanted to understand firstly on the Vizag land that you mentioned that we have taken pos session. Keeping that in mind, will our CAPEX deployment schedule look like for the next F Y27 given the current volatility that we have with pharma intermediates , how will you be facing this CAPEX ?

Shiven Arora : So, I think as per the board approval, we have committed a CAPEX of Rs.1,000 crores over the next three to four years. And sp ecific targets for FY 27, we will give you in the next quarter. But having said that, the CAPEX that we are doing in Vizag is for specific projects which have customer d

emand.
This is not capacity creation in anticipation of a particular order. These are products, candidates that have been discussed for many years with our end -customers. And this has no correlation to the specific product in pharma intermediate s we spoke about.
Shyam Sampat: Alright, understood. S ir, the next question that I have is regarding contrast media. In the presentation, you mentioned that the top four players hold 75% of the share. So, will our strategy be looking like gaining more wallet share now with those players?
Shiven Arora : Yes, those three, four needle movers that we spoke about in terms of the portfolio , will definitely contribute to the increase in the wallet share. Because again, our target is to be a small partner to these large innovators and be a part of their growth story.
Shyam Sampat: Alright, sir, understood. Sir, regarding the presentation on page #6, we had a line mentioning that EBITDA was impacted by engagement of a foreign consultant. I just wanted to understand the nature of this engagement -- is it one -off or recurring?
Shiven Arora : This would be a recurring expense. And it is more strategic in nature.
Sanjay Sinha: These are all European -based consultants who will be helping the company in strategizing and transforming. They will add a lot of value to the idea.
Shyam Sampat: Okay, sir. Thank you, sir. My last question that I have is regarding EBITDA margins , we have been seeing negative operating leverage. So, I just wanted to understand what kind of revenue threshold do we think we should expect to get back to the 30 %-plus margin mark?
Ganesh Karuppannan: That is a combination of product gross margin. Unfortunately, we cannot guide on those numbers.
Shyam Sampat: Alright, sir. That is all from me. Thank you so much and all the best to you.

Moderator : Our next question is from the line of Nikhil Upadhay a from SIMPL. Please go ahead.
Nikhil Upadh aya: Yes, hi. Good evening. My question was on this API , PI product. See, last quarter when we had the discussion during the same call, you mentioned that we are bound by the order and we see visibility on the amount of up tick. I understand the innovator is renegotiating the orders and all, but when the renegotiation happens or a new supplier comes in, how does the business breakup happen between the two suppliers , because as you said, we would be part of the filing of the innovator and all. So , is it like, do you see a risk that from what we have done historically, there could be some or substantial drop, or is it like a minimum commitment that this will be maintained and incrementa l will go like just some sense because we do not know how these things happen , so just some sense how the contracts get renegotiated ?
Shiven Arora : So I think, a very, very fair point. And I think I would want to give more clarity on this aspect because it is a considerable part of the overall revenues at this point in time. See, any new supplier entering has a regulatory pathway. That is #1. #2, we have spoken about the end molecule growing and entering new markets. So , this is, if you read about the molecule, the indicators are very positive. And if at all, there had to be a need to be cautioned at this point in time , from an FY27 persp ective, it would be our duty to highlight it. But we do not see those indicators at this point in time. So we are still positive around this molecule, and we just have to be a bit patient around it.
Nikhil Upadhaya: I appreciate that fact. But what I am trying to understand is that if you look at FY27, the volume or the amount of business which the innovator would be taking from you, are these firm orders which are signed or is it like it will be more closer to starting of like financial year '27 and these would be signed? Are these signed orders that okay, this much we will be gett

ing , just to get some confidence,
that is all ?
Shiven Arora : No. So there are binding forecast . And there are confirmed purchase orders. But at this point in time, it is very difficult to give specifics around that. And hence, there is no need to be worried about the outlook for '27.
Nikhil Upadhaya: Okay. And secondly, if we look at the incremental pipeline from here, there are two contrast media products , and one more API , PI product, which you mentioned. By the time '27 ends or we get into '28, would you see that the business would become more diversified versus what we have today or would you say that concentration to a few molecules will still remain very high?
Shiven Arora : A bit of both. Because the new launches that we spoke about in contrast media, I think they are large molecules at the end of day. So , when we set up capacities, we look at an incremental growth year -on-year for the next five years wherein we are ready for that requirement. And with the new launches in pharma intermediates, yes, there would be some lumpiness , because that is the nature of CDMO. So you should have a two, three -year outlook. But, yes, the idea and the endeavor is to definitely a dd

more molecules , and that is one of the reasons the Vizag CAPEX has been announced and we are looking at it very positively.
VK Singh : But, if you would see the numbers two years back and now, you would see that both product and client concentrations have significantly improved. So , I would imagine that we are on the right track and it should stay the same , I mean, it should improve further.

Nikhil Upadhaya: Okay, sir.
Moderator : Our next question comes from the line of Avneesh Burman from V aikarya. Please go ahead.
Avneesh Burman: Hi, good evening. Thanks for taking my question. I had a question on this new PCSK9 inhibitor. I do not know whether this was answered or not. But my question is about this new Amsterdam product called O bicetrapib. And how do you think , when it gets launched in the two years hence, how does it compete with be mpedoic acid, given the fact that the results and the trials have been pretty encouraging for this product?
V. K. Singh: I mean, of course, the molecule is very potent and it has strong USPs around it. It is very difficult to make such predictions as to how it will fare because what matters is the phase -IV data. Phase -IV means that post -launch marketing surveillance data. That is also very critical. There is a pathway for getting to the prescriptions on the physician table. By that, I mean that you need endorsement from certain, cardiologists and you need phase -IV and you need outcome trials. So while, even if this is a great opportunity, it will take a while for it to gain traction. And regardless of that, I think, it is a new molecule. So you have to wait and watch just in case there are any adverse reactions or whatever. So, I think as far as our opportunity is concerned, we are in a very, very safe zone. That is what we believe. And that is what the indication is that we have. Beyond this, I do not think I am capable to comment.
Avneesh Burman: Okay, thanks. That helps. Just one question is regarding the contrast media. I mean, I know that second quarter was marred by some transit issues. But if you look at the nine -month s revenue and compare it, the growth is flat. So , when do we expect like a material double -digit growth here, if that is possible?
Shiven Arora : In terms of providing an outlook would be difficult. But I think when I was trying to say that there is a scale -up around three molecules , and molecules are of large volume, high -value products.
Avneesh Burman: Yes. You talked about this one, the NCE product. Can you also talk a little bit about the iodinated CM product , I mean, what could be the realizations here? And what are the target volumes here

and
timelines , I mean, when can we see commercial launch for this product?

V. K. Singh: So in FY27, you will see the commercial launch. And the ramp -up will happen from Q1 itself, is our understanding. The value per Kg, it would be higher than our main molecule because it is a forward integration thing .
Avneesh Burman: Okay. And what kind of volumes can we get from here , let us say in the second year, FY28?
V. K. Singh: That is difficult to comment right now.
Avneesh Burman: Okay, no problem. I will get back in the queue .
Moderator : Our next question comes from the line of Sujit Lod ha from ICICI Lombard. Please go ahead.
Sujit Lodha: Hi, sir. Just one thing is on the pharma industry, while all the other questions are being answered. So on numbers, while I understand that the contracts are fluid and we do not have quarterly numbers and it is very difficult to guide on that. Just a small number here that last quarter same year, we did a pharma intermediates revenue of about Rs.146-odd crores , which is roughly about Rs.40-odd crores in this quarter, right? Sir, what is the quarterly number one should look at for FY27 or what is the annual number one should look at -- is Rs.145 crores the right number or is that exaggerated or is Rs.40 crores a very underestimated number , should it be somewhere in between , what is the right number one should look at in terms of normalcy of the supply chain and inventory if that happens?
VK Singh : See, one is that we normally do not like to give a guidance like this. The second is that it all depends as to how the orders they pan out. I think just wait for a quarter. And then the run rate that you will see from that run rate, you can extrapolate.
Sujit Lodha: Okay. So a quarter is what you are saying more will take for the things to normalize is what your understanding is ?
VK Singh : I think that is a fair assessment to make.
Sujit Lodha: Okay. Got it. That is it from my side.
Moderator : Our next question comes from the line of Ankush Mahajan from Sanctum W ealth . Please go ahead.
Ankush Mahajan: So, thanks for the opportunity. I just try to understand s ir, that if the end product is giving a growth of mid -double digit growth, that is showing strong prescription on their side also. New markets are also expected to grow in Japan. So, just try ing to understand the nature of this supply chain, how this stocking and destocking happening actually , so would you throw some more light actually? Because the end product is doing very well , growth is there , then they stock it at the earlier level. Can we say before two, three quarters, they stock up raw material earlier at two, three quarters before the launch and something like that ?

VK Singh : We supply the advanced intermediate and this gets converted to the API and which gets converted to the formulation s. So from the point of supply to the point of purchase, there is about nine to ten months. And when the molecule is new, then you -

Ankush Mahajan: So, this is the lag of three quarters ?
VK Singh : Yes, it is so difficult to give some sort of a number , I mean, if you are trying to create a model, but then broadly, yes, that is the type of guidance that you can work with.
Ankush Mahajan: But still whatever the number they are releasing, the growth is there.
VK Singh : Yes, growth is there , and that is why we have been saying that there is channel inventory and there is some destocking happening and you will see the numbers revive very soon. Just be a bit patient.
Shiven Arora : I think there are from a stocking scenario to a limited product. I think we are at the end of the transition.
Ankush Mahajan: From the last two quarters, we can say that there is destocking.
V. K. Singh: Not from the last two quarters, but yes, last quarte

r we did. But maybe, we could take it offline if you have more concerns and queries on this. We can explain more about the end molecule and there are some reports available on line about the end molecule in terms of how it is entering the market , that could be a good indicator for absorption.
Ankush Mahajan: Thank you very much.
Moderator : Our next question comes from the line of Shashank Krishnakumar from Emkay Global Financial Services. Please go ahead.
Shashank Krishnakumar: Yes. Hi, thanks for taking my question. So , my first one was on the six late stage assets. I think in the last call we did indicate that we have seen some RFPs for one phase -III and two commercialized products. So anything incremental in terms of updates that you might have to share , whether we can see some of these getting converted into orders say sometime next year, FY28 , any update there?
V. K. Singh: Just wait for some more time. I think they are moving very fast and in the right direction. Last time we spoke about two lateral entries. Very advanced conversations are on both of them. And to some extent, the capacities that are envisaged at Vizag , will be also catering to these opportunities. So , just give us a little more time and we will make some announcements soon. But all that I can say is that they ar e moving in the right direction, b oth the opportunities that we spoke about.
Shashank Krishnakumar: Thank you. That is helpful. And the second one on the new sweetener that we are looking to commercialize. Can we sort of expect it to start contributing meaningfully from FY27 or will this

largely be contingent on the Vizag capacity coming in and then we will probably start seeing this contributing to the sweetener revenue , how should we think about it?
Shiven Arora : I think between FY27 and FY28, there are certain milestones that we are working towards. I think in terms of the target capacity that we are targeting is about 10% or $1 billion. So , for a large molecule, there has to be some work at piloting in terms of proving ourselves to the target customers. So, I think in terms of the development, we are very confident. In terms of the pilot quantities in FY27, this will give us some very valid indicators in terms of continuous engineering. In the backwa rd integration in Mahad is a very continuous plan. That is why the CAPEX is optimized. And that would be the endeavor for this large sweetener as well.
Shashank Krishnakumar: Got it, sir. Thanks. That is it from my side .
Moderator : Our next question comes from the line of Vinay Shah from The Corporate Daily. Please go ahead.
Vinay Shah: Good evening, sir. My question is that management has attributed that the recent revenue decline is due to the customer de -stocking. However, during the high growth period of H2 FY25 to Q1 FY26, we observed a nearly 100% spike in trade receivables, rising from Rs.177 crores to Rs.350 crores . Could you please explain this period of significant credit -led sales and why it was immediately followed by two consecutive quarters of a sharp revenue slump?
Shiven Arora : I did not get your question. Can you repeat that, please?
Vinay Shah: We observed three good quarters, H2 FY25 and Q1 FY26, with a spike of 100% trade receivables from Rs.177 crores to Rs.350 crores. And after that, OFS happens and there are two slump quarters, back to back, wherein customer de -stocking is happening. And so the previous three quarters sales were led by credit. So can you please explain this?
VK Singh : See, this is normal when a new product is getting launched. I mean, if you track any new launches, then filling up the channel is very critical , because, getting the product to the patient and ensuring that any prescription that is written gets filled up, this is something, which is very normal in the pharmaceutical world. So, I mean, usu

ally that is how it happens. I am not able to get your concern.
Shiven Arora : See, I think if you see in the numbers also, my friend, I think in 2024, the PAT was around Rs.160 crores , in 2025, it became Rs.300 crores. So after listing, we have been able to double the profits. So, the endeavor of us is to definitely grow the company. And going forward also, the target launches that we are looking at, I think the outlook should remain positive.
Vinay Shah: Okay. Can we expect the next quarter to be better normalized ?
VK Singh : Again, as we said, we do not really give a guidance , but like we already mentioned, it may take a quarter or two for this particular opportunity to get back to normal , in fact, be better than the past.

Vinay Shah: Thank you.
Moderator : Our next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.
Alankar Garude: Hi, good evening, every one. Sir, if we adjust for the Rs.50-60 crores of goods in transit, which you had called out in the second quarter, the contrast media sales have actually declined on a sequential basis. And we also would have had the ramp -up of the gadolinium -based NCE and possibly some validation supplies of the iodinated product. So in this context, just trying to reconcile the low contrast media sales, was there any pricing pressure or any specific volume impact which you would li ke to call out?
Sanjay Sinha : First of all, there are no volume or pricing pressure as such. And as you rightly said, there was a huge, what you call, sales cut -off this last quarter. Cut-off essentially means dispatches have happened. So, those dispatches now got recognized. We spoke about it in last quarter also.
Ganesh Karuppannan: Alankar, just to clarify, the closing cut -off for this quarter is also similar to the opening cut -off. So you did not see the impact. But actually our dispatches, if you actually see from a production front, we have a pretty strong production of contrast media this quarter. And the cut -off for December is also similar to the opening cut -off. So , that is a pretty positive news as far as contrast media is concerned , and we should be recognizing that in Q4.
Alankar Garude : Okay. If I understood this correctly, sir, the goods in transit were higher in the second quarter. Was that the issue in the third quarter as well? And you expect it to be better in the fourth quarter?
Ganesh Karuppannan: It is a similar number. So , maybe if I go back to Q2, the opening of the quarter, we did not have too much of goods in transit. It was actually more in the closing. So, that is why you had a significant impact in Q2. But in Q3, both opening and closing are more or less similar. So , the business is as usual. There is a very steady -state of dispatches. So , like it is not that there is a one -off in Q2 which is not there in Q3. I think that assessment is not correct. You would actually see w hatever cut -off we have in Q3 , getting recognized in Q4.
Alankar Garude: Okay. Sorry to persist on this, sir. Just trying to understand the numbers. If you look at Rs.81 crores of contrast media sales in the second quarter, you had said about Rs.51 crores of goods in transit. And we have reported Rs.124 crores in this quarter. So , if I add that say Rs.51 crores to Rs.81 crores, the number is actually higher than the Rs.124 crores that we have reported. And we are expecting at least some ramp -up after the commercialization of the gadolinium -based NC E and possibly some validation supplies of the iodinated product as well. So , just trying to reconcile these numbers, sir ?
Ganesh Karuppannan: See, as far as the gadolinium category, the sale is constant. It is almost reaching some sort of a steady -
state, although the product is not comparable to the iodinated product. When you look at the key

product, our production and dispatches were higher in Q3 actually. The amount we recognized is even considering the opening cut -off, is a bit on the lower side actually. Because we still have the goods in transit for December -end. It is actually slightly more than what we have as opening. This point I can explain offline in terms of this reconciliation.
Alankar Garude: Got it. Okay. So, basically you are saying the gadolinium -based NC E was flat sequentially . And you mentioned about flattening out. I mean, are we expecting any growth here in FY27?
Ganesh Karuppannan: I would say it is a steady -state. And whatever purchase order we have received, the numbers are reasonably stable and sustainable. I think instead of a quarterly, maybe you will have to look at from a yearly perspective. From a yearly perspective, these numbers would be more sustainable.
Shiven Arora : I think just to give you an additional data point on this NC E molecule, I think I was just reading some reports. It is growing by high -teens. So , that is definitely encouraging from the future capacity utilization standpoint.
Alankar Garude: Okay. So , eventually there could be some growth ? Okay. Fair enough. The other question was VK, you said Blue Jet will continue to be the primary supplier for the PI, API molecule. What is giving us that confidence? You mentioned about being in discussions and there being some binding forecast, some purchase orders. But this point about being the primary supplier, especially given the realignment in the supply chain, which you alluded to earlier , just trying to understand this and if you could provide us some comfort as to what is giving us that confidence ?
V. K. Singh: One is the sheer momentum. Two is the quality. I cannot elaborate more.
Alankar Garude: Momentum of what, sir?
V. K. Singh: We have supplied large quantities in the past. You can see the data. Huge quantities have been supplied by us in the past. So, that is the momentum that I am talking about. And two, I think our quality is extremely consistent , because we are giving it from a very high -tech, automated and dedicated facility.
Alankar Garude: Okay. Understood, sir. That is it from my side. Thank you.
Moderator : Next, we have a follow -up question from Shashank Krishnakumar from Emkay Global Financial

Services. Please go ahead.
Shashank Krishnakumar: Hi. Thanks for the follow -up. I just wanted to check , so from a normalized gross margin standpoint, should we take this quarter's figures as the normalized margin , or is it likely to be closer to the nine -
month s figure , how should we think about it?
Sanjay Sinha: It should be between 50 % to 55 % depending on the product mix.

Shashank Krishnakumar: Okay. Got it. And just a last one is on the Vizag facility , what is the incremental P&L impact that we should try and build in, say, for FY27 , because obviously, this will get fully commercialized after a
point , but what is the incremental P&L hit in the near term which we should sort of expect?
Ganesh Karuppannan: Mostly, most of the Vizag expenses will be capitalized and we need to just see the portion of expenses
that cannot be capitalized , because it is going to be a Greenfield and I do not expect any significant
P&L impact.
Shashank Krishnakumar: Perfect. Thank you. That is helpful. That is all from my side .
Moderator : Our next question comes from the line of Andy from Rave Ventures. Please go ahead.
Andy: Hi, good evening. Thank you for taking my question. I have just one question. So, given the recent
moderation in operating cash flow and the announced Rs.1,000 crores CAPEX program , could you
elaborate on how management is thinking about funding this investment - is it like specifically how
do you expect to balance, say, internal accruals versus existing cash a

nd investments and let us say,
potential for external financing such as debt or equity? If yes, then what could be the guardrails
around levera ge or dilution as we execute on this CAPEX ?
Ganesh Karuppannan: Right now, we have Rs.410 crore s cash as of December. We will continue to use internal accrual for the initial phase of CAPEX . We have both opportunities open. We could actually tap the debt market
or we could also like use the capital market. Anyhow, we have certain headroom to be offloaded to
meet the minimum promoter stake of 75 %. So, we have all options. And as we get into long -term
contracts with the customer, we are also evaluating co -investment options. So, for us, being a debt -
free company, we have all options available.
Andy: Thank you so much.
Moderator : Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like to
hand the conference over to management for closing comments. Over to you, sir.
Ganesh Karuppannan: We thank you, all the participants, and we will meet you in the next quarter. Thank you.
Moderator : Thank you. On behalf of Blue Jet Healthcare Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your line s.

(This document was edited for readability purpose.)

Call: May 2026

May 29, 202 6

To,
BSE Limited
Phiroze Jeejebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code (BSE): 544009 National Stock Exchange of India Limited
“Exchange Plaza”
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400051

Symbol: BLUEJET

Sub: Transcript of the Earnings Call with Analysts/Investors on Financial Results for the quarter and financial year ended March 31, 2026

Dear Sir / Ma'am,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find enclosed the transcript of the Earnings Call with the Analysts/ Investors on the Financial Results for the quarter and financial year ended March 31 , 202 6 held on May 25 , 2026.

The same is also available at: https://bluejethealthcare.com/investor -presentation/

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Blue Jet Healthcare Limited

Sweta Poddar
Company Secretary & Compliance Officer
(M. No.: F12287)

“Blue Jet Healthcare Limited
Q4 and FY26 Earnings Conference Call”
May 25 , 202 6

MANAGEMENT : MR. SHIVEN ARORA – MANAGING DIRECTOR – BLUE JET HEALTHCARE LIMITED
MR. VK SINGH – CHIEF OPERATING OFFICER – BLUE

JET HEALTHCARE LIMITED
MR. GANESH KARUPPANNAN – CHIEF FINANCIAL
OFFICER – BLUE JET HEALTHCARE LIMITED
MR. SANJAY SINHA – DEPUTY CHIEF FINANCIAL
OFFICER – BLUE JET HEALTHCARE LIMITED

Moderator: Good afternoon, and a warm welcome, everyone, to Q4 and FY26 Earnings Call of Blue Jet Healthcare Limited. Please note, the investor presentation and the financial results are available on the company website and the stock exchanges.
Also, anything said on this call which reflects our future outlook or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded, and the transcript a long with the audio of the same will be made available on the website of the company as well as on the exchanges.
Please also note that the audio of the conference call is the copyright material of Blue Jet Healthcare Limited and cannot be copied, rebroadcasted or attributed in the press or media without specific and written consent of the company.
From the management, we have with us Mr. Shiven Arora, Managing Director; Mr. VK Singh, Chief Operating Officer; Mr. Ganesh Karuppannan, Chief Financial Officer; Mr. Sanjay Sinha, Deputy Chief Financial Officer.
I would now like to hand the call over to the management of Blue Jet Healthcare Limited for opening remarks. Thank you.
Shiven Arora: Good afternoon, everyone, and thank you for joining us today. FY26 has been an important year for Blue Jet Healthcare, a year in which we continued to invest in building the foundation of our next phase of growth across manufacturing, R&D , and customer engagement.
Over the last few quarters, we have remained focused on strengthening our position across our complex chemistry platforms while simultaneously expanding our operational capabilities and future growth infrastructure.
From a business perspective, FY26 reflected a mixed operating environment across segments. While the PI/API business was impacted by customer side inventory normalization, the contrast media segment continued to demonstrate strong momentum and partially offset th is impact. Importantly, despite near -term volatility, in parts of the PI segment, we continue to invest in future growth platforms, customer engagement and capacity readiness. Encouragingly, as we enter FY27, we are seeing improved visibility across several parts of the business, supported by healthy customer engagement in the CM segment and confirmed order visibility across select PI programs.
One of the key milestones during the year has been the commencement of our Vizag greenfield expansion project. With the groundbreaking ceremony completed and the project activities now underway, the project represents a significant long -term growth platfor m for the company and is being developed in a phased manner to support future opportunities across APIs and intermediates.

We believe the scale, infrastructure readiness and strategic location of Vizag will further strengthen Blue Jet's positioning as a reliable global partner in complex chemistry platforms.
Over the last few quarters, we have also continued to strengthen our development pipeline and R&D capabilities which we believe will support the company's next phase of growth over the medium term.
While FY27 will continue to be an investment intensive year for the company, we believe underlying momentum across our core businesses remains encouraging. As validation activities convert into commercial supplies and new capabilities progressively ramp up, we exp ect our investments across manufacturing, R&D and pipeline development to support the company's next phase of growth.
Just to summarize, FY26 has been a year of strategic execution and platform building for Blue Jet Healthcare. As we move into FY27, we believe that the company is gradually transitioning from an investment and preparation phase into a broader commercialization and growth cycle, suppo

rted by expanding capacities, improving business visibility , and multiple emerging growth opportunities. Thank you once again for your continued support and confidence in Blue Jet Healthcare.

I now invite Mr. VK Singh to share further operational and business updates, followed by the financial review from our CFO, Mr. Ganesh.

VK Singh: Thank you, Shiven, and good evening, everyone. While FY26 was relatively flat from a revenue standpoint, we believe that this has been a foundational year for preparing Blue Jet and catapulting it into the next phase of growth. For a credible and differentiated CDM O, two elements are critical : manufacturing capacity and strong R&D capabilities. During the year, we made significant progress on both fronts. At Mahad Unit 3 site, we are progressing well on the backward integration project for the key raw material within our contrast media portfolio.

This project is strategically important as it strengthens supply chain reliability, improves integration , and enhances resilience against global disruptions. At the same time, we have commenced development activities at our Vizag greenfield site spread across approximately 100 acres. Vizag will form an important part of Blue Jet's long -term growth road map. In Phase 1, we plan to develop dedicated manufacturing blocks across contrast media intermediates, high - intensity sweeteners , and pharma intermediates.

The total capex that we envisage for the Vizag project is approximately INR1,000 crores over a period of approximately 3 years. The investments being undertaken across the 3 sites remain closely aligned with customer engagement, future product opportunities and long -term business visibility. On the R&D and CDMO platform strengthe ning front, alongside our manufacturing expansion, we are also strengthening our R&D and development capabilities.

Our upcoming R&D center in Hyderabad with a planned investment of about INR40 crores will focus on newer chemistry platforms including peptide -related intermediates, GLP -1 linked opportunities, biocatalysts and, of course, a faster turnaround of CDMO development programs.

This expansion is aimed at increasing our participation in innovator -led programs, including opportunities emerging from both the large pharma and the smaller biotech companies. Encouragingly, the PI segment, which had witnessed inventory buildup over the previous quarters, has now started normalizing and shipment trends and improving order visibility are evident.

Over the last one year, with regard to product portfolio and pipeline, we have significantly strengthened our product and development pipeline across multiple chemistry platforms. In the contrast media segment, we expect 3 to 4 new product launches during the current year, further expanding our participation across advanced intermediates within this space.

Within the PI and CDMO segment, we have been tracking approximately 20 active RFPs, primarily across chronic therapeutic areas, including intermediates linked to GLP -1 programs and peptide building blocks. Encouragingly, we believe that 2 of these opportun ities are expected to move into the commercialization phase during the current year.

In addition, we are evaluating 2 high conviction commercial stage opportunities, which may potentially evolve into strategic lateral entries, for which dedicated capacity is being factored into our long -term planning at Vizag. In the high -intensity sweeten er segment, one high -volume product is currently under validation and we expect trial quantities to be shipped over the coming quarters.

With regard to sustainability and operational excellence, the focus in the company is high. Today, close to 70% of our energy consumption is supported through renewables, and the company is awarded the CII National Award for Excellence in Energy Ma

nagement .

With this, I pass over to my colleague, Ganesh, for the financial review.

Ganesh Karuppannan: Good evening. I will now share financial performance for FY26. Revenues. Q4, we reported a revenue of INR235 crores, an increase of 22% on a quarter -over-quarter basis and a decline of 31% year -over-year basis. Our reported revenue from operations in FY26 of INR947 crores is a decline of 8% compared to FY25. We will analyze revenues by product category. Contrast media.

Q4, we reported a revenue of INR193 crores, an increase of 55% on a quarter -over-quarter basis and an increase of 91% year -over-year basis. Our reported revenue from operations in FY26 full year of INR495 crores is an increase of 23% compared to FY25.

Despite higher goods in transit, our flagship product has increased volumes compared to FY25. Annual forecast from the customer has a mid -single digit growth for FY27. Our intermediate for NCE molecule commercialized in FY25 saw strong offtake in FY26. Based on the customer's forecast, we expect this performance to continue in the near term. Based on the current forecast, we expect this category will continue to have a positive momentum in FY27.

Moving on to PI/API category. Q4, our reported revenue of INR2.4 crores against a revenue of INR40 crores in Q3 and against a revenue of INR196 crores in Q4 FY 2025. Our reported

revenue from operations in this category for FY26 full year of INR298 crores is a decline of 35% compared to FY25.
The decline in FY26 is predominantly attributable to intermediate for a cardiovascular drug due to destocking by the customer. Our participation in the supply network in FY27 of this innovator customer will enable us to normalize the growth and grow over the peak sale we had achieved in FY25. Artificial sweetener. Q4, we reported a revenue of INR37 crores, which is an increase of 43% quarter -on-quarter basis and a decline of 24% on year -over-year basis. Our reported revenue from operations in FY26 of INR131 crores is a decline of 2% compared to FY25.
This category faced pricing pressure from imports and we will remain opportunistic. Gross margin. Our reported Q4 gross margin is 56% compared to 52% in Q3 and 55% in Q4 '25. For the full year FY26, our reported gross margin is at 54% compared to 55% in FY25. In FY26, rupee depreciation improved realization of exports and negated raw material price increase, which happened in the last month of the financial year due to Iran war.
The discussions are encouraging with select customers on pricing and pass -through based on current geopolitical situation. Moving on to operating expense. With renewable energy source, the company has sustained electricity cost in FY26. Freight cost post March '26 have increased. While the impact is not felt in FY26, logistics costs in FY27 will have to be evaluated.
With Hyderabad R&D going live in H2 '27, we expect investment in product development to increase this current financial year. EBITDA. Reported EBITDA for FY26 is 31% against 37% for FY25. FY26 EBITDA has been muted by lower volumes in PI/API category. Moving on to other income.
Reported other income for FY26 is at INR69 crores compared to INR46 crores for FY25. This increase is due to exchange gain of INR36 crores recognized this year. In addition, an income of INR5 crores on account of insurance claim has been recognized. Note, the entire loss on account of the fire incident was booked as an expense in the year of incident. Profit after tax. Reported profit after tax continue to be healthy at 26% for FY26 against 30% in FY25. Moving on to capex . The total CWIP as on March '26 stood at INR301 crores. This predominantly includes capital work in progress at Mahad and investments what we have made in Vizag in terms of land acquisition. Mahad facility is in the final stages of completion and is expected to st

art commencement of production in H2 FY27.
We propose to spend approximately INR400 crores in FY27 towards Vizag greenfield, completion of Mahad and other additions in Ambernath. Moving on to cash in bank. We ended FY26 with liquid financial assets of INR400 crores as against INR306 crores in FY25. As on year-end, we are a debt -free company. Cash flow from operating activities stood at INR334 crores. ROCE and asset turn continues to remain strong in FY26.
With this summary, I open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh from ICICI Securities.
Sanjesh: I've got 2, all of them from the observation...
Moderator: I'm sorry to interrupt, Sanjesh. Can you use your handset mode, please?
Sanjesh: I'm on handset mode. Can you hear me?
Moderator: Yes, right now.
Sanjesh: Okay. A couple of observations from the opening remarks. First, on the existing product. We said that in the PI section, we are expecting to cross the previous peak of FY25 with the destocking behind. Now what's giving us this confidence? And have we got a confirmed order for it? How are we looking at PI section?
And is this all led by the same product or you're also expecting PI to have more products to come in, which VK mentioned in his opening remark, in peptides and 2 lateral product which we are looking to enter? And number two, on the contrast media, what is driving the strong growth? Does this also include the shipment of iodinated ABA HCL, which we were anticipating? These are my initial questions.

VK Singh: Sanjesh, I think great set of questions. On the PI part, Sanjesh, we are gaining confidence because whatever inventory had been built up, so that inventory, the destocking has happened. So if you recall, last time we said that the orders were already in ou r hand, but the supplies were deferred. So that was one part.
Subsequent to the supply chain realignment, we have some more orders with us. So we are quite confident that in the PI segment, we are getting to a very good set of numbers in the coming year. And we also believe that there'll be some new products which wi ll get launched. But then to gain traction and to get some critical scale, those products will take time because they are completely new products.
So we are not factoring much from that side. But then there will be new product launches on the PI side and there will be new product launches on the contrast media side, both. So I think as far as the product portfolio and pipeline is concerned, I think o ver the last 6 quarters, the work that has been happening, very intensive work has been happening, and we are getting to a stage when that will all start fructifying.
Shiven Arora: And just to add on to that, on the contrast media side, thematically, we believe there are some select partnerships that we have on key molecules is just translating into deeper partnerships. So we feel their offtake requirements also increasing, and that' s a combination of the existing molecules plus the launch of new molecules in FY26.
Sanjesh: Then this quarter growth was all led by the existing customer investing product or a 90% growth? I know that we did mention about supply starting NCE. What about the other product, the iodinated ABA HCL, has that started? Or this is all coming from the 2 p roducts?

Shiven Arora: As far as this quarter is concerned, I think that excludes the sale. But in FY26, there was some contribution by the select molecule you spoke about.
Sanjesh: Got it. And you talked about the lateral entry and VK also mentioned that we are looking to put up a dedicated block in the Vizag for 2 lateral product. Where are we in the process? When we are talking about dedicated

, they must be really large in size. Can you give more detail or an understanding? I know we can't reveal the product but therapeutic area, how large the opportunity could be, some of those details will be helpful.
VK Singh: So Sanjesh, I think all that we can say right now is that we have very high conviction on those lateral entries, and that's the reason that we are mentioning specifically only 2. And they will take a while to fructify. Then as and when they happen, there w ill be significant opportunities. And that's the reason that we are looking at putting -- deploying dedicated capacity at Vizag for that.
But then, as you know, that Vizag is completely greenfield. And we envisage 24 to 30 months for that capacity to get online. But then what's more critical is that our portfolio is growing, and we are tracking some very large opportunities in that portfolio . So our portfolio is growing on the NCE side. Our portfolio is growing on the lateral entry side. And the lateral entry, clearly, the commercialization -- I mean, the peaking will happen faster. But then we have to wait for Vizag to come up.
Sanjesh: Got it. And what about the peptides, VK? Where are we there in peptides? We thought that -- sorry, you mentioned in your opening remarks some of the opportunities in GLP -1 and peptide. Where are we there in the process?
VK Singh: So we are with a couple of these GLP innovators, but not for the end peptide, but for the building blocks, for the intermediates of the peptides.
Sanjesh: But have you started lab supplies, pilot supplies?
VK Singh: Yes. We have started lab supplies to some innovators and we have also started some lab supplies to some very large peptide CDMOs.
Sanjesh: Got it. One last question…
Moderator: I'm sorry to interrupt, Sanjesh. You may please re join the queue for more questions. We will take our next question from the line of Pritesh Chheda from Lucky Investments.
Pritesh Chheda: Sir, your comments on contrast media was not clear. One, this growth that we see in the quarter 4, so was iodinated contrast media product started being a part of it or the new products that you were supposed to supply, is it? And what were your exit comme nts for FY27? So should we look at the quarter 4 number? Or was it somewhere different that we had to look at the '27 growth? The comments were not clear, if you could reiterate them please.
Ganesh Karuppannan: See, if you look at Q4, majority of the turnover is from the existing customer, existing product, okay? When you look at FY27, whatever we have marketed, we have got -- the forecast is quite

encouraging. And we should be in a position to -- with a couple of new launches we are expecting, we do expect 1 or 2 validations and 1 commercial launch, which should actually like ensure that we will actually get into a sort of double -digit growth. That' s what we are expecting.
Pritesh Chheda: And then validation is the iodinated contrast media product validation or it is some other product?
Ganesh Karuppannan: It will be a combination of both gadolinium and iodinated.
Pritesh Chheda: Okay. And the commercial launch is -- okay, the validation is for those 2. And then there is a completely new commercial launch?
Ganesh Karuppannan: Yes, we are looking at.
Pritesh Chheda: Okay. And what explains this 22% growth? Because in the past con calls that you've mentioned, the growth is not -- market growth is not so significant on the existing product. So is it something on the market share that we need to understand or any other c omment that you have?
Ganesh Karuppannan: Generally, like in contrast media, the volumes or forecast, we get it couple of quarters ahead. What you need really like appreciate is the customer offtake. It is generally not uniform across all months. So based on customer need, there could be variation s within

the year.
But generally, like if you look at a 12 -month period, normally, the customers meet their commitment. Whatever they had actually like agreed to pick up, they take it on. So in this particular CDMO activity, one should not look at monthly or a quarterly. I t hink as long as we get that annual number right, I think that would be a better way to forecast.
Pritesh Chheda: But sir, you never guided for the growth in the beginning of the year?
Ganesh Karuppannan: No, we actually talk about what the annual numbers are. Like we talk about how we can look at the forecast because these things are all not confirmed. Like it is a forecast. So based on that, we actually like to talk about what could be the likely trend in that particular category.
Pritesh Chheda: Okay. Just last one is contrast media, backward integration, where are we? Will it click this year in contrast media?
Shiven Arora: Yes, we will -- the plant will go onstream this year, and we will start consuming the quantities that we produce, but we plan a slow ramp -up. So the full impact maybe will come after a year.
Pritesh Chheda: And iodinated contrast media, the revenues will flow this year or there is just validation?
Shiven Arora: We'll try to be a bit more general in terms of the overall guidance for the segment. I think as far as the offtake requirements for this particular specific molecules are a bit confidential at this point in time. But things look encouraging so far.
Moderator: Next question is from the line of Samitinjoy Basak from Kotak Institutional Equities.

Samitinjoy Basak: So my first question is, VK sir, during the opening remarks, you spoke about 2 commercial opportunities in the PI and API segment. Could you just elaborate on these 2 opportunities? Like what kind of products these are and what kind of an opportunity are you talking about?
VK Singh: So I guess you're speaking about the 2 lateral entries that we spoke in the narrative, right?
Samitinjoy Basak: Yes, yes.
VK Singh: Yes. So there, as I said in my answer to a question earlier, that the best that we could disclose for the time being is what we have said. But being lateral entries, the peak volumes will come much faster because it's not an NCE. But then let's just wait a nd see how they pan out. We will not be able to disclose much about the therapeutic category anything because then it becomes very obvious and we have very strict NDAs at this point of time.
Samitinjoy Basak: In terms of peak potential, can we expect it in FY28?
VK Singh: See, Vizag will take -- so while some quantities may go from our existing capacity, the main volumes will start going from Vizag. And Vizag, we envisage anything between 24 to 30 months for the blocks to come up and go onstream.
Samitinjoy Basak: Okay, sir. Secondly, on the contrast media part. So this INR190 crores top line compared to the INR125 crores in the previous quarter, how much of this incremental INR65 crores is due to the revenue booking of goods which were shipped in the previous quarter and how much was actually due to the demand in this quarter? Could you quantify that, please?
Ganesh Karuppannan: Now actually, this goods in transit has normalized. There is no significant variance.
Samitinjoy Basak: So this entire INR190 crores, does this belong to the fourth quarter order book?
Ganesh Karuppannan: Yes.
Moderator: I'm sorry to interrupt, Mr. Basak. You may please rejoin the queue for more questions.
Samitinjoy Basak: Yes, I have just one last question. My third question is what kind of a margin outlook are you

expecting for the next fiscal given the geopolitical scenario and the pressures on logistics and freight costs? So could you elaborate on that?
Ganesh Karuppannan: Actually, the cost structures are evolving. We need to actually watch how the Q1 cost structures pan out. We will

be in a better position to talk about it during the Q1 results.
Samitinjoy Basak: But do you expect any margin expansion because we are also guiding for some incremental sales from that cardiovascular intermediate, which is an innovative product? So due to that?
Ganesh Karuppannan: See, you know the impact of crude oil price, which has actually impacted most of the chemicals, logistics cost, and there is also going to be a domino effect, okay? Today, whatever we saw in the month of March '26 was very limited. The impact was not fully seen for many of these companies.

So you have to give us a quarter time. So Q1 would be the -- could actually give you a good representation of how the cost structures have evolved and how the margins are. Today, it will be too early to talk about the impact.
Moderator: Next question is from the line of Sajal Kapoor from Antifragile Thinking.
Sajal Kapoor: I've only got 2 questions. First is are we at a stage where Blue Jet is deliberately optimizing more for future strategic positioning and embedded customer relevance rather than near -term operating efficiency?
VK Singh: If you look at our leading financial metrics and indicators, I think they are one of the best in the industry. So I don't see why you should be asking that we are not optimizing for the near term. But as a CDMO, we always say that the gestation is 3 to 4 y ears. So any CDMO will have to have the type of time horizon and plan for the future.
And that is exactly what Blue Jet is doing, and that's the reason that we said that while FY26 might have been flattish, the year was foundational because we are sowing the seeds for doubling our capacity and doubling our chemistry platforms in R&D. So we are very clearly planning or bracing up for a bright future because we see tailwinds for the country, and we see a lot of opportunities for us as a company.
Sajal Kapoor: That's helpful, VK. And second, with Mahad backward integration block expected to go live this fiscal, should we think of initial impact more through gross margin improvement and supply chain control with the top line benefits perhaps becoming visible only after customer val idations and the scale up? Or how do you see that?
VK Singh: I think you are spot on. When we started the project, it was -- the primary objective was to gain strategic independence and avoid the volatility that we were seeing in the pricing of the product because of very sketchy and choppy energy prices and, as you know, that we were importing from Europe as well as China.
And that was the primary reason for the vertical integration, that we should be able to insulate ourselves from such choppiness. But then when we made the 2 products that are a part of the vertical integration, then we realized that there is a market for t hese products as well. But then that is supplementary and that will be just an add -on.
We are not talking of any numbers as far as those products are concerned for vertical integration. But it's clear that when we will make them, and we will make them at a scale at which we plan to, there will be incremental top line opportunities as well wh ere we will sell to third parties and not just consume r.
Moderator: Next question is from the line of Ritika from ValueQuest.
Ritika Agarwal: I've just one question. So one of your customer has seen warning letter for their sole formulation plant . Wanted to understand if we are seeing any kind of risk from this warning letter that they've

received in October, and yes, going ahead, what's our plan of action? Or is there any communication if this escalates to import alert or anything on that, if you can help us understand?
VK Singh: See, Ritika, we know only as much is there in the public domain. And even if we would have mor

e information, let us say, just in case we did, it's a very sensitive matter and we will not be able to talk about these things on this open call. But then as you have yourself very rightly said that they yet do not have an import alert, so which means that the commercial impact should not

be there till the time there's an import alert.
Shiven Arora: I think it's also not reflecting in our production schedules or their offtake requirements, not a particular customer, but in general, in this particular vertical.
Ritika Agarwal: Sorry. So as of now, currently, there is no supply disruption to this. Is that what you mean? Going ahead, obviously, we do not know. But up till now, we've not seen any supply disruption from this?
Shiven Arora: From my side, I think it's business as usual in this particular segment. And we don't see -- foresee any disruption in the coming quarters also.
Moderator: Next question is from the line of Shashank Krishnakumar from Emkay Global.
Shashank Krishnakumar: I think in one of our earlier responses, we mentioned double -digit growth in contrast media in FY27. So does that imply we'll potentially exceed our FY23 peak in terms of revenue in FY27? And a related question is whether this trial order from a Japanese customer which you mentioned in the presentation, whether that will also contribute. And also wanted to check which product are we referring to for this new customer? Is this iodinated APA? Or is it some new product? Just wanted to ch eck that.
Shiven Arora: I think our endeavor to meet this double -digit growth, I think, is backed by certain visibility by our customers. Now it's more about execution. So I think we'll be more comfortable limiting this indication as of now.
Shashank Krishnakumar: Got it. Any comment on this new product which you are shipping to a Japanese customer, which one is it?
Shiven Arora: It is a trial quantity. It is a trial quantity, but I think the clinical indications are extremely encouraging from a future growth perspective.
Shashank Krishnakumar: Perfect. And just the second one on the artificial sweetener, which we have been referring to. So will we see any meaningful commercial volumes in FY27? Or will it largely come onstream once the Vizag facility gets commercialized?
Shiven Arora: I think it would be the most significant milestone if we are able to deliver this key validation. I think our objective would be to meet our quality targets, our efficiencies and yields from this particular milestone. Once this is completed, we'll be more happy to share the future updates around it.

Moderator: Next question is from the line of Ahmed Madha from Unifi Capital.
Ahmed Madha: A similar question on the contrast media business. If I look at our commentary, say, a year ago or 2 years ago, we were speaking about having a step jump in contrast media business. So I'd like to understand, do you see FY27 as a step jump year in terms of growth? Or it will be a steady growth? If you can elaborate a little bit, please.
Shiven Arora: I think when we look at step jump, I think it's most important to understand how the company is looking at new launches, and from our perspective, a double -digit growth at the back of certain launches, and I think it's quite encouraging to start with.
Moderator: Next question is from the line of Dheeraj Kumar Reddy from Alpha Square.
Dheeraj Kumar Reddy: Am I audible?
Moderator: Yes, you are audible.
Dheeraj Kumar Reddy: Sir, I have a couple of questions. The first one being, I know that we make Bempedoic Acid intermediate. I just wanted to understand like from your sense, how many competitors are there across the globe? And typically, even if someone wants to supply, what is the typical timeline for these innovator intermediates? And typically, how many players end up actually getting the supplies ,

right?
Ganesh Karuppannan: Are you referring to contrast media?
Shiven Arora: No, Bempedoic .
VK Singh: See, the critical thing to understand is that the molecule is still under patent. So there will not be any great number of suppliers or people who are selling the product in the market. Once the patent expires, then, of course, there will be -- the market will get inundated by suppliers. So at the moment, it's protected.
Dheeraj Kumar Reddy: Got it. So, sir, my question is basically what stops like another South player who is actually doing an API into getting -- in getting into this intermediate? Like what gives us that competitive edge in actually supplying this intermediate?
VK Singh: Competitive edge. Firstly, this is a very advanced intermediate. And anybody, everybody cannot supply because of the complexities and because of the regulatory pathway, right? And what gives us a competitive edge are the chemistry and the fact that we have a dedicated plant which is highly automated and the fact that the unit operations, we are extremely good. So that gives us a competitive edge. And of course, to add to that, the scale.

Dheeraj Kumar Reddy: Got it, sir. Sir, my next question is, basically, I know that we'll be entering into peptides, which will be the next phase of growth probably in Vizag. Sir, I just wanted to again understand here like how much time has the company or organization invested into this particular category? What is the sort of capability building you are currently going through?

And if possible, even in terms of R&D, how many scientists are being allocated? And how do you see this entire vertical probably? If not, say, like 3 years, maybe 5 years out, how do you see which kind of categories are you focusing on? What is the kind of the peptides y ou are currently working on, et cetera?

VK Singh: Peptides have been on the market for decades now. But then because of certain new indications for which peptides are getting qualified, the market has grown exponentially. At Blue Jet, if you see our trajectory, we are a company which has always focused, g rown and built ourselves on building blocks.

On the peptide side also, our starting point is doing the building blocks for the peptides or doing the peptide fragments. There could be pentamers or decamers or whatever, but peptide fragments, which will get joined to make the peptide. As we advance and we get clientele and we get experience in doing the peptide blocks, doing the final peptide will be the natural corollary. But that will come after some time. And at Vizag, we do plan to create a capacity that will be -- that can be deployed for peptide manufacture and production.

Dheeraj Kumar Reddy: Understood. Sir, will the initial peptide molecules be margin accretive? Or do you think they'll have slightly lower margin in general, because, again, these are very starting intermediates?

VK Singh: The margins will be very good, in line or better than what we have. But then you must understand that as compared to the other segments, there could be faster, higher price erosion in this segment. In contrast media and the patented CDMO segment, we don't have that type of price erosion, which perhaps we may see in the peptide segment.

Moderator: Next question is from the line of Ravi Purohit from Securities Investment Management.

Ravi Purohit: Just 2 things. And if you look at contrast media production -- I'm sorry, revenues for the current year, it's INR190 crores. Would it fair to assume that's like peak capacity for our contrast media division? Like if I refer to earlier calls, I mean, typically, I think we have mentioned about INR600 crores to INR800 crores kind of range for our peak capacity. So if you could just kind of help us understand whether that is the case here as well.

And second was on the pharma intermediate.

I think we had mentioned that we are talking of growing above the levels of FY25. So FY25, I think our revenues are some INR460-odd crores. So have you already started shipping to the customers as in from -- or it's still like orders that are in hand and shipping will kind of happen during the year?

Shiven Arora: I think we are -- as far as contrast media is concerned, we are far away from the peak utilization levels because of the ongoing works from the company side in terms of capacity creation, debottlenecking across products. And you also see a large capacity b eing built in Unit 3.

So I think all the capacity creation is in sync with the customer needs from a 5 - to 10 -year perspective. I think we are very well positioned as far as contrast media is concerned. In terms of pharma intermediates, I think the outlook as a segment is very encouraging. And we just have

to execute our plans well despite what we are seeing geopolitically in terms of the raw material prices and everything.

I think as a segment or as a vertical as a whole, it's quite resilient. So we've been able to, in some cases, pass on -- have a pass -through mechanism on the pricing and the margin security standpoint. So both from a top line and a margin sustainability st andpoint, I think we should be well positioned in the PI vertical.

Ravi Purohit: Okay. And in contrast media, how is the pricing arrangement like? Because, I mean, so is this INR192 crores revenue in this current quarter, does it also reflect some sort of higher prices? Or is it normal prices? Is it entirely volume growth?

And if price escalations do happen because contrast media is a very large -- sorry, long period contracts that we have from our customers, right, our largest customers. So if you could just help us explain how this pricing works on the contrast media side.

Shiven Arora: I think without going into other specifics, but I think in the past few quarters, we've seen a

volume growth. I think that should answer quite a few aspects around this vertical.
Ravi Purohit: And the optimism for the current year FY27 also is on higher volume growth this year as well, right?
Shiven Arora: Partially due to some volume growth, but also due to the new launches that we are expecting.
Moderator: Next question is from the line of Sachin Mhasvekar from Global Consilient Research .
Sachin Mhasvekar : Am I audible?
Moderator: Yes, you are.
Sachin Mhasvekar : I had a question regarding the demand trends. So how is the inventory destocking trend shaping up from the global innovators? And what is the overall demand outlook for your key molecules going forward?
VK Singh: I think the end market in all our 3 verticals, they are growing. And I would say all 3 of them are sunrise segments. And if you are talking of the CDMO PI vertical, then there one of the key molecules is showing a fantastic growth at the final formulation level. So I guess Blue Jet as being -- in all the 3 segments with our key customers being as a primary and main supplier and a supplier with scale, I think we are very well poised to capture the upside that we will have in these opportunities.
Moderator: Next question is from the line of Ashwin Patil from Intelligence Limited.
Ashwin Patil : Already answered my question. Thank you.
Moderator: Next question is from the line of Keshav Bagdi from Vedhant Fashion Family Office .

Keshav Bagdi : About the pharma intermediaries and the API segment...
Moderator: I'm sorry to interrupt, Keshav. Can you repeat your question, please?
Keshav Bagdi : Am I audible?
Moderator: Yes. Right now we can hear you.
Keshav Bagdi : Okay. I just had one question. I joined the call a little late. So please excuse me if my question is repetitive in nature. I just wanted to check on the pharma intermediaries and the API outlook for this segment for the coming fiscal year.
VK Singh: Keshav, we don't really give guidances. But then all that we will say is that whatever destocking had to happen has happened, and the plant has been now running to optimum capacity and the shipments have started rolling out. And you will soon see that in t he data.
Keshav Bagdi : So the worst is behind for this particular segment?
Shiven Arora: Absolutely. That's a good summary.
Moderator: Next question is from the line of Saket Saurabh from Sagari Capital .
Saket Saurabh : Am I audible?
Shiven Arora: Yes.
Saket Saurabh : So sir, the question was pertaining to one of the private equities acquiring our innovator company. In the past, there have been cases that while a change of hands of stand -alone companies is a normal phenomena, but those change of hands sometimes also lea ds to supplier consolidation or vendor consolidation. So any thoughts that you have had or any interaction that you've had with the private equity folks or the new owners as to -- regarding this continuity of supply? Or any thoughts that you may have on th is front?
Shiven Arora: I think given the product, where it is in its life cycle, it's patent protected. So typically, any change has a regulatory pathway. So I think from our standpoint, we feel that the end molecule is growing. So there is definitely some merits from a medium t o long -term perspective. So we are in the right game. And it's quite encouraging to know that it's acquired by a stronger partner. So from our standpoint, business as usual. There are certain positive growth levers around it as well.
Saket Saurabh : Okay, sir. That's encouraging. Sir, coming to the lateral opportunity that you talked about. So is it safe to assume these are more like lifestyle and life cycle management products who are on the verge of going patent? Is that a fair way to describe those lateral opportunities? Or these are the recently commercialized, are yet to hit their peak market?

Shiven Arora: These are CDMO opportunities, which are backed by -- which have some sensitivities around CDA. But I think from a next decade perspective, we feel that it's worthwhile investing in capacity buildup.

VK Singh: But yes, they are all in mature phase.
Saket Saurabh : Okay, sir. Got it. No, that was what I was referring to. Yes, sir. Now specifically to the peptides one. Now you talked about GLP. So these are weight loss opportunities or more like metabolic disorders? And also in some of the cases, especially semaglutide, we have seen a fair amount of price erosion given the increasing competition that is getting into that space. So any thoughts on is that a risk in our opportunity as well or this price erosion thing? And are they pertaining to weight loss or non -weight loss area as well, which is still an emerging space, sir?
VK Singh: I think they are in both categories. As far as the price erosion part is concerned, I mean, it's too premature for us to comment. We have just about started selling some small validation quantities. So just let's wait and watch. Let's see.
Saket Saurabh : And is it safe to assume this is non -semaglutide?
VK Singh: We wouldn't comment.
Moderator: Next question is from the line of Hitansh Shah from Neo Alternative Asset Managers .
Hitansh Shah : Am I audible?
Moderator: Yes, you are audible.
Hitansh Shah : I just have one question pertaining to the fundraise. Are we looking to raise funds in particular to the Vizag investment? Or any sort of plans that we would want to raise?
Shiven Arora: We are actually like...
Ganesh Karuppannan: I think the situation is dynamic right now. I think we'll be able to update you in the coming quarters. But I think from a company standpoint, given the liquidity it has, I think we are going -- rather accelerating our ca

pex plan. So we are well positioned as a debt -free company.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference back to the management for closing comments.
Shiven Arora: Yes. We thank all the participants, and we will see you in Q1 call. Thank you.
Moderator: Thank you very much. On behalf of Blue Jet Healthcare Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines .